



UNLEASHING OUR POTENTIAL



Unleashing our Potential

At AgStar, over the years we have targeted a vision of growth and prosperity for both your company and the nation. Recognised as a symbol of trust and quality, we have added value to thousands of lives, continuously evolving to reach perfection in the eyes of every single stakeholder we serve.

While the past years have been challenging, we have faced them with courage and determination, adapting ourselves to meet the changing dynamics around us. And as testament to this perseverance, this year, we are proud to report that we have achieved our goals, and even now are on the path to further success.

Following years of determination and rigorous transformation, we are now unleashing our potential to reach countless lives, and contribute towards the growth of our nation. Today, as we spread our wings and take flight, we are confident that no matter what the future holds, our corporate characteristics of passion, strength, resilience and visionary leadership will see us through.



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OUR VISION

To be the preferred choice for
agri inputs, agri products
and related services

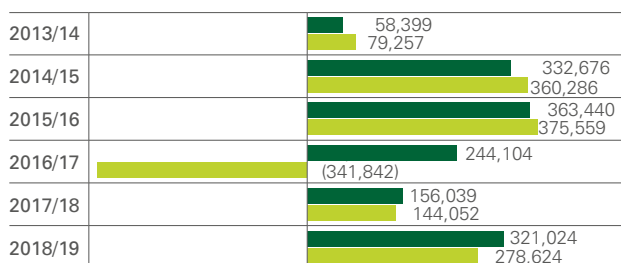
OUR MISSION

To foster growth and prosperity in
agriculture by providing superior
quality products and services

FINANCIAL HIGHLIGHTS

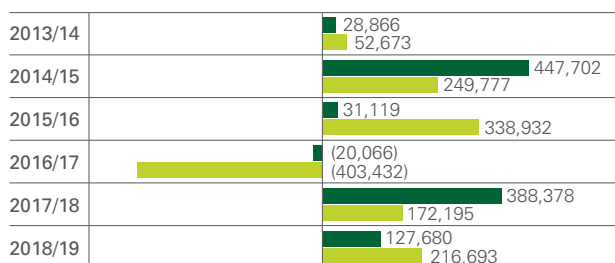
Year ended 31st March		2019	2018	Change
OPERATING RESULTS				
Group Revenue (Continuing Operations)	(Rs'000)	2,478,165	3,317,020	-25%
Gross Profit (Continuing Operations)	(Rs'000)	692,076	532,091	30%
Net Finance Income/(Costs) (Continuing Operations)	(Rs'000)	6,307	(34,790)	118%
Profit before Tax (Continuing Operations)	(Rs'000)	321,024	156,039	106%
Profit for the Year (Continuing Operations)	(Rs'000)	245,218	90,308	172%
Profit for the Year (Continuing & Discontinued Operations)	(Rs'000)	226,369	26,591	751%
FINANCIAL POSITION				
Stated Capital	(Rs'000)	1,204,094	1,204,094	0%
Property, Plant & Equipment (Continuing Operations)	(Rs'000)	1,527,367	1,417,703	8%
Current Assets	(Rs'000)	3,765,141	3,483,081	8%
Total Assets	(Rs'000)	5,349,134	4,957,809	8%
Non Current Liabilities	(Rs'000)	286,998	35,199	715%
Current Liabilities	(Rs'000)	2,176,187	2,131,921	2%
Total Equity	(Rs'000)	2,885,949	2,790,769	3%
FINANCIAL INDICATORS				
Earnings Per Share	(Rs)	0.70	0.08	751%
Dividend Per Share paid during the year	(Rs)	0.10	-	100%
Dividend Per Share proposed	(Rs)	0.20	0.10	100%
Dividend payout proposed	(%)	28.71	122.22	-77%
Net Assets Per Share	(Rs)	8.88	8.59	3%
Return on Equity	(%)	7.84	0.95	726%
Return on Total Assets	(%)	4.23	0.54	684%
Gross Profit Ratio	(%)	27.93	16.04	74%
Net Profit Ratio (Continuing Operations)	(%)	9.90	3.00	230%
Current Ratio	(Times)	1.73	1.63	5.9%
Liquidity Ratio	(Times)	1.49	0.82	81%

Profit Before Tax (Continuing Operations) (Rs. '000)



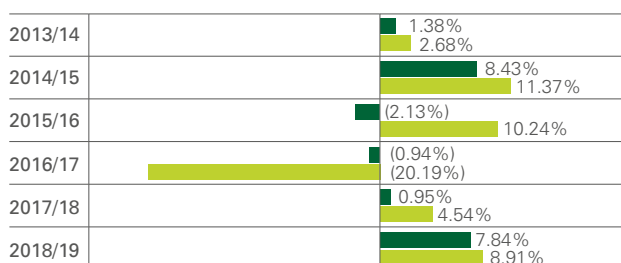
■ Group ■ Company

Total Comprehensive Income (Rs. '000)



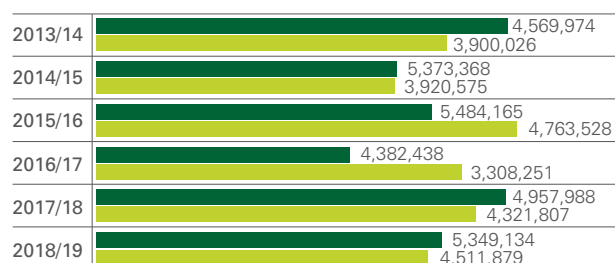
■ Group ■ Company

Return on equity (%)



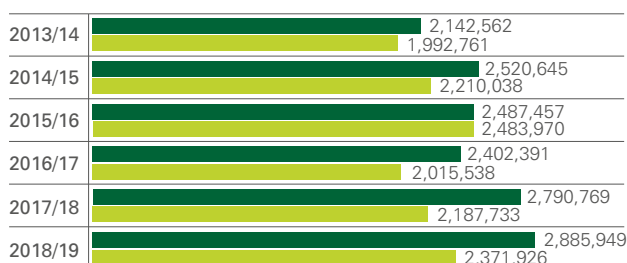
■ Group ■ Company

Total Assets (Rs. '000)



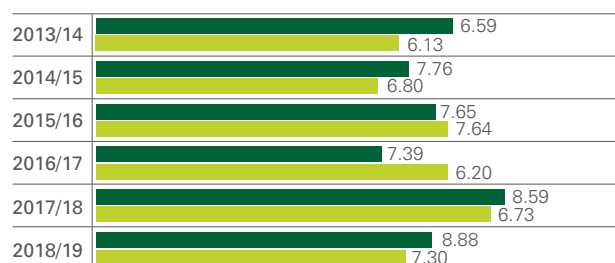
■ Group ■ Company

Net Assets (Rs. '000)



■ Group ■ Company

Net assets per share (Rs.)



■ Group ■ Company



“Our business model is now lean and well positioned for growth and we have expanded our portfolio to include products that have growth potential.”

The AgStar Group posted a strong financial performance in 2018/2019, recording a profit after tax of Rs.226.4 million compared with the previous year's net profit figure Rs. 26.6 million.



CHAIRMAN'S MESSAGE



CHAIRMAN'S MESSAGE

I welcome you to the seventeenth Annual General Meeting of AgStar PLC and have great pleasure in presenting to you the Annual Report and Audited Financial Statements for the year ended 31st March 2019.

Our theme for this year's Annual Report "Unleashing Our Potential" sets out the vision for the group over the coming year and builds on the impressive performance over the past twelve months.

GROUP PERFORMANCE

The Group's performance should be assessed against a challenging macroeconomic backdrop. Despite favourable weather conditions experienced in the agriculture sector, the Sri Lankan economy recorded modest growth of only 3.1% in 2018. Further political disunity and lack of consensus on economic policy hampered business growth in the country.

Notwithstanding these headwinds, your Company achieved impressive sales growth and profits in all areas of business. Astute marketing enabled us to seize market opportunities and enhance sales volumes. Judicious use of the fertilizer quota also enabled us to enhance sales volume in our core business. As a group, we had already laid the foundation for growth in the year under review by divesting underperforming businesses and introducing new products that are not subject to subsidies and volume restrictions. This has enabled us to "future proof" our business model to deliver sustainable growth.

FINANCIAL PERFORMANCE

The AgStar Group posted a strong financial performance in 2018/2019, recording a profit after tax of Rs.226.4 million compared with the previous year's net profit figure Rs. 26. 6 million.

The impressive increase in profit was mainly due to the growth in sales volume from our core Fertilizer Business and other business segments of Seed, Crop care and Agro specialty products.

17

Years of existence

543

Distributors

2.5 Bn

Consolidated
Turnover

Your Directors taking into consideration the performance of the Company recommends a first and final dividend of Rs. 0.20 per share as compared to last year's dividend paid of Rs. 0.10 per share.

MACRO ECONOMIC OUTLOOK

Sri Lanka's economy has been underperforming for the past few years. The GDP was much lower than the country's potential and below that of neighbouring countries of the South Asian Region.

As per the Sri Lanka Central Bank annual report 2018, the sluggish economy was primarily caused by delays in addressing structural reforms with a focus on productivity and efficiency. There is a need and potential to increase agricultural production to enhance Agri exports and increase import substitution for the country's economic development.

It is essential that the root causes for the continued low growth be addressed and policies on growth enhancing reforms be implemented without further delay. Furthermore, it is critical that the envisaged reforms have a long term focus to ensure their sustainability.

“Your Board will continue to focus on short to medium term growth opportunities for the AgStar Group by enhancing productivity and quality through systems and process efficiencies.”

FUTURE PROSPECTS

Our performance in the period under review has encouraged us to set more ambitious targets for the year ahead. Our business model is now lean and well positioned for growth and we have expanded our portfolio to include products that have growth potential.

Your Board will continue to focus on short to medium term growth opportunities for the AgStar Group by enhancing productivity and quality through systems and process efficiencies.

In this regard we intend to modernize our production facility with the latest equipment and machinery to produce high quality products on a cost effective basis.

Staff Strength

2018/19		163
2017/18		155
2016/17		153

Furthermore, we plan to centralize all Agri Business operations at a single location at the Ekala Factory complex. This would facilitate improved customer service, enhance the group’s business image and deliver synergies in productivity and efficiency. We will also continue with our R&D activity to develop and introduce eco-friendly, low toxic, micro organic products.

BOARD CHANGES

Mr. A. G. Weerasinghe and Mr. H. P. J. De Silva who joined AgStar Board in May 2011 will not seek re-election and would retire from the Board of Directors at the forthcoming Annual General Meeting.

I wish to thank Mr. A. G. Weerasinghe and Mr. H. P. J. De Silva for their unstinted support, guidance and valuable inputs over the period of eight years from 2011 to 2019.

ACKNOWLEDGMENTS

I wish to extend my deep appreciation to the Managing Director as the Head of Group Business Operations for his untiring efforts and leadership in driving AgStar’s executive management team and staff members to maximize their performance, which has enabled us to achieve our goals for the year.

I also thank my colleagues, the Board of Directors, for their valuable contribution and guidance over the past year and all members of the AgStar staff for their support and valued contribution.

Finally, I thank our customers, suppliers, bankers and business partners for their continued support.

I look forward with optimism as we continue to create greater value for our stakeholders and enable AgStar to fulfil its role as a vibrant agri-enterprise.



N. G. R. Karunaratne
Chairman

“The year under review has been favourable, boosting cultivation and having a positive impact across all Group companies.”

Company net profit grew from Rs. 99 million in the previous year to Rs. 211 million in the year under consideration. On a further positive note, fertilizer sales volumes also increased by as much as 23%.



MANAGING DIRECTOR'S REVIEW



MANAGING DIRECTOR'S REVIEW

The Year 2018/19 proved to be a successful year for the Company during which we were finally able to reap the rewards of our tenacity and resilience by sustaining our investment in the agri business despite uphill operating conditions in the sector for the last two years. Fortunately, the period under review was favourable on many fronts and we ended the year as at 31st March 2019 by recording Profit After Tax of Rs. 226.4 million as against Rs. 26.6 million posted in the previous year.

As a group, our activities are dependent on the weather conditions and I am pleased to report that the year under review has been favourable in that regard, boosting cultivation and having a positive impact across all group companies.

At group level, the turnover reduced from Rs. 3.3 billion to Rs. 2.5 billion mainly due to the drop in the selling price due to the introduction of the fertilizer subsidy, almost all sectors in which the company has operating made a significant contribution to the group profitability.

Group Net Profit (Rs. Mn)

2018/19		226.4
2017/18		26.6
2016/17		(22.5)

FERTILIZERS

Net profit grew from Rs. 99 million in the previous year to Rs. 211 million in the year under review. On a further positive note, sales volumes also increased by as much as 23%. The fertilizer segment has been unable to realize its potential over the last few years due to restrictive government policies and in the year under review as well, turnover dropped by 32% from Rs. 3 bn to Rs. 2bn. The decline in turnover was largely due to the subsidy in place.

“The Year 2018/19 proved to be a successful year for the Company during which we were finally able to reap the rewards of our tenacity and resilience”

Since the government has announced that the private sector can only supply fertilizer to the non paddy sector and has put a ceiling of 375,000 MT imports per year, this restriction has necessitated sanctioning quota. However, as a relatively new entity is not eligible for the quota. We remain optimistic that the regulator will set out a fair pricing mechanism to benefit the industry.

Sales Volume-MTs

2018/19	76,368
2017/18	62,116
2016/17	53,172





The biggest hurdle in the industry is the quota system, which is not helping the company to grow while simultaneously restricting our flexibility. The only area where we have actual control is our distribution network, where we are trying to innovate and bring our years of experience to expand business.

Unfortunately the government has not ensured timely payments of the subsidy amounts which places an additional burden on our balance sheet. Since last year, the government has had to pay the company Rs. 3 billion in subsidy payment, of which Rs. 1 billion has been received. Of the Rs. 2 billion receivable balance Rs. 754 million is over the stipulated period and is overdue. As a result of the subsidy scheme and non-payment by government by the due date it has caused us to incur a financial impact of Rs. 40 million negatively.

CROPCARE

During the year under review, we pursued a strategy of focusing on the cropcare segment to grow bottom line and turnover to make up for lost revenue in the fertilizer segment. As a result of our pinpointed efforts, turnover grew by 160% and gross margin increased by 9%. The cropcare business recorded a reasonably good year, expanding the product

portfolio with the addition of two weedicides, six insecticides, one granular fertilizer product and two liquid fertilizers. Further, we revamped and re-launched the total 2 kg range and 5 kg range home garden fertilizers with improved and fresh packaging with a new look, which drove sales up for the range. Eight products are in the pipeline which we plan to aggressively market.

MAHAWELI AGRO TRADING PVT LTD

This company switched over smoothly from milling to agri input trading and started selling fertilizer under the Mahaweli Fertilizer brand. The brand has gained a further foothold in the market while reducing overheads of the company and generating profitability into the future through trading operations. The company has grown from a trading loss in previous years to a trading profit due to this change. However, the company is facing a challenge due to subsidies introduced by the government for established agri companies. Although as a new entity we have still not been granted a quota, we have remained nimble and identified a new range of items which are not applicable for the subsidy. We are hopeful of enhancing profits in the future.

MANAGING DIRECTOR'S REVIEW



SEEDS

Prith Seeds

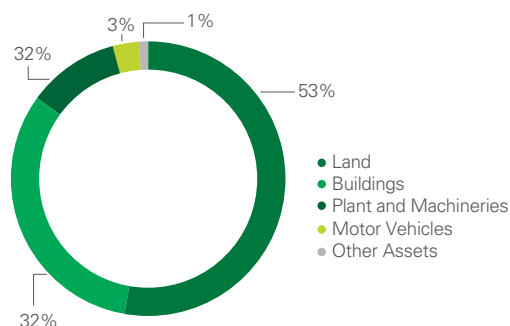
The loss-making entity in the previous year turned around during the year under review. Vegetable seed volume grew by 9%. The legal action we filed against the copycat distributor in the previous year resulted in an increase in sales of our products. In the previous year, the confusion over our original products and the copycat products, our sales declined.

We have filed a claim of Rs. 80 million as compensation for losses incurred due to the infringement. The case is still ongoing in the courts and we await a fair outcome. We envision strong prospects for growth and have introduced new vegetable seeds, namely, leeks, carrots and beets which will enhance our portfolio.

Agstar Seeds

Turnover increased by 29% and gross margin by 5% during the year under review. The maize variety we had acquired from Indonesia was a commercial success, growing by 86% during the period under review. Meanwhile, Seed paddy grew by 23% and Beans by 58%. We intend to introduce leeks, beets, carrot and ball radish into the market in the near future.

Group Assets



PROPERTY BUSINESS

The revaluation of Company owned land in Ekala delivered a substantial profit during the year. The prospects from this is promising as we received permission for building a 75,000 sqft warehouse and a 10,000 sqft office cum facility at the Ekala land. We expect construction to begin in 2019/20.

EXPORTS

During the period under review, the turnover of the export company improved significantly by 124% mainly due to new business of trading oil and making sugar and creamer sachets. Export demand remained flat and the profit made by this arm of the business was due to demand in local markets for oil and sugar sachets. We are in the process of streamlining the company to improve performance into the future. The receipt of GSP+ facilities by Sri Lanka should provide a greater boost to enhance our export trade to the European markets and the USA in the years ahead.

FUTURE OUTLOOK

Since we expect the Fertilizer business to remain under pressure due to ongoing government subsidies, we will focus on expanding seeds and cropcare segments to get to a higher level. We have further looked at emerging opportunities in related sectors that could be included into our portfolio to cover shortfall due to contraction of the fertilizer business. The year under review would have delivered better financial performance if not for subsidies and volume restriction which does not help a company like us which is still growing. The restriction is hindering growth of companies to increase business while larger companies are not challenged. Our subsidy scheme should be relooked at as it encourages inefficiencies in the system. On the other hand, the agriculture system should be rendered more profitable. The practice of offering government subsidy is harming the industry and reducing productivity.

APPRECIATION

I would like to place on record my appreciation to the Chairman and the Board of Directors for their visionary counsel through the year under review. Our success was made possible by the dedication of our staff and the support of suppliers, partners and shareholders. We are satisfied with our performance in 2018/19 as we were able to unleash our potential, although we know that we are ideally poised to produce even higher results in the year ahead.



A. P. Weerasekera
Managing Director

“We will focus on expanding seeds and cropcare segments to get to a higher level. We have further looked at emerging opportunities in related sectors that could be included into our portfolio.”



BOARD OF DIRECTORS

Mr. D N N Lokuge
Deputy Chairman
Non-Executive Director

Mr. W A P Perera
Non-Executive Director

Mr. N G R Karunaratne
Chairman

Mr. A P Weerasekera
Managing Director



Mr. H P J de Silva
Independent & Non-Executive
Director

Mr. A G Weerasinghe
Independent & Non-Executive
Director

Mrs. S N Wickramasinghe
Independent & Non-Executive
Director

Mr. D S K Amarasekera
Non-Executive Director



BOARD OF DIRECTORS PROFILES

1. MR. N. G. R. KARUNARATNE

Chairman

Mr. Rohan Karunaratne is a Fellow of the Institute of Chartered Accountants of Sri Lanka and is the founder Chairman/CEO of AgStar PLC. He has previously served on the Boards of Ceylon Tobacco Company, CIC Holdings PLC and CIC Agri Business. Mr Karunaratne has a wealth of experience counting over 40 years of managing agri business ventures.

As the founder CEO of CIC Agri Business, Mr. Karunaratne successfully spearheaded the setting up and development of new agricultural ventures in fertilizer, seed, planting material, biotechnology, agro consultancy and agri technology. He was also instrumental in developing public/private sector partnerships in the agricultural sector of Sri Lanka by transforming the management of large Government farms and converting ADB funded perennial crop development projects to viable business ventures. Mr. Karunaratne has provided the vision and leadership to introduce pioneering new technologies and products into the agricultural sector, and has contributed significantly to its development in Sri Lanka.

During his tenure at Ceylon Tobacco Company, Mr. Karunaratne functioned as the Head of Tobacco Business. He thereafter functioned as the Managing Director of CTC Services, with responsibility for the management of diversified businesses.

2. MR. A. P. WEERASEKERA

Managing Director

Mr. Pasad Weerasekera is a Fellow of the Chartered Institute of Management Accountants, United Kingdom and has over 25 years of industry experience having started his career in 1988. He has been a founder Director of AgStar PLC, initially functioning as Head of Finance and thereafter as the Chief Operating Officer. He has contributed significantly to the Company becoming a viable business entity.

Mr. Weerasekera previously was at CIC Agri Business having joined the company in 1993. He was Finance Manager of CIC and gained a wide experience in the management of agro business related activities. Mr. Weerasekera is also the Managing Director of AgStar group subsidiaries and Director of Smart Travel International (Pvt) Ltd and Sapase (Pvt) Ltd.

3. MR. D. N. N. LOKUGE

Deputy Chairman

Mr. Nimal Lokuge is a founder Director of AgStar PLC and functions as the Deputy Chairman of the Company. He was also a founder Director of Sierra Construction Pvt Ltd with 30 years of experience in the construction industry. He is a Director of a number of Sierra Group Companies.

4. W. A. P. PERERA

Non-Executive Director

Mr. W. A. P. Perera is a founder Director of AgStar Fertilizers PLC and serves as the Chairman of Sierra Cables PLC and a founder Director of Sierra Holdings (Pvt) Limited and Sierra Construction (Pvt) Limited. He has over 35 years experience in the Engineering and Construction industry.

5. MR. D. S. K. AMARASEKERA

Non -Executive Director

Mr. Kamantha Amarasekera is an eminent tax consultant and the Senior Tax and Legal Partner of Amarasekera & Company – a leading tax consultancy firm in the country. He is a member of the Institute of Chartered Accountants of Sri Lanka and is an Attorney at- Law of the Supreme Court of Sri Lanka. He graduated in Business Administration from the University of Sri Jayawardenapura.

6. MR. H. P. JANAKA DE SILVA

Independent and Non -Executive Director

Mr. Janaka de Silva is a holder of the B.Sc. (Ceylon) and a MBA (Sri Jayawardenapura) degree. He is a Fellow of the Institute of Chartered Accountants and the Institute of Bankers of Sri Lanka and counts over 40 years' experience in Banking and Finance.

Mr. de Silva served as a Consultant to the National Development Bank during the period of August 2003 to December 2007 and advised the bank on the integration of financial and accounting systems on the merger of NDB Bank with NDB. He joined Union Bank of Colombo Ltd at the pre- operational stage of the bank as General Manager/ Chief Operations Officer and was appointed as the Managing Director/CEO in May 2002. During the period from April 1992 to April 1995 Mr. de Silva served as the Director-Operations of American Express Bank, Colombo and was responsible for all operational activities and functioned as the Quality Co-ordinator of the Colombo Office. In September 1976 Mr. de Silva joined Bank of Ceylon as Assistant General Manager/Controller and was elevated to the position of Corporate Adviser in 1979. In February 1987 Mr. de Silva joined Sampath Bank as the founder General Manager/CEO.

BOARD OF DIRECTORS PROFILES

7. MR. A. G. WEERASINGHE

Independent and Non-Executive Director

Mr. Weerasinghe is an experienced senior banker who joined the AgStar PLC Board in the year 2011. Presently he serves as the Chairman of Lanka Century Investments PLC, Taprobane Securities (Pvt) Ltd, Taprobane Investments (Pvt) Ltd, Lexinton Holdings (Pvt) Ltd, Taprobane Wealth Plus (Pvt) Ltd, and Heron Agro Products (Pvt) Ltd and Lexinton Financial Services (Pvt) Ltd.

Mr. Weerasinghe holds a B.A. in Economics degree from the University of Ceylon, Peradeniya. Mr. Weerasinghe served as an Assistant Lecturer in Economics, University of Ceylon, Peradeniya. He was also a former President of Sri Lanka FOREX Association and a member of the Sri Lanka Cricket Board. He is an Associate and a Fellow member of the Institute of Bankers, Sri Lanka.

Mr. Weerasinghe was the former Deputy General Manager, Corporate Banking at Bank of Ceylon. He has served as Country Manager, Bank of Ceylon, London and Deputy General Manager, International at Seylan Bank. He was a Director and was subsequently appointed as the Chairman of Pan Asia Banking Corporation PLC in March 2008, and continued his service till March, 2012.

At present he serves on the Boards of many renowned companies in Sri Lanka, namely, Ceylon Leather Products PLC, South Asia Textile Industries Lanka (Pvt) Ltd, and Colombo City Holdings PLC.

Mr. Weerasinghe joined Bank of Ceylon in 1967 and was appointed the first Manager of Bank of Ceylon agricultural service centre branch in 1972 one of 300 branches opened throughout the Island to serve small farmers. He has extensive experience in supervised lending and collection in the above sector.

8. MRS. S. N. WICKRAMASINGHE

Independent and Non-Executive Director

Mrs. Siromi Wickramasinghe is an Attorney at Law of the Supreme Court of Sri Lanka and a Fellow of the Chartered Management Institute U.K. She is a Senior Banker with 35 years of experience and has held many positions in financial institutions including the post of DGM - Hatton National Bank PLC, GM / CEO Lankaputhra Development Bank, Director - Commercial Bank of Ceylon PLC, Chairman of HDFC Bank and Director -Sri Lanka Banks' Association (Guarantee) Ltd.

She was also a Commission Member of the Securities and Exchange Commission of Sri Lanka (SEC) and the Chairman of Ceybank Asset Management (Pvt.) Ltd which is an Associate Company of Bank of Ceylon.

Mrs. Wickramasinghe is presently a Director of HNB Assurance PLC, and Head of the Credit Counselling Centre.



9. MRS. SUNJEEVANI KOTAKADENIYA

Alternative Director to Mr. K. Amarasekera

Mrs. Kotakadeniya is the Chief Financial Officer of LOLC Group and counts thirty years of experience in financial management, general management, treasury management and corporate planning in multiple industries. Her exposure to financial services spans across finance, insurance, leasing, factoring, fund management, unit trusts and stock broking companies. Her non-financial services experience covers the sectors of leisure, agriculture and plantations, trading, construction and renewable energy. She has been involved in several strategic mergers and acquisitions, business transformation, new business set up and has been a proponent of change management and steering change management initiatives.

She is a Director of several companies in the LOLC Group including Browns Hotels and Resorts Ltd. and its subsidiaries, Browns Capital PLC and its subsidiaries and LOLC Motors Ltd.

She was a Member of CIMA Sri Lanka Board 2012-2015 and a Member of Sri Lanka Accounting Standards Committee, and a Member of the Board of the National Council for Child and Youth Welfare.

LEADERSHIP TEAM



1.



2.



3.



4.

1. MR. DAYA JAYASEKARA
Director - Technical

2. MR. ATHULA GUNARATHNE
Director - Sales and Marketing

3. MR. RUWAN MARAMBAGE
Director Cropcare

4. MRS. UMA SHANMUGANATHAN
General Manager - Accounts & Admin

5. MR. ARUNA KUMARASINGHE
SBU Head - AgStar Seeds and Prith Seeds

6. MR. LAKMAL DASANAYAKE
General Manager - Mahaweli Fertilizer

7. MR. VIPULA WAIDYARATNE
General Manager - Grains Business

8. MR. DHANUSHKA DE ZOYSA
*Assistant General Manager
Corporate Sales and Exports*

9. MR. SAMAN RAJAPAKSHE
*Assistant General Manager
Materials Management*

10. MR. SUMEDHA BANDARA
Assistant General Manager - Cropcare

11. MR. CHANDANA UDAWELA
Sales Manager



5.



6.



7.

8.



9.



10.



12. MR. ASELA INDIKA
Sales Manager

13. MR. GAYAN DE ABREW
Manager Finance

14. MR. LAHIRU WEERARATHNA
Manager Financial Controls

15. MR. MOHAMED RIZNY
Accountant

11.



12.



13.



14.



15.



MANAGEMENT DISCUSSION AND ANALYSIS

“AgStar is undoubtedly one of the most trusted and highly used fertilizer brands that ensure a higher yield. AgStar brings to you a wide range of organic and chemical fertilizers in different quantities to be used in agriculture, horticulture, floriculture, home gardens and green houses.”

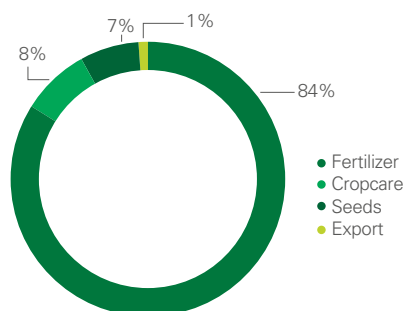
“The company was able to record strong growth in 2018/19, supported by favourable weather conditions and strong demand for its products.”

Agstar, a well-known, trusted and highly used fertilizer which offers a wide range of organic and environment friendly chemical fertilizers for use in agriculture, horticulture, floriculture, home gardens and green houses. The Agstar product portfolio has expanded to include chemical fertilizers, organic fertilizers, granular fertilizers, water soluble fertilizers, hybrid exotic vegetable seeds, local vegetable seeds, agro chemicals, growth stimulants and specialty agro products categorized into Crop Care, Fertilizer, Seeds, Exports and Property segments of the business. Agstar sales centers placed at strategic locations, together with an island-wide distribution network supported by an experienced team of agro specialists, ensure the products are conveniently and readily available to consumers. The company was able to record strong growth in 2018/19, supported by favourable weather conditions and strong demand for its products.

AGRICULTURE SECTOR IN 2018

Recovering from the negative performance observed during the past two years, the value added of agriculture activities grew by 4.8% in 2018 against 0.4% contraction recorded in 2017. The favourable weather conditions that prevailed in major cultivation areas throughout the year spurred the recovery in agriculture activities as witnessed mainly by the substantial increase in the growing of rice, fruits, oleaginous fruits (coconut, king coconut, oil palm) and spices during the year. Total paddy production of the country grew significantly in 2018 amidst favourable weather conditions. Paddy production, which was affected by adverse weather conditions, in 2017, recovered with an increase of 64.9%, resulting in a production of 3.9 million metric tons during 2018. Unfavourable weather conditions in tea growing areas, particularly during the months of May and June 2018, and wage related trade union action in the plantation sector affected the total tea production during the year.

Group Turnover



“Recovering from the negative performance observed during the past two years, the value added of agriculture activities grew by 4.8% in 2018 against 0.4% contraction recorded in 2017.”

Accordingly, total tea production decreased by 1.0% to 303.8 million kg in 2018 from 307.1 million kg in 2017. Rubber production declined by 0.6% to 82.6 million kg in 2018 from 83.1 million kg produced in 2017. Coconut production recovered from its declining trend in 2018, due to the lagged effect of favourable rainfall experienced in major coconut growing areas. Vegetable production increased to 1.7 million mt in 2018, registering a growth of 13.3% amidst weather related disturbances during some periods of the year. This was supported by an increase of 20.6% in the 2017/18 Maha season and a 4.6% growth during the 2018 Yala season.

GROSS REVENUE

Rs. 2,478 Mn

2017/18: Gross Revenue Rs. 3,317 Mn

Meanwhile, pest attacks became a major issue in vegetable cultivation, and measures are required to address this issue in order to protect the farmers and the consumers, as well as to increase the sustainability of the sector.

Sector	Sales (%)	Increase (%)
Tea	27	21
Rubber	1	16
Coconut	3	130
Vegetables	25	72



MANAGEMENT DISCUSSION AND ANALYSIS

FERTILIZER



GROSS REVENUE

Rs. 2,097 Mn

2017/18: Gross Revenue Rs. 3,100 Mn



The company's strong performance was the direct result of restructuring of field staff, improving quality of blends, a new credit policy, monitoring and proper controlling of credit for dealers, and regional sales quota for Managers.

Sales of fertilizers performed strongly during the year under review for the most part of the year, albeit in the last quarter a slight dip was seen in fertilizer sales due to government intervention by way of further subsidies. Our volumes grew by 23% but turnover reduced by 32% mainly due to the drop in selling price due to the introduction of fertilizer subsidy. The company's strong performance was the direct result of restructuring of field staff, improving quality of blends, a new credit policy, monitoring and proper controlling of credit for dealers, and regional sales quota for Managers. In terms of sectors, the company performed well in the tea, vegetable and coconut sectors and grew by 21%, 72% and 130% respectively. The Net profit grew from Rs. 99 million in the previous year to Rs. 211 million in the year under consideration, sales volumes also increased by 62,116 Mt to 76,368 Mt.

During the year under review, Agstar PLC introduced the Oil Palm product line with a new ratio for the Regional Plantation Company sector. Meanwhile, re-branding of the vegetable blend was successfully undertaken while improving its product quality and packing. The government subsidy and price ceiling remains a source of concern and a limiting factor for greater growth.

“During the year under review, Agstar PLC introduced the Oil Palm product line with a new ratio for the Regional Plantation Company sector.”



PROPERTY

Rs. 551 Mn

2017/18: Rs. 372 Mn

PLANT & MACHINERIES

Rs. 32 Mn

2017/18: Rs. 30 Mn



MANAGEMENT DISCUSSION AND ANALYSIS

CROPCARE



SALES GROWTH

160%

PROFIT GROWTH

Rs. 34.7 Mn



Extensive branding work was focused on Foliar fertilizer, Growth stimulant, Micro nutrient and Control release granular categories.

Cropcare operations recorded a turnover growth 160% for the year ended 31st March 2019 compared to the previous year. The gross profit margin growth recorded was 9% with a operating profit margin growth of 34% during the same period compared to last year. Cropcare was able to turn around the business from a loss-making to profit-making status with a net profit growth of Rs 34.7 million. Significant market share growth was shown by weedicide, insecticide, fungicide and granular product categories during the financial year. The weedicide category grew by 9 times and the insecticide category by 33 times compared to the previous year.

The Cropcare segment strengthened its product lines in weedicides and insecticides to grow and capture market share in the stated respective categories. Extensive branding work was focused on Foliar fertilizer, Growth stimulant, Micro nutrient and Control release granular categories.

“Cropcare was able to turn around the business from a loss-making to profit-making status with a net profit growth of Rs 34.7 million.”

It seems that strict regulations for the import of agrochemicals will continue with new laws also to be implemented by the Registrar of Pesticides. However, despite the challenges, Agstar perceives the potential to sustain growth momentum in the cropcare business to gain market share.



GRAINS



PROFIT GROWTH - FERTILIZER

Rs. 15.3 Mn



Mahaweli

Mahaweli Agro Trading (Pvt) Ltd.

Mahaweli Agro Trading (Pvt) Ltd ceased its rice milling operation and engaged in agri input trading and fertilizer sales under the Mahaweli brand. The company has strengthened its marketing activities during the year under consideration and achieved greater brand visibility. The company has transformed into a profitable business, with the company recording a profit of Rs. 8.9 million compared to the loss of Rs. 16.7 million in 2017/18. The quota system introduced by the government is a hurdle in the way of future expansion. The company is focused on non-subsidised agri inputs since we have still not been granted quota to import.

AgStar Grains (Pvt) Ltd

AgStar Grains (Pvt) Ltd milling operations are shut down completely and as a result the losses were reduced by 90% compared to the previous year. The assets worth Rs. 144 million is classified under held for sale and the management is currently seeking buyers for the assets.

SEEDS



PROFIT GROWTH

Rs. 25 Mn



We envision strong prospects for growth and have introduced new vegetable seeds, namely, leeks, carrots and beets which will enhance our portfolio.

AgStar Seeds

AgStar Seeds launched 13 new cropcare products during the year, which performed well in terms of sales growth. A sharp improvement was seen in sales of beans and beet seeds. Maize cultivation was affected by the Sena worm attack, however not to a very great extent, due to which the company managed to achieve 71% of the targeted volume. The Seed Paddy segment achieved its target for the year. The main contribution to the turnover was from Anuradhapura, Kurunegala, Puttalam, Hambantota, Monaragala, Ampara and Mahiyangana districts. A new variety of beet and leeks were introduced during the year.

The company plans to introduce a new Maize variety to Polonnaruwa and Batticaloa districts. Four new products will also be introduced in the new financial year.

Prith Seeds

Prith Seeds performed well as turnover increased during the year in comparison to the previous year. The company successfully converted the previous loss-making year into a profitable one in 2018/19. Prith Seeds managed to reduce overdue debt from 56% to 34%. The main products which contributed to this achievement were PS Hungarian Yellow Wax, Cabbage and Beans. Nuwara Eliya and Badulla (33%) districts were the main contributors to the sale while Ratnapura (15%), Kandy and Matale (20%) districts made a good contribution.

In an update to the case against the copycat suppliers duplicating Prith Seeds' packaging and selling fraudulently in the market, a claim of Rs. 80 mn as compensation has been filed against the accused for losses incurred by Prith Seeds due to the infringement. An Intellectual Property case is ongoing at the Commercial High Court, where evidence taking has started while the case in the Nugegoda is scheduled for order.

PROPERTY BUSINESS



TOTAL ASSETS

Rs. 1.1 Bn

“Our property is integral to our operations - driving streamlined processes, efficient production and addressing all our warehousing needs, thus ensuring our productivity and capacity to grow.”

The revaluation of company owned land and building in Ekala delivered a substantial profit during the year. The prospects for this arm are promising as we received permission for building a 75,000 sq ft warehouse and a 10,000 sq ft office cum facility at the Ekala land. We expect approval and construction to begin in 2019/20. The total value of the assets were valued above Rs. 1.1 billion.

EXPORTS



SALES GROWTH

124%

“We are in the process of streamlining the company to improve performance into the future.”

AgStar Exports (Pvt) Ltd was established in 2013 with a vision of becoming the premier supplier of specialty value-added Ceylon cinnamon, other spices and all natural food and food ingredients from Sri Lanka to the global market place. At present AgStar is working on value-added organic food products, strengthening its credentials with USDA and EU Organic certifications and the ISO 22000- 2005 system certificate. The company supplies organic spices and allied products and is now stepping to Sri Lankan tea and coconut products to export in value added form to generate foreign income for the country.



MANAGEMENT DISCUSSION AND ANALYSIS

Both export and local business gained in the year under review compared to 2017/18. The company exported 202 kg of value added organic cinnamon powder and quills to the USA and secured further new orders. During the period under review, the turnover of the export company improved by 124%. In the local market, the company is supplying sugar sachets to all 3 main super market chains in Sri Lanka, namely, Keells, Cargills and Arpico. Last year, Cargills and Arpico were added to the network. The company also started importing vegetable oil into Sri Lanka during 2018 to meet demand from leading local restaurants. Company made 38,000 litres of edible oil sales during the year.

AgStar Exports introduced organic coconut products and organic tea into its product portfolio during 2018 and reached an agreement with a key German buyer to supply them with organic coconut products.

The company continues to invest in participating in overseas trade shows and promotions which are imperative for tapping into the export market. AgStar Exports is also trying to establish its foothold in the European market for organic coconut products. The company is focused on adding new organic food product manufacturers who have the required quality certificates to its supplier network. Expansion plans are being drawing up by introducing new food products into the company's portfolio. AgStar Exports plans to double its turnover targets going ahead.

PROFIT GROWTH

Rs. 18.7 Mn

“The company exported 202 kg of value added organic cinnamon powder and quills to USA and secured further new orders.”

FINANCIAL REVIEW

The Group posted a net profit of Rs. 226.4 million and total comprehensive income of Rs. 127.7 million for the 2018/19 financial year, which includes a Rs. 80.5 million revaluation gain on land and capital gain tax of Rs. 178.9 million. In light of the challenging year, the turnover has dropped due to price ceiling and introduction of the Subsidy on fertilizers, however Profit after tax stood at Rs. 226.4 million as against Rs. 26.6 million recorded in the previous year due to the 23% increase in sale volume.

The subsidy receivable balance from the government went up to Rs. 3 billion but we received only Rs. 1 billion during the year under review. Of the Rs. 2 billion receivable Rs. 754 million is over the stipulated period and is overdue. The company had to pay a heavy interest cost due to the delay on the part of the government in making the payment. As a result of the subsidy scheme caused us to incur a financial impact of Rs. 40 million negatively.

The total asset base of the Group increased by 8% during 2018/19 and return on assets at 4.23% showed an improvement compared to a figure of 0.54% in the previous year

Earnings per share reflected the increase up to Rs. 0.70 as compared to Rs. 0.08 in previous year. There were no new share issues during the period under review and the return on shareholders' equity was positive at 7.84% as against 0.95% in the year 2017/18.

SHAREHOLDER INFORMATION

AgStar PLC was listed on the Colombo Stock Exchange on 16/02/2012. As per the Listing Rules, the Company has submitted the unaudited interim financial statements to the Colombo Stock Exchange (CSE) within 45 days of each quarter.

Share Prices

The highest share price recorded during the financial year was at Rs. 5.1 whereas the lowest recorded at Rs. 3.2. The table of graphs depicts the AgStar share price trends during the year under review. The share prices fluctuated during the year ending at Rs. 4.00 per share as at 31 March 2019.

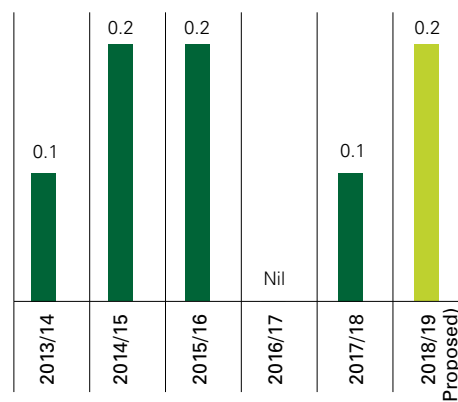
THE INTEREST COVER

The interest cover during the year reduced to 3.5 times from the figure of 4.7 times (on profit from continued business) in 2017/18. This is as a result of delay in repayment of loans due to the late payment of subsidy money and overall increase in the interest cost in the group as a whole compared to previous year.

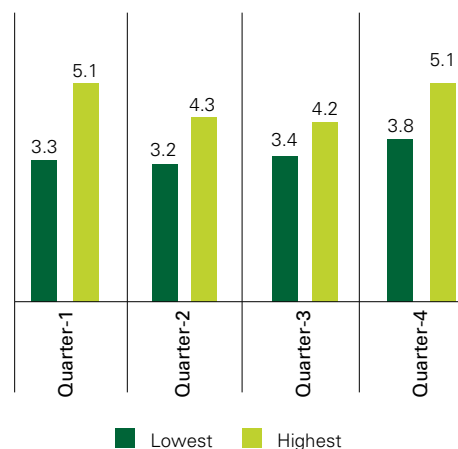
DIVIDENDS

The Directors have recommended a final dividend payment of Rs.0.20 per share for the financial year 2018/19.

Dividend per Share



Share Price



SUSTAINABILITY REPORT

The World Bank has deemed agricultural development to be one of the most powerful tools to end extreme poverty, boost shared prosperity and feed a projected 9.7 billion people by 2050. Studies have found that growth in the agriculture sector is two to four times more effective in raising incomes among the poorest compared to other sectors. Moreover, for many countries globally and Sri Lanka in particular, agriculture is crucial to economic growth. However, Sri Lanka was ranked second among the countries most affected by extreme weather events in 20 years since 1998.

Against this backdrop, Agstar PLC's efforts to build food security for Sri Lanka by cultivating new seed varieties and promoting technically sound agricultural practices amongst local farmers is having a profound impact on the nation's agricultural sector. Despite the many hardships faced by the sector and the impact on the company, Agstar PLC remains optimistic about its vision to lead Sri Lanka's agriculture and related agri sectors into a new era. Agstar PLC's sustainable goal is to meet food needs in the present without compromising the ability of future generations to meet their own needs.

While continuing to pursue its strategic goals to benefit the agri sector through innovation and dynamism, the Company's sustainability commitment also encompasses key stakeholder groups, namely, Employees, Partners and Community.

Employees

Agstar PLC has built a reputation by operating its business in an ethical manner and a culture largely driven by its employees. The strong emphasis we lay on leadership, performance and well-being of our people has led to the creation of a unique work culture at Agstar PLC, which is open, transparent and empowering.

Highly Engaged Team

Improving the performance and engagement of our employees is a top priority at AgStar PLC. We drive this mission by having a clear two-way communication between senior management and staff to ensure that all the employees are pulling in the same direction in the pursuit of our corporate goals. A fair and performance-driven appraisal system provides the right encouragement to keep employees engaged and committed to the Company's overarching vision.

Moreover, the Company has successfully built a team of engaged employees by hiring persons from the locality, so that not only are they well grounded in local norms but this practice is also bringing economic benefits to the local communities they hail from.



Diversity

Diversity is a critical success factor for Agstar PLC, because we ensure we have a diverse set of employees who can focus on career growth, secure in the knowledge that the Company does not discriminate on any grounds and that it respects human rights.

Safety and Well-being

AgStar PLC takes pride in being fully compliant with workplace safety regulations and required legal, industry and market requirements pertaining to employee welfare. Our foremost effort is to nurture a healthy and happy workforce that makes the optimum contribution in the workplace every day.

During the year AgStar PLC introduced a well thought out welfare scheme which would render multiple benefits to staff members. These benefits are devised in response to employee feedback and are a crucial step towards employee retention. Under the new scheme, an allowance will be paid in the event any employee suffers due to natural disasters. Moreover, in order to partner employees in their happiest moments, a Gift allowance will be granted at the time of the employee's wedding and also at the birth of the first child.



Promoting Fellowship

Employee well-being is also generated by promoting a sense of camaraderie and fellowship and AgStar PLC makes sure it provides ample opportunities for its team to give wing to their all round potential. The Company organizes several sporting events during the Annual Sports Day to encourage a sense of togetherness, when management and staff converge on the sporting field. During 2018, the Company organized an inter-department Cricket Tournament for the first time, which witnessed enthusiastic participation by staff and their families.

Knowledge-based workforce

In order to retain employees, it is critical to provide opportunities for them to learn and develop their technical and soft skills. The company provides hands-on job training and in-house and external training sessions based on the identified needs to upskill employees.

During the year under review, AgStar PLC organized 3 training and development programmes for the staff of the Marketing Department related to new products and credit management.



SUSTAINABILITY REPORT

Partners

AgStar PLC deeply values its relationships with the Partners in its business, namely, Farmers and Customers. By investing in research and development and sourcing new varieties of high yield seeds, the Company continues to strengthen its impact on the farming community. AgStar PLC has become the preferred supplier of Seeds, Fertilizer and Cropcare to the nation's farming community. The AgStar brand of products supports farmers by ensuring they are of the highest quality while the Company's field staff shares technical knowledge with farmers on how to enhance yields and other crop cultivation methods. In the past, AgStar has donated seeds and expertise to rural schools to develop their own farms in order to assist students who follow agriculture studies, thereby boosting interest in the agri sector.

During the year under review, AgStar PLC conducted the following programmes amongst the farmer community:

- Workshop on Coconut and Tea Growing in Matale and Kandy, with over 110 participants
- Crop clinic programme in Rotumba with 54 participants
- Farmer Training classes in Deniyaya, Pallegama and Rakwana in which over 50 participants took part
- Training class for more than 55 tea pluckers in Pitabeddara and Kalawana.



Community

Since our business has such a positive economic influence on the nation's farming community, many of our social responsibility projects too are aimed at this segment. During 2018, AgStar PLC organized Alms-Giving functions amongst the farming community and surrounding villages of Ekala.

Pragna Pradeepa

Education is a useful tool for youth to achieve their aspirations and the Company encourages students in rural areas to stay in school by making regular donations of school materials such as school bags, shoes, books etc. In practice for the past 25 years, Pragna Pradeepa has been enlightening the lives of children with the gift of education. AgStar makes a donation towards the project every year to support the under-privileged school children in the Borella area.

Furthermore, during the year, AgStar PLC donated the bulk of its used bags to the Mega Beach Clean Up programme, which was a huge success.

AgStar PLC remains committed to building the resilience of its local communities while contributing towards socio-economic development and capacity building.



CORPORATE GOVERNANCE

GENERAL GOVERNANCE POLICY

The concept of corporate governance covers the entire accountability framework of an organization. It encompasses aspects of both corporate and business governance and is based on the premise that a good governance policy alone cannot make an organization successful. It is only by having in place good corporate governance practices, which are strategically linked to performance management that an organization is able to focus on the key drivers of the business. This concept emphasizes the dual role of the Board of Directors in ensuring conformity to good governance and strategic management for value creation.

It is the firm belief of the Board of Directors that an effective self-regulatory framework is vital to pursue stakeholder confidence in the context of increasing trends in deregulation and lack of regulations in certain areas. AgStar PLC ("AgStar") has continued its commitment to maintain high standards of corporate governance in order to ensure the integrity,

accountability and transparency of all transactions as well as to ensure equal importance to business performance in order to ensure value creation.

AGSTAR'S ADOPTION OF CORPORATE GOVERNANCE

Being a listed company committed to maintain ethics and professionalism in every sphere of activity, AgStar adheres to high standards of corporate governance. It defines governance as the set of processes, customs, policies, laws and institutions affecting the way in which the corporation is directed, administered and controlled. Key aspects of the corporate governance framework established by the Company are described below.

In keeping with its vision and mission and with the continued goodwill and confidence of customers very much in mind, the Company is careful not to undertake any business activity that might adversely affect the welfare of the community and the environment.

Corporate Governance Principle	Principle No.	Level of Compliance
Directors		
The Board	A.1	Composition The Board currently comprises of eight Directors which include six Non-Executive Directors and two Executive Directors. Three out of six Non-Executive Directors are Independent. The Board has an appropriate balance of skills, experience, independence and knowledge to enable it to discharge its duties and responsibilities effectively. Frequency of Board Meetings Four Board Meetings are scheduled to evaluate the performance and to discuss strategy and other matters of the company. Ad-hoc meetings are scheduled to deal with specific matters which require the attention of the Board between scheduled meetings. The table below depicts the attendance of Directors at the Board and Committee meetings held during the year.

CORPORATE GOVERNANCE

Corporate Governance Principle	Principle No.	Level of Compliance																																																		
	A.1 (Continued)	<table><tr><th>Name of Director</th><th>Board Meetings</th><th>Audit Committee Meetings</th><th>Remuneration Committee Meetings</th><th>Related Party Committee Meetings</th></tr><tr><td>Mr. N. G. R. Karunaratne</td><td>4/4</td><td></td><td></td><td>3/3</td></tr><tr><td>Mr. D. N. N. Lokuge</td><td>3/4</td><td></td><td>1/1</td><td></td></tr><tr><td>Mr. A. P. Weerasekera</td><td>4/4</td><td></td><td></td><td>3/3</td></tr><tr><td>Mr. A. P. W. Perera</td><td>4/4</td><td></td><td></td><td></td></tr><tr><td>Mr. D. S. K. Amarasekera</td><td>0/4</td><td></td><td></td><td></td></tr><tr><td>Mr. A. G. Weerasinghe</td><td>4/4</td><td>5/5</td><td>1/1</td><td>3/3</td></tr><tr><td>Mr. H. P. J. De Silva</td><td>4/4</td><td>5/5</td><td>1/1</td><td>3/3</td></tr><tr><td>Ms. S. Wickramasinghe</td><td>4/4</td><td>3/5</td><td></td><td>3/3</td></tr><tr><td>Mrs. S. Kotakadeniya (Alt. Director to Mr. Amarasekera)</td><td>1/4</td><td></td><td></td><td></td></tr></table>	Name of Director	Board Meetings	Audit Committee Meetings	Remuneration Committee Meetings	Related Party Committee Meetings	Mr. N. G. R. Karunaratne	4/4			3/3	Mr. D. N. N. Lokuge	3/4		1/1		Mr. A. P. Weerasekera	4/4			3/3	Mr. A. P. W. Perera	4/4				Mr. D. S. K. Amarasekera	0/4				Mr. A. G. Weerasinghe	4/4	5/5	1/1	3/3	Mr. H. P. J. De Silva	4/4	5/5	1/1	3/3	Ms. S. Wickramasinghe	4/4	3/5		3/3	Mrs. S. Kotakadeniya (Alt. Director to Mr. Amarasekera)	1/4			
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Mrs. S. Kotakadeniya (Alt. Director to Mr. Amarasekera)	1/4																																																			
		The Responsibilities of the Board The Board is ultimately accountable for ensuring that, as a collective body, it has the appropriate skills, knowledge and experience to perform its role effectively. The Board is responsible for the following:- • formulation, implementation and monitoring of strategy • effective systems to secure integrity of information, internal controls and risk management • compliance with laws, regulations and ethical standards • ensuring all stakeholder interests are considered in corporate decisions																																																		

Corporate Governance Principle	Principle No.	Level of Compliance
Directors	A.1 (Continued)	The Board has delegated several functions to Board Committees, while retaining final decision rights pertaining to matters under the purview of the Committees. The composition and the functions of these sub-committees are discussed in detail under the relevant sections of this Report. Obtaining Independent Professional advice In discharging their duties the Directors are permitted to seek independent professional advice from external parties when necessary at the expense of the Company. Company Secretary The Directors have access to the advice and services of the Company Secretary. The Company Secretary advises on the need to comply with board procedures, relevant statutory obligations and other applicable rules and regulations. Independent Judgment All Directors employ independent judgment in all decisions pertaining to strategy, performance, resource allocation and standards of business conduct and acts free from any undue influence and bias from other parties Dedication of adequate time and effort to matters of the Board and the Company The Board members dedicate adequate time and effort to fulfil their duties as Directors of the Company and ensure that they are satisfactorily discharged. Newly appointed Directors who do not have previous public company experience at Board level are provided with appropriate training on their role and responsibilities. New Directors participate in a comprehensive and tailored induction program including meetings with members of the senior management. The induction program includes a full review of corporate responsibility. Subsequent training is available on an ongoing basis to meet any particular needs.
Chairman & Managing Director	A.2	A clear division of responsibility is maintained between the Chairman and the Managing Director ensuring that the balance of power and authority is preserved.

CORPORATE GOVERNANCE

Corporate Governance Principle	Principle No.	Level of Compliance
Chairman's role	A.3	The Chairman being responsible for the running of the Board facilitates the effective discharge of Board proceedings and ensures that: • Effective participation of both Executive and Non-Executive Directors is secured • All Directors are encouraged to make effective contributions to proceedings • The views of Directors on issues under consideration are ascertained, and • Board is in control of the affairs of the Company and alert to its obligations to all stakeholders
Financial Acumen	A.4	The members of the Board possess the necessary knowledge and competence to offer guidance on matters of finance
Board balance	A.5	The Board considers the Independent Directors as free of any business relationship or other circumstance and independent of management that could materially interfere with or could be reasonably perceived to materially interfere with the exercise of their unfettered or independent judgment. To determine their independence, the Board reviews all Directors' interests that may give rise to a potential or perceived conflict, and any circumstances relevant to their current or ongoing independence as set out in the Rules and Regulations of the Colombo Stock Exchange. Mr. H. P. J. de Silva, Mrs. S. Wickramasinghe and Mr. A. G. Weerasinghe meet the criteria for independence specified by Rule 7.10.4 of the Listing Rules of the Colombo Stock Exchange. These Directors have submitted written declarations of their independence as required by section 7.10.2 (b) of the Listing Rules.
Supply of Information	A.6	The Board is provided with timely information in an appropriate manner enabling it to discharge its duties effectively. In the event the information volunteered by management is not adequate, the Directors make further inquiries. The Chairman ensures all Directors are appropriately briefed on issues arising at Board meetings. The minutes, agenda and connected papers required for a Board Meeting are dispatched to the Directors in advance enabling them with sufficient time to review the papers and request for any additional information or clarifications on matters when necessary.

Corporate Governance Principle	Principle No.	Level of Compliance
Appointments to the Board	A.7	The Board has not established a Nominations Committee for making recommendations on Board appointments. Hence appointments to the Board are made collectively and with the consent of all the Directors. Upon the appointment of a new Director to the Board, the Company informs the Colombo Stock Exchange together with a brief resume of the Director which includes; • The nature of his/her expertise in relevant functional area, • Other Directorships or memberships in Board sub committees, • Whether the Director is considered an Independent Director.
Re-election	A8	In compliance with the Articles of Association of the Company, one third of the Directors retire by rotation at every Annual General Meeting. A Director appointed during the year retires at the next Annual General Meeting of the Company and seeks re-appointment in terms of the Articles of the Company.
Disclosure of Information in respect of Directors	A.9	Current Directors' biographical details are set out on pages 18 to 21 of this Annual Report. These include their main external commitments
Appraisal of the Managing Director	A.10	The Annual appraisal of the Managing Director is carried out by the Board against pre-agreed performance targets.
Remuneration Procedure	B1	The Board has established a formal and transparent procedure for developing policy on Executive remuneration and for fixing the remuneration. In order to avoid potential conflicts of interest, the Board has delegated powers to the Remuneration Committee to make recommendations to the Board on remuneration policy and practice that is consistent with the Objectives of the Company. The Remuneration Committee consists of three Non-Executive Independent Directors and one Non-Executive Director. The names of the members of the Committee are indicated in the Directors' Report on the State of Affairs of the Company.
Level and makeup of remuneration	B2	The level of remuneration for both Executive and Non-Executive Directors is sufficient to attract and retain the Directors to run the Company successfully. The Remuneration Committee compares the levels of remuneration of the Company in relation to other companies in the industry. The Remuneration Committee report appears on page 52 of this Report.

CORPORATE GOVERNANCE

Corporate Governance Principle	Principle No.	Level of Compliance
Directors	B3	The total remuneration of the Directors' is disclosed in Note 10 to the Financial Statements.
Constructive use of the Annual General Meeting	C1	The Shareholders of the Company have the opportunity to meet and question the Board at the Annual General Meeting. Each item of business to be considered at the Annual General Meeting is included with the Notice of Meeting which is sent to shareholders at least 15 working days prior to the meeting. The Chairpersons of the Audit and Remuneration Committees are present at the Annual General Meeting to answer any questions raised by the shareholders.
Major transactions	C2	There were no major transactions during the year as defined by Section 185 of the Companies Act No. 01 of 2007 which materially affect the net asset base of AgStar PLC or Consolidated Group net asset base.
Financial reporting	D1	The Board ensures that the quarterly and annual Financial Statements of the Company are prepared and published in compliance with the requirements of the Companies Act No 07 of 2007, Sri Lanka Accounting Standards and the Colombo Stock Exchange. The Statement of Directors' Responsibility in preparation of the Financial Statements is given on page 51 of this Report. The declaration by the Board that the Company is a going concern is given in the Directors' Report on the state of affairs of the Company.
Internal control	D3	The Audit Committee consists of three Independent Directors. The members of the Committee are indicated in the Directors' Report on the state of affairs of the Company. The Committee is empowered to examine and report on the following :- • Review the financial reporting system • Review internal control framework and identify business risks • Review the quality of external and internal audit performance • Review compliance with laws, regulations and professional standards • Recommend the appointment and fees of external auditors The Committee met five times during the year The Chairman and the Managing Director of the Company attended all meeting by invitation.

Corporate Governance Principle	Principle No.	Level of Compliance
Code of Business Conduct and Ethics	D4	The Directors have adopted and adhered to the Code of Business Conduct and Ethics for Directors. A set of Guidelines for ethical behaviour has also been compiled to help employees to act with responsibility and to, make the right decisions in their daily work. This Code of Conduct explains the principles for dealings with business associates, general partners, colleagues and in the community in which we operate. Thus it supports all employees in acting ethically not only in their dealings with one another but also outside the company.
Institutional and Other investors		
Shareholder voting	E1	The company is committed to maintaining good communications with investors. The Chairman conducts a structured dialogue with the shareholders based on the mutual understanding of objectives and ensures that the views of the shareholders are communicated to the Board as a whole. All shareholders are encouraged to participate at meetings of the Company, and a form of proxy accompanies each notice providing shareholders who are unable to attend such meeting the opportunity to cast their vote.

Disclosures pertaining to Corporate Governance Practices

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
7.10.1	Non-Executive Directors (NEDs)	Two or at least one third of the total number of Directors should be NEDs	☒	Corporate Governance Report
7.10.2(a)	Independent Directors	Two or one third of NEDs (whichever is higher) should be independent	☒	Corporate Governance Report
7.10.2(b)	Independent Directors	Each Non-Executive Director should submit a declaration of independence/non-independence in the prescribed format	☒	Corporate Governance Report
7.10.3(a) and (b)	Disclosure relating to Directors	Names of Independent Directors should be disclosed in the Annual Report	☒	Corporate Governance Report
	Disclosure relating to Directors	The basis for determination of independence of NEDs, if criteria for independence is met	☒	Corporate Governance Report

CORPORATE GOVERNANCE

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
7.10.3(c)	Brief Resume of each Director in the Annual Report	A brief resume of each Director should be included in the Annual Report, including his/ her area of expertise	☒	Profiles of the Board of Directors
7.10.4	Criteria for defining "independence"	Requirements for fulfilling criteria	☒	Corporate Governance Report
Rules relating to Remuneration Committee				
7.10.5(a)	Composition of Remuneration Committee	The Committee shall comprise of Non-Executive Directors, majority of whom shall be independent	☒	Corporate Governance Report ,Directors' Report on the state of affairs of the company
		The Chairman of the Committee shall be a Non- Executive Director		
7.10.5(b)	Disclosure of the functions of the Remuneration Committee	The Committee shall recommend the remuneration payable to the Executive Directors and Chief Executive Officer or equivalent role	☒	Corporate Governance Report ,Remuneration Committee Report
7.10.5(c)	Disclosure in the Annual Report	The Report should include the names of the Remuneration Committee members, a statement of Remuneration Policy and the aggregate remuneration paid to Executive and Non-Executive Directors	☒	Corporate Governance Report, the Directors' Report on the state of affairs of the company and the Remuneration Committee Report
Rules relating to Audit Committee				
7.10.6(a)	Composition of Audit Committee	The Committee shall comprise of NEDs, a majority of who shall be Independent. The Chairman of the Committee shall be a Non-Executive Director. The Chairman or a member should be a member of a recognised professional accounting body	☒	Corporate Governance Report, the Directors' Report on the state of affairs of the Company and the Audit Committee Report

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
7.10.6(b)	Functions of the Audit Committee	Overseeing the preparation, presentation and adequacy of the disclosures in the Financial Statements in accordance with the Sri Lanka Accounting Standards Overseeing compliance with financial reporting related regulations and requirements Overseeing the processes to ensure that internal controls and risk management are adequate Assessing the independence and performance of the external auditors Recommending to the Board the appointment, re- appointment or removal of the external auditors and approving their remuneration and terms of engagement	☑	Corporate Governance Report, Audit Committee Report
7.10.6(c)	Disclosure in the Annual Report	The names of the members of the Audit Committee The basis of determination of their independence A report of the Audit Committee as setting out the manner of compliance with their functions	☑	Directors' Report on the state of affairs of the Company, Audit Committee Report
Rules relating to Related Party Transaction Review Committee				
9.2.2	Composition of Related Party Transaction Review Committee	The Committee should comprise a combination of non-executive directors and independent non-executive directors. The composition of the Committee may also include executive directors, at the option of the Listed Entity. One independent non-executive director shall be appointed as Chairman of the Committee.	☑	Corporate Governance Report, the Directors' Report on the state of affairs of the Company and the Related Party Transaction Review Committee Report

CORPORATE GOVERNANCE

CSE Rule No	Applicable Rule	Requirement	Status of Compliance	Reference to Annual Report
9.2.1	Disclosure in the Annual Report	The names of the members of the Audit Committee A statement to the effect that the Committee has reviewed the Related Party Transactions during the financial year and has communicated the comments/observations to the Board of Directors. The policies and procedures adopted by the Committee for reviewing the Related Party Transactions. The number of times the Committee has met during the Financial Year A declaration by the Board of Directors in the Annual Report as an affirmative statement of the compliance with these Rules pertaining to Related Party Transactions or a negative statement in the event the Entity has not entered into any Related Party Transaction/s.	☒	Directors' Report on the state of affairs of the Company, Related Party Transaction Review Committee Report
9.2.2	Composition of Related Party Transaction Review Committee	The Committee should comprise a combination of non-executive directors and independent non-executive directors. The composition of the Committee may also include executive directors, at the option of the Listed Entity. One independent non-executive director shall be appointed as Chairman of the Committee.	☒	Corporate Governance Report, the Directors' Report on the state of affairs of the Company and the Related Party Transaction Review Committee Report
9.2.1	Functions of the Related Party Transaction Review Committee	Reviewing all Related Party Transactions except for transactions set out in Rule 9.5	☒	Corporate Governance Report, Related Party Transaction Review Committee Report

☒ Compliant

REPORT ON RISK MANAGEMENT

No business that does not face any risk can be found in the world. Irrespective of the nature and the size of the business, risk is inevitable in doing business. In broad, such risk factors can be two fold, systematic risk and unsystematic risk. Systematic risk is the risk which cannot be diversified or avoided. On the other hand the unsystematic risk represents the risk unique to the respective business operation which in turn could be mitigated or avoided with risk management activities.

AgStar PLC and its group companies being an entity that closely engages in the agricultural and related products are always open for systematic risks such as adverse weather conditions, impediment Government rules and regulations in relation to the agro industry etc. However, the risk management activities of the company which are an intrinsic part of the business processes from the beginning to the end are expected to mitigate the risk of the group. The following are the highlights of the key risks and the associated risk mitigating activities of the AgStar group.

Description of Risk	Risk Mitigation
Business/ Investment Risks Risk of losses and uncertainties attached to new business investments as the Group continuously looks to diversifying its existing business portfolio	Stringent evaluation of risks associated with each new investment is carried out by in-house expertise and external resources as and when required. Formation of strategic alliances with reputed partners to create synergies and share the investment risk. Address potential adverse ethical, social and environmental factors before venturing into such new projects
Default Risk Default of subsidy component settlements by the Government of Sri Lanka (GoSL) Delays in subsidy component settlements	Currently the likelihood of the default risk is low. However, continuous representative efforts are being carried out in this regard. Constant follow-up with Government authorities to recover the subsidy component within the stipulated time period. Carry out necessary and appropriate representative efforts in this regard.
Economic Risk Risk of an economic downturn negatively impacting the Group's investment and business operations.	Closely monitors domestic and global economic activities that could have an impact on Group's business to take precautions. Maintain sound relationships with relevant stakeholders
Interest Rate Risk Adverse impacts on profitability owing to changes in market interest rates as the Group borrowing are mostly at floating interest rates.	Ensures maximizing returns on financial investments and minimizing cost borrowing Use of appropriate financial and hedging strategies to minimize interest rate risk. Negotiate for concessionary interest rates using AgStar's strength as a listed Company

REPORT ON RISK MANAGEMENT

Description of Risk	Risk Mitigation
Regulatory and Complaints Risk Introduction of new regulation affecting the business adversely and complexity in complying with regulatory requirements	Monitors complaints with regulatory requirements. Participate in representative effort against regulations that could have a negative impact on business / industry.
Credit Risk The probability of the loss of income owing to default by the company's debtors	Conduct in-depth analysis of debtors on their performance. Regular follow-up on overdue debtors to minimize potential losses.
Employee Risk Risk arising from the inability to attract, motivate and retain skilled and experienced staff, thus impacting the business competitiveness.	Build strong employer brand. Implement an effective human resource policy and a plan which is reviewed by the remuneration committee. Adopt an open door policy where any employee can speak to the senior management regarding their concerns.
Operational Risk Losses resulting from fraud, human errors, inefficient processes, natural perils and loss of sensitive information.	Conduct periodic internal audit reviews to ensure complaints and the effectiveness of internal control system. Maintain a business continuity plan to ensure disaster preparedness.
Funding / Liquidity Risk Difficulty in obtaining required funding for projects.	Maintain a business continuity plan to ensure disaster preparedness. Use of AgStar's group strength as a listed Company to raise economical funding as and when required.
Lack of Government support Lack of Government support to promote and encourage the private participation in the industry	Appropriate representative efforts
Competition Risk Risk of losses from a decline in company's competitiveness.	Carry out regular analysis on competitor activities and performance. Formulate strategies to enhance AgStar's market share.

STATEMENT OF DIRECTORS' RESPONSIBILITY

The Statement sets out the responsibility of the Directors, in relation to the Financial Statements of the AgStar PLC (the Company). The responsibilities of the External Auditors in relation to the Financial Statements are set out in the 'Auditors' Report is given on pages 65 to 67.

In terms of Sections 150 (1) and 151 of the Companies Act No. 07 of 2007, the Board of Directors of the Company are responsible for ensuring that the Company keep proper books of account of all the transactions and prepare Financial Statements that give a true and fair view of the financial position the Company as at end of each financial year and of the financial performance of the Company for each financial year and place them before a general meeting.

The Financial Statements comprise of the Statement of Financial Position as at 31st March 2019, the Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows for the year ended and Notes thereto.

Accordingly, the Directors confirm that the Financial Statements of the Company give a true and fair view of the:

- Appropriate Accounting policies have been selected and applied consistently.
- Financial Statements have been prepared and presented in accordance with Sri Lanka Financial Reporting Standards (SLFRS) and Sri Lanka Accounting Standards(LKAS);
- The Financial Statements provide the information required by the Companies Act and Listing Rules of the Colombo Stock Exchange; and
- Reasonable and prudent judgments and estimates have been made.

The Directors have taken reasonable measures to safeguard the assets of the Company and of the Group and in this regard to give proper consideration to the establishment of appropriate internal control systems with a view of preventing and detecting fraud and other irregularities.

The Directors have a reasonable expectation, that the Company and the Group have adequate resources to continue in operational existence for the foreseeable future and therefore have continued to adopt the going concern basis in preparing the Financial Statements.

Messrs KPMG, Chartered Accountants, the Auditors of the Company, have examined the Financial Statements made available by the Board of Directors together with all relevant financial records, related data, and minutes of Shareholders' and Directors' meetings and expressed their opinion in their Report on page 65 of the Annual Report.

The Directors confirm that to the best of their knowledge, all statutory payments relating to employees and the government that were due on behalf of the Company and the Group as at the date of the statement of financial position have been paid, or where relevant provided for, except as disclosed in note 31 to the Financial Statements covering contingent liabilities.

The Directors are of the view that they have discharged their responsibilities as set out in this statement.

By Order of the Board



P.R.Secretarial Services (Pvt) Limited
Secretaries
Colombo

31 May 2019

REMUNERATION COMMITTEE REPORT

COMPOSITION OF COMMITTEE

The remuneration committee appointed by the Board of Directors consists of two independent non-executive Directors and one non-executive Director. The members of the committee during the year under review were Mr. Janaka de Silva (Chairman), Mr. A. G. Weerasinghe and Mr. D. N. N. Lokuge.

COMMITTEE MEETINGS

The committee met once during the year under review as per the table on page 40 of this report and the minutes of the meeting are presented to the Board.

ATTENDANCE

The Chairman and Managing Director attend the meeting of the Remuneration Committee by invitation to discuss the performance of the senior executives and to make proposals as deemed necessary except where their own remunerations are discussed.

ROLE OF THE COMMITTEE

The role of the Remuneration Committee is to;

- formulate remuneration policy of the company to attract and retain high caliber personnel and motivate them
- make recommendations to the Board and monitor the level and structure of remuneration for senior management
- make recommendations to the Board on the Company's framework of executive remuneration and its cost, and to determine on behalf of the Board specific remuneration packages and conditions of employment (including compensation entitlement) for Executive Directors

- make recommendations to the Board regarding the content of the Board's Annual Report to the shareholders on Directors' remuneration (including the Company's policy and Executive Director's remuneration, details of individual remuneration and other terms and conditions)

REMUNERATIONS TO DIRECTORS

The remuneration paid to Directors during the year under review is indicated in note 10 to the financial statements.



Janaka de Silva
Chairman- Remuneration Committee
Colombo

31 May 2019

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

ADOPTION OF THE CODE OF BEST PRACTICES ON RELATED PARTY TRANSACTIONS

The Board of Directors of the Company decided to adopt the Code of Best Practices on related party transactions ("the Code") issued by the Securities and Exchange Commission of Sri Lanka (SEC) and established the Related Party Transactions Review Committee at its meeting held on 30th March 2016.

PURPOSE OF THE COMMITTEE

The purposes of the Related Party Transactions Review Committee ("the Committee") of AgStar PLC ("Company") is to conduct an appropriate review of all of the Company's related party transactions and to ensure that the Company complies with the rules set out in the Code.

The primary objectives of the said rules are to ensure that the interests of the shareholders as a whole are taken into account when entering into related party transactions and to prevent directors, key management personnel or substantial shareholders taking advantage of their positions.

COMPOSITION OF THE COMMITTEE

The Committee consists of five (5) members with a combination of independent non-executive and executive directors. The members of the Committee are:

Name	Position
Mr. A. G. Weerasinghe (Committee Chairman)	Non -Executive and Independent Director
Mr. H.P.J. De Silva	Non -Executive and Independent Director
Ms. S. Wickramasinghe	Non -Executive and Independent Director
Mr. N. G. R. Karunaratne	Chairman
Mr. A. P. Weerasekera	Managing Director

CHARTER OF THE RELATED PARTY TRANSACTION REVIEW COMMITTEE

The Related Party Transaction Review Committee Charter clearly sets out the purpose, membership, authority and the duties and responsibilities of the Committee. In order to discharge the duties and responsibilities effectively and efficiently the Committee has been authorized to:

- Receive regular reports from the Management, and be provided with any information it requests relating to its responsibilities.
- Establish policies and procedures that provide general pre-approvals to certain classes or types of related party transactions;
- Review and evaluates the terms and conditions, and to determine the advisability of any related party transaction;
- Determine whether the relevant Related Party Transaction is fair, and in the best interests of the Company and its shareholders as a whole;
- Recommend to the Board what action, if any, should be taken by the Board with respect to any Related Party Transaction;
- Obtain the advice and assistance from legal, technical, financial and other advisors from within or without the Company as deemed necessary by the Committee in order to carry out its duties; and
- Form and delegate authority to sub-committees consisting of one or more members where appropriate, provided that the decision of such sub-committees shall be presented to the full Committee at its next meeting.

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

RESPONSIBILITIES

The following key responsibilities have been set out in the Charter;

- Ensure that the company complies with the rules set out in the Code.

Subject to the exceptions given under Rule 27 of the Code, the Committee shall review in advance all proposed related party transactions.

- Regularly report to the Board on the Committee's activities.

The committee will share information with the Audit Committee of the Board of Directors as necessary and appropriate to permit the Audit Committee to carry out its statutory, regulatory and other responsibilities with regard to related party transactions.

MEETINGS

The Committee shall meet on a quarterly basis and the attendance at meetings is given in table on page 40 of this Annual Report.

Review of proposed related party transactions. During 2018/19 period three meetings were held by the Committee.

REVIEW OF RELATED PARTY TRANSACTIONS

The Committee reviewed all related party transactions of the Company for the year 2018/19. All related party transactions entered during the year were of a recurrent, trading nature and which is necessary for day-to-day operations of the Company.

In the opinion of the Committee, terms of these transactions were not favorable to the related parties than those generally available to the public. The details of related party transactions entered during the year are given in Note 29 to the financial statements on page 120 of this Annual Report.

POLICIES AND PROCEDURES

The Accountant is responsible for reporting to the Committee for its review and approval/ disapproval, the information set out under Rule 30 of the Code at the minimum in respect of each related party transaction proposed to be entered into other than the exceptions given in Rule 27 of the Code.

In addition, on a quarterly basis, the Accountant is required to report the previous quarter's actual related party transactions to the Committee.

DECLARATION

The committee confirms that the company has complied with the Rules pertaining to Related Party Transactions as stipulated by the Colombo Stock Exchange.



A. G. Weerasinghe

Chairman

Related Party Transaction Review Committee

31 May 2019



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DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

The details set out in the following report provide information required by the Companies Act No 07 of 2007 and the listing rules of the Colombo Stock Exchange of Sri Lanka and are guided by recommended best practices on Corporate Governance. This Report was approved by the Board of Directors by Resolution passed as of 31 May 2019.

GENERAL

The Directors of AgStar PLC (the Company) have pleasure in submitting their report together with the audited Financial Statements of the Company, and the audited consolidated Financial Statements of the Group for the year ended 31st March, 2019 and the Auditors' Report thereon.

REVIEW OF PERFORMANCE FOR THE YEAR ENDED 31ST MARCH, 2019

The operations of the Company and its subsidiaries for the year ended 31st March, 2019 are reviewed in the Chairman's Report and the Managing Director's review.

COMPANY ACTIVITIES AND STRUCTURE

AgStar Fertilizers (Private) Limited (Reg: No. N[PVS] 30875) was incorporated in Sri Lanka on 25th June 2002 under the Companies Act No. 17 of 1982 and was re-registered as per the Companies Act No. 07 of 2007 (Reg :No PV 1618) On 26th December, 2007. The name of the Company was changed to AgStar Fertilizers Limited (Reg. No. PV 1618 PB) pursuant to the change of its status to a limited liability company. On 16th February, 2012 the shares of AgStar Fertilizers Limited were listed on the DiriSavi Board of the Colombo Stock Exchange and the name of the Company thus changed to AgStar Fertilizers PLC with effect from 8th May, 2012. Subsequently, the name was changed to AgStar PLC with effect from 21st July 2014.

During the year the Principal Activity of the Company was to carry out the business of importing, blending and marketing of fertilizer products.

The Company has eight subsidiary companies and their activities are given on page 73 of this Annual Report.

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The Directors are responsible for the preparation and presentation of the Financial Statements of the Company and the subsidiaries as to the true and fair view of the State of Affairs of the Company and its subsidiaries.

The Statement of Directors Responsibility for Financial Reporting is given on Page No 51.

The Financial Statements of the Company and the Group are given on pages 68 to 130.

ACCOUNTING POLICIES

The Accounting Policies adopted in preparation of Financial Statements are given on pages 73 to 94 There were no material changes in the Accounting Policies of the Group during the year under review.

AUDITORS

The Financial Statements for the year ended 31st March, 2019 have been audited by Messrs KPMG (Chartered Accountants.)

A resolution for the re-appointment of Messrs KPMG Chartered Accountants and authorizing the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The fees paid to the Auditors are disclosed in Note No 10 on Page 97 to the Financial Statements.

The Auditors of the Company, Messrs. KPMG do not have any relationship with the Company other than that of Auditors.

INDEPENDENT AUDITORS' REPORT

The Auditors' Report on the Financial Statements is given on page No 65 of this Report.

RESULTS AND APPROPRIATIONS

The profit after tax of the parent Company, AgStar PLC was Rs. 211.3 million (2018- Rs. 99.2 million), whilst the Group profit attributable to the equity holders of the parent for the year was Rs. 226.4 million (2018- Rs. 26.6 million). Results of the Company and of the Group are given in the Income Statement.

Detailed description of the Group results and appropriation is given below.

Financial Results	31st March 2019	31st March 2018
Operating Profit	314,716,563	190,829,762
Finance Cost	(95,196,262)	(43,058,470)
Finance Income	101,503,446	8,268,166
Profit before Tax	321,023,747	156,039,458
Tax Expense	(75,805,475)	(65,731,848)
Profit from continuing operations	245,218,272	90,307,610
Profit from discontinued operations (net of tax)	(18,849,648)	(63,716,713)
Profit/(loss) for the Year	226,368,624	26,590,897
Other comprehensive income (net of tax)	(326,329)	(1,673,613)
Profit/(loss) Available to Group's Shareholders	226,042,295	24,917,284
Balance Brought Forward from Previous Year	827,169,987	802,252,703
Amount Available for Appropriation	1,053,212,282	827,169,987
Final Dividend	(32,500,000)	-
Balance to be Carried Forward Next Year	1,020,712,282	827,169,987

DIVIDENDS

The Company declared final dividend payment of Rs. 0.20 per share for 2018/ 2019 financial year.

PROPERTY, PLANT AND EQUIPMENT

An analysis of the Property, Plant and Equipment of the Company and the Group is disclosed in Note No 15 to the Financial Statements on pages 104 to 110. The book value of property, plant and equipment as at the reporting date amounted to Rs. 1,527 million (2018-Rs. 1,418 million) and Rs. 391 million (2018-Rs. 320 million) for the Group and Company respectively.

STATED CAPITAL

The Stated Capital of the Company as at 31st March, 2019 was Rs. 1,204,093,678 comprising 307,526,310 ordinary voting shares and 17,473,690 non-voting shares (2018- Rs. 1,204,093,678 comprising 307,526,310 ordinary voting shares and 17,473,690 non-voting shares) as given in note 23 to the financial statements.

DONATIONS

The Company has made donation amounting to Rs. 17,000 during the year (2018 –Rs. 440,000)

CAPITAL COMMITMENTS

The Capital Expenditure Commitments as at 31st March, 2019 is given on page 122.

REVENUE RESERVES

The reserves consist of retained earnings. The revenue reserves as at 31st March 2019 for the Group and Company amounted Rs. 1,021 million (2018-Rs. 827 million) and Rs. 996 million (2018- Rs. 817 million). Details and movements of reserves are disclosed in the Statement of Changes in Equity on Pages No 70 to 71 to the Financial Statements.

PROVISION FOR TAXATION

The provision for taxation is computed at the rates as disclosed in Note No. 11 on page 98 to 100 the Financial Statements.

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

STATUTORY PAYMENTS

The Directors confirm that to the best of their knowledge and belief, all statutory payments in relation to all relevant regulatory and statutory authorities have been paid or adequately provided for in the Financial Statements. A statement of compliance by the Board of Directors in relation to statutory payments is included in the Statement of Directors Responsibilities on page 51 of this Report.

CONTINGENT LIABILITIES

Contingent Liabilities outstanding as at 31st March, 2019 are given in Note No 31 on page 123 to the Financial Statements.

EVENTS AFTER THE REPORTING PERIOD

The events occurring after the reporting dates are given in Note No 32 on page No 123 of the report.

CORPORATE GOVERNANCE AND INTERNAL CONTROLS

The Board of Directors has acknowledged the responsibility to ensure good governance in conducting the Business activities of the Company and confirms that the Company is compliant with section 7.10 of the Listing Rules of the Colombo Stock Exchange and has also adopted the relevant Corporate Governance practices recommended by the Securities and Exchange Commission of Sri Lanka and the Institute of Chartered Accountants of Sri Lanka.

An Audit Committee, Remuneration Committee and the Related Party Transaction Review Committee function as Board sub committees with Directors who possess the requisite qualifications and experience. The composition of the said committees is as follows;

AUDIT COMMITTEE

Mr. H.P.J. De Silva (Independent Non-Executive Director) - Chairman

Mr. A.G. Weerasinghe (Independent Non – Executive Director)

Mrs. S. Wickramasinghe (Independent Non – Executive Director)

REMUNERATION COMMITTEE

Mr. H.P.J. De Silva (Independent Non-Executive Director) - Chairman

Mr. A.G. Weerasinghe (Independent Non – Executive Director)

Mr. D. N. N Lokuge (Non – Executive Director)

RELATED PARTY TRANSACTION REVIEW COMMITTEE

Mr. A.G. Weerasinghe (Independent Non – Executive Director) - Chairman

Mr. H.P.J. De Silva (Independent Non-Executive Director)

Mrs. S. Wickramasinghe (Independent Non – Executive Director)

Mr. N. G. R. Karunaratne (Chief Executive Officer/ Chairman)

Mr. A. P. Weerasekera (Managing Director)

Company's compliance with rules on corporate governance are given in corporate governance report on pages 39 to 48. The Audit Committee Report and the Remuneration Committee Report are disclosed in Page No 64 and Page No 52 respectively.

The Board of Directors is satisfied with the effectiveness of the systems of internal controls for the year under review and up to the date of the Annual Report.

COMPLIANCE WITH RULES & REGULATIONS

The Company has complied with Tax and other regulations applicable to the Company and has submitted all the returns and the details to the relevant parties by the due dates.

GOING CONCERN

After considering the financial position as at 31st March 2019 and considering the future prospects of the Company and its subsidiaries, the Directors have a reasonable expectation that the Group has adequate resources to continue in operations in foreseeable future. Therefore the Directors have adopted the assumption of going concern in preparing these Financial Statements.

EMPLOYMENT POLICY

The Group policy is to respect the merits of the individuals and provide career opportunities, irrespective of sex, race or religion. The Group's strength of manpower as at 31st March, 2019 was 163.

EQUITABLE TREATMENT TO STAKE HOLDERS AND THEIR INTEREST

The Group has taken all steps to ensure the equitable treatment to all stakeholders. The Directors assure that the Group has taken necessary precautions to safe guard the interest of its stake holders.

ENVIRONMENTAL PROTECTION

The Directors have ensured that every possible step has been taken to comply with the relevant environmental laws and regulations in the country. The Group has not engaged in any activity that is harmful or hazardous to the environment.

Directors during the Year

The Directors of the Company during the financial year were as follows:

Mr. N. G. R. Karunaratne (Chairman)

Mr. D. N. N. Lokuge (Deputy Chairman)

Mr. A. P. Weerasekera (Managing Director)

Mr. W. A. P. Perera

Mr. D. S. K. Amarasekara

Mr. A. G. Weerasinghe

Mr. H. P. J. de Silva

Mrs. S. Wickramasinghe

Mrs.V.G.S. S. Kotakadeniya - (Alt. Director to Mr. D.S.K. Amarasekera)

The detailed profiles of the Board of Directors of the Company are given on pages 18 to 21 of this Report.

ROTATION/ RE-ELECTION OF DIRECTORS

- I. Mr.W.A.P.Perera retire by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offer himself for re-election.
- II. Mr. N.G.R. Karunaratne who is presently 82 years of age will cease to hold office at the conclusion of the Annual General Meeting and it is proposed to move a resolution for his re-appointment for a further period of one year or up to the date of the next Annual General Meeting (whichever occurs first) and for the non-application of the age limit referred to in Section 210 of the Companies Act No. 7 of 2007.
- III. Mr. A. G. Weerasinghe who is a director of the Company shall retire at the conclusion of this annual general meeting in terms of Section 210 (2)(a) of the Companies Act No. 7 of 2007;.
- IV. Mr. H.P.J. de Silva who is a director of the Company shall retire at the conclusion of this annual general meeting in terms of Section 210 (2)(a) of the Companies Act No. 7 of 2007;

INDEPENDENT DIRECTORS

During the year the following Directors were acting as the Independent Directors of the Company;

Mr. A. G. Weerasinghe

Mr. H. P. J. de Silva

Mrs. S. Wickramasinghe

DIRECTORS INTEREST REGISTER

In terms of the Companies Act No 07 of 2007 an Interest Register was maintained during the accounting period under review.

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

DIRECTORS' INTEREST IN CONTRACTS

The Directors in terms of Section 192 of the Companies Act No 7 of 2007, have declared their interests in contracts with the Company. The Directors did not have any material interest in any contract of significance in Group's business except those disclosed in note 29 to the Financial Statements.

DIRECTORS' INTEREST IN SHARES

Name of The Director	As At 31st March 2019		As At 31st March 2018	
	Ordinary voting shares	Non-voting shares	Ordinary voting shares	Non-voting shares
Mr. N. G. R. Karunaratne	8,229,310	Nil	8,229,310	Nil
Mr. D. N. N. Lokuge	3,125,000	Nil	3,125,000	Nil
Mr. A. P. Weerasekera	7,243,310	5,824,550	7,243,310	5,824,550
Mr. W. A. P. Perera	3,120,000	Nil	3,120,000	Nil
Mr. D. S. K. Amarasekara	Nil	Nil	Nil	Nil
Mr. A. G. Weerasinghe	Nil	Nil	Nil	Nil
Mr. H. P. J. de Silva	Nil	Nil	Nil	Nil
Mrs. S. Wickramasinghe	Nil	Nil	Nil	Nil

DIRECTORS FEES AND REMUNERATION

The amount of the Directors fees and Remuneration paid during the year is given in note No. 10 to the Financial Statements on page 97.

RELATED PARTY TRANSACTIONS

The Directors have disclosed the transactions with Related Parties in terms of the Sri Lanka Accounting Standards which are set out in note 29 to the Financial Statements.

SHAREHOLDERS

The number of registered shareholders' of the Company as at 31st March, 2019 was 946.

The distribution and analysis of shareholdings were as follows:

VOTING

Name of The Director	As At 31st March 2019			As At 31st March 2018		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
1-1000	590	135,479	0.04%	563	131,276	0.04%
1001-10000	221	890,281	0.29%	222	920,943	0.30%
10001-100000	99	3,161,177	1.03%	100	3,227,347	1.05%
100001-1000000	21	7,248,119	2.36%	22	8,206,284	2.67%
1000001- & Over	15	296,091,254	96.28%	14	295,040,460	95.94%
Total	946	307,526,310	100%	921	307,526,310	100%

NON-VOTING

Name of The Director	As At 31st March 2019			As At 31st March 2018		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
1-1000	1	1,000	0.01%	1	1,000	0.01%
1000001- & Over	2	17,472,690	99.99%	2	17,472,690	99.99%
Total	3	17,473,690	100%	3	17,472,690	100%

RESIDENT / NON RESIDENT (VOTING)

Resident/Non Resident	As At 31st March 2019			As At 31st March 2018		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	941	307,517,960	99.99%	916	307,517,960	99.99%
Non Resident	5	8,350	0.01%	5	8,350	0.01%
	946	307,526,310	100%	921	307,526,310	100%

RESIDENT / NON RESIDENT (NON-VOTING)

Resident/Non Resident	As At 31st March 2019			As At 31st March 2018		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Resident	3	17,473,690	100%	3	17,473,690	100%
Non Resident	-	-	-	-	-	-
	3	17,473,690	100%	3	17,473,690	100%

DIRECTORS' REPORT ON THE STATE OF AFFAIRS OF THE COMPANY

INDIVIDUAL/INSTITUTION (VOTING)

Individual/ Institution	As At 31st March 2019			As At 31st March 2018		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Individual	903	34,243,122	11.13%	879	34,642,332	11.26%
Institution	43	273,283,188	88.87%	42	272,883,978	88.74%
	946	307,526,310	100%	921	307,526,310	100%

INDIVIDUAL/INSTITUTION (NON-VOTING)

Individual/ Institution	As At 31st March 2019			As At 31st March 2018		
	No. of Share Holders	No. of Shares	% of Total	No. of Share Holders	No. of Shares	% of Total
Individual	2	5,825,550	33.33%	2	5,825,550	33.33%
Institution	1	11,648,140	66.67%	1	11,648,140	66.67%
	3	17,473,690	100%	3	17,473,690	100%

LIST OF 20 MAJOR SHAREHOLDERS (VOTING)

Name of shareholders	As at 31st March 2019	
	Share Holding	Percentage %
Sierra Holdings (Pvt) Ltd	97,514,400	31.71%
Lanka Orix Leasing Company PLC	60,213,500	19.58%
Browns Investments PLC	40,520,061	13.18%
Sierra Construction (Pvt) Ltd	37,025,290	12.04%
P & K Investments (Pvt) Ltd	20,500,000	6.67%
Sampath Bank PLC/Dr. T Senthilvel	10,627,982	3.46%
Mr. N G R Karunaratne	8,229,310	2.68%
Mr. A P Weerasekera	7,243,310	2.36%
FLMC Plantations (Pvt) Ltd	3,150,000	1.02%
Mr. D N N Lokuge	3,125,000	1.02%
Mr. W A P Perera	3,120,000	1.01%
Mrs. A C P Irugalbandara – Joint with Mrs. J M A Irugalbandara	1,500,000	0.49%
Mr. S Karunaratne	1,250,000	0.41%
Mr. M I Samsudeen	1,050,794	0.34%
Sierra Engineering and Construction (Private) Limited	1,021,607	0.33%
Mr. M S S Ghazaly	1,000,000	0.33%
Miss. G S M Irugalbandara	1,000,000	0.33%
Mrs. A C P Irugalbandara	1,000,000	0.33%
Ghazaly Group International (Pvt) Ltd	530,000	0.17%
Shari Investments Private Limited	518,200	0.17%
Total	300,139,454	97.6%

LIST OF 3 MAJOR SHAREHOLDERS (NON-VOTING)

Name of shareholders	As at 31st March 2019	
	Share Holding	Percentage %
Sierra Holdings (Pvt) Ltd	11,648,140	66.66%
Mr. A P Weerasekera	5,824,550	33.33%
Mr. A B Weerasekera	1,000	0.01%

PUBLIC SHAREHOLDING

The percentage of public holding in voting and non-voting shares as at 31st March 2019 were,

	Public holding %	No of share holders
Voting Shares	16.10%	937
Non-voting shares	0.01%	1

FLOAT ADJUSTED MARKET CAPITALISATION

The float adjusted market capitalisation as at 31st March 2019 is Rs. 209.43 Mn and minimum public holding requirement is compliant with option-2 as per Sec 7.13.1 (b) of the Listing Rule of CSE.

ANNUAL REPORT

The Board of Directors approved the Company Financial Statements together with the reviews which forms part of the Annual Report on 31 May 2019. The appropriate number of copies will be submitted to the Colombo Stock Exchange, Sri Lanka Accounting and Auditing Standard Monitoring Board and the Registrar of Companies within the time frame.

ANNUAL GENERAL MEETING

The Annual General Meeting will be held on 28th June 2019 at 10:00a.m. at Marcopolo Corporate Lounge, Excel World, 338, T.B Jaya Mawatha, Colombo 10. The notice of Annual General Meeting is given on page no 134.

On behalf of the Board of Directors.



Mr. N. G. R. Karunaratne
Director



Mr. A. P. Weerasekera
Director



P.R. Secretarial Services (Pvt) Ltd
Company Secretary

Colombo
31 May 2019

AUDIT COMMITTEE REPORT

PURPOSE OF THE COMMITTEE

The committee is vested with the responsibility to assist the Board of Directors in the oversight of the effectiveness of the internal controls over financial reporting, including the integrity of the financial statements of the company and the group. The committee ensures the qualifications and the independence of the External auditors and monitors the performances of the internal auditors. The oversight of compliance with the legal and regulatory requirements is also a key purpose of the committee.

COMPOSITION

The committee appointed by the Board of Directors consists of three independent non-executive Directors. The committee is headed by Mr. Janaka de Silva who is a member of the Institute of Chartered Accountants of Sri Lanka. Mr. A G Weerasinghe who represents the committee is an experienced senior banker and committee member Ms. S Wickramasinghe is an Attorney at Law of the Supreme Court of Sri Lanka.

The Chairman and Managing Director attend to the Committee meeting by invitation

MEETINGS

There were 5 meetings of the committee during the year under review; each attendance is stated in the table on page 40 of this report.

FINANCIAL REPORTING

The committee assists the Board of Directors in fulfilling its oversight responsibility to the shareholders and other stakeholders relating to the Company's financial statements and the financial reporting process. Further, the committee is responsible for reviewing the internal audit function of the company and the statutory audit of the financial statements of the company and the group.

The recommendation of the quarterly and annual financial statements to the board as well as ensuring company's compliance with legal and regulatory affairs of the company is a key responsibility of the committee. The committee ensures the reliability and consistency of the accounting policies and methods adopted in preparing the financial statements and their compliance with the Sri Lanka Financial Reporting Standards and the adequacy of disclosures required by other applicable laws, rules and guidelines.

EXTERNAL AUDIT

The committee has recommended to the Board of Directors that Messer's KPMG to be appointed as the auditors of the company for the year ending 31st March 2020 subject to the approval of the shareholders at the Annual General Meeting.

The Audit committee is satisfied that the independence of the external auditors has not been adversely influenced by any event or service that could result in a conflict of interest. Due consideration has been given to the level of audit and non-audit fees received by the external auditors from the company.

The Audit committee has recommended to the Board Directors on the fees payable to the auditors for approval.



Janaka de Silva
Chairman – Audit Committee
Colombo.

31 May 2019

INDEPENDENT AUDITOR'S REPORT



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
P. O. Box 186,
Colombo 00300, Sri Lanka.

Tel : +94 - 11 542 6426
Fax : +94 - 11 244 5872
+94 - 11 244 6058
Internet : www.kpmg.com/lk

TO THE SHAREHOLDERS OF AGSTAR PLC REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of AgStar PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at March 31, 2019, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information set out on pages 68 to 130 of the Annual Report.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at March 31, 2019, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Company financial statements and the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the Company financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Risk Description	Our response
Valuation of freehold land and building The Group's assessment of fair value of freehold land and building is based on valuations performed by a qualified independent property valuer in accordance with recognized industry standards. We identified valuation of freehold land and building as a key audit matter because the determination of the fair values involves significant judgment and estimation, particularly determining the underlying assumptions and because the valuations are sensitive to the key assumptions applied.	Our audit procedures included: Assessing the objectivity, independence, competence and qualifications of the external valuer. Assessing the key assumptions applied and conclusions made in deriving the fair value of the properties and comparing the fair value of properties with evidence of current market values. In addition assessing the valuation methodologies with reference to recognized industry standards. Assessing the adequacy of disclosures made in the financial statements in relation to fair value of freehold land and building.
Impairment assessment on the Group's goodwill Management performed an impairment assessment of the goodwill recorded in the consolidated financial statements as at March 31, 2019. In performing such impairment assessment, the management compared the carrying value of each of the separately identifiable cash generating units ("CGUs") (to which goodwill had been allocated, and had a net asset position lesser than the investment made by the Company) with their respective value in use based on discounted cash flow forecasts, to determine if any impairment loss should be recognised. The preparation of discounted cash flow forecasts for the purpose of assessing potential impairment of goodwill involves estimating future cash flows, growth rates and discount rates which can be inherently judgmental.	Our audit procedures included; Assessing the Group budgeting review and approval procedures upon which the cash flow forecasts are based. Testing the mathematical accuracy of the underlying calculations in the Group's discounted cash flow valuation models. Challenging the reasonableness of the key assumptions in the cash flow models, long term growth rates and discount rates. Assessing the adequacy of the disclosures in the financial statements, including the description and appropriateness of the inherent degree of subjective and key assumptions.

INDEPENDENT AUDITOR'S REPORT



Risk Description	Our response
We identified the assessment of potential impairment of goodwill as a key audit matter because the year-end goodwill impairment assessment performed by management contain certain judgmental assumptions which could be subject to management bias.	
Classification and valuation of non-current assets and liabilities held for sale. The classification and valuation of net assets of Mahaweli Agro Trading (Pvt) Limited and AgStar Grains (Pvt) Limited recorded as held for sale at the reporting date is a key area of management judgment. In addition, the classification of these businesses as discontinued operations must be carefully considered in line with the relevant accounting standards. As at same time, management is required to measure the assets held for sale at the lower of carrying amount and fair value less costs to sell. Inaccurate management estimates made in the fair value less costs to sell could result in a significant impact on the value of the assets held for sale as at the reporting date and related impairment loss in the statements of comprehensive income.	Our audit procedures included: Challenging the management's judgment on the classification and valuation of assets held for sale through understanding the status of the sales process and verifying the valuation of the assets as determined by the management. Assessing the classification of assets held for sale as discontinued operations against the relevant criteria in the accounting standard. Assessing the adequacy of financial statements disclosure in relation to assets held for sale.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation

of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1224.



CHARTERED ACCOUNTANTS
Colombo, Sri Lanka

31 May, 2019

KPMG, a Sri Lankan partnership and a member firm of the KPMG network of independent member firms affiliated with KPMG International Cooperative ("KPMG International"), a Swiss entity.

M.R. Mihular FCA	P.Y.S. Perera FCA	C.P. Jayatilake FCA
T.J.S. Rajakarier FCA	W.W.J.C. Perera FCA	Ms. S. Joseph FCA
Ms. S.M.B. Jayasekara ACA	W.K.D.C. Abeyrathne FCA	S.T.D.L. Perera FCA
G.A.U. Karunaratne FCA	R.M.D.B. Rajapakse FCA	Ms. B.K.D.T.N. Rodrigo FCA
R.H. Rajan FCA	M.N.M. Shameel ACA	Ms. C.T.K.N. Perera ACA
Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA		

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

(All amounts in Sri Lankan Rupees)

For the year ended 31st March,	Note	Group 2019	2018	Company 2019	2018
Continuing operations					
Revenue	6	2,478,164,518	3,317,020,076	2,097,048,737	3,099,884,219
Cost of sales		(1,786,088,437)	(2,784,928,938)	(1,578,243,940)	(2,670,188,161)
Gross profit		692,076,081	532,091,138	518,804,797	429,696,058
Other income	7	57,846,002	22,425,372	101,892,924	45,852,070
Selling and distribution expenses		(147,923,166)	(94,580,516)	(107,661,381)	(64,791,195)
Administrative expenses		(287,282,354)	(230,615,705)	(222,453,551)	(156,338,373)
Other expenses	8	-	(38,490,527)	(10,043,000)	(77,790,527)
Operating profit		314,716,563	190,829,762	280,539,789	176,628,033
Finance income		101,503,446	8,268,166	81,436,575	3,141,875
Finance costs		(95,196,262)	(43,058,470)	(83,352,820)	(35,718,374)
Net finance costs	9	6,307,184	(34,790,304)	(1,916,245)	(32,576,499)
Profit before taxation	10	321,023,747	156,039,458	278,623,544	144,051,534
Income tax expense	11	(75,805,475)	(65,731,848)	(67,377,383)	(44,826,637)
Profit from continuing operations		245,218,272	90,307,610	211,246,161	99,224,897
Discontinued operations					
Loss from discontinued operations (net of tax)	12	(18,849,648)	(63,716,713)	-	-
Profit for the year		226,368,624	26,590,897	211,246,161	99,224,897
Other comprehensive income					
Items that will never be reclassified to profit or loss					
Revaluation of property, plant and equipment	15	80,500,000	394,891,831	42,300,000	78,579,285
Deferred tax impact on revaluation of property, plant and equipment	26	(178,862,588)	(31,431,353)	(36,503,106)	(4,082,200)
Actuarial loss on defined benefit obligations	24	(453,234)	(2,324,464)	(486,666)	(2,120,704)
Deferred tax impact on actuarial loss	26	126,905	650,850	136,266	593,797
Other comprehensive income, net of tax		(98,688,917)	361,786,864	5,446,494	72,970,178
Total comprehensive income		127,679,707	388,377,761	216,692,655	172,195,075
Attributable to:					
Equity holders of the Company		226,368,624	26,590,897	211,246,161	99,224,897
Non-controlling interests		-	-	-	-
Profit for the year		226,368,624	26,590,897	211,246,161	99,224,897
Attributable to:					
Equity holders of the parent		127,679,707	388,377,761	216,692,655	172,195,075
Non-controlling interests		-	-	-	-
Total comprehensive income for the year		127,679,707	388,377,761	216,692,655	172,195,075
Earnings per share					
Earnings per share - basic/ diluted (Rs)	13	0.70	0.08	0.65	0.31

The notes form an integral part of these financial statements.
Figures in brackets indicate deductions.

STATEMENT OF FINANCIAL POSITION

(All amounts in Sri Lankan Rupees)

As at 31st March,	Note	Group 2019	2018	Company 2019	2018
Assets					
Non-current assets					
Property, plant and equipment	15	1,527,366,840	1,417,702,722	390,883,193	319,950,427
Investment property	17	-	-	-	-
Intangible assets	16	56,625,992	57,025,992	-	-
Investments in subsidiaries	18	-	-	492,829,088	476,229,088
Deferred tax assets	26	-	-	-	61,794,927
Total non-current assets		1,583,992,832	1,474,728,714	883,712,281	857,974,442
Current assets					
Inventories	19	532,141,736	1,735,349,878	308,654,965	1,648,563,969
Trade and other receivables	20	2,458,654,805	937,872,086	2,406,632,680	881,742,796
Amounts due from related companies	21	-	-	529,978,383	684,404,898
Current tax receivable		9,947,561	2,756,242	7,581,839	-
Cash and cash equivalents	22	249,973,953	264,821,894	114,486,133	130,410,846
		3,250,718,055	2,940,800,100	3,367,334,000	3,345,122,509
Assets classified as held for sale	12	514,423,420	542,280,527	260,832,550	118,710,000
Total current assets		3,765,141,475	3,483,080,627	3,628,166,550	3,463,832,509
Total assets		5,349,134,307	4,957,809,341	4,511,878,831	4,321,806,951
Equity					
Stated capital	23	1,204,093,678	1,204,093,678	1,204,093,678	1,204,093,678
Revaluation reserve		661,142,884	759,505,472	172,224,464	166,427,570
Retained earnings		1,020,712,282	827,169,987	995,607,622	817,211,861
Equity attributable to the owners of the Company		2,885,948,844	2,790,769,137	2,371,925,764	2,187,733,109
Non-controlling interests		-	-	-	-
Total equity		2,885,948,844	2,790,769,137	2,371,925,764	2,187,733,109
Liabilities					
Non-current liabilities					
Employee benefits	24	30,498,640	25,814,416	30,418,101	25,726,881
Deferred income	25	3,644,966	5,139,398	3,644,966	5,139,398
Deferred tax liabilities	26	252,854,401	4,165,881	43,137,299	-
Total non-current liabilities		286,998,007	35,119,695	77,200,366	30,866,279
Current liabilities					
Trade and other payables	28	1,174,714,130	2,023,042,346	1,100,660,466	2,002,631,905
Loans and borrowings	27	983,304,092	16,637,105	953,044,879	9,110,338
Amounts due to related companies	21	-	-	3,158,817	-
Current tax payable		-	91,465,320	-	91,465,320
Bank overdrafts	22	17,778,823	392,062	5,888,539	-
		2,175,797,045	2,131,536,833	2,062,752,701	2,103,207,563
Liabilities classified as held for sale	12	390,411	383,676	-	-
Total current liabilities		2,176,187,456	2,131,920,509	2,062,752,701	2,103,207,563
Total liabilities		2,463,185,463	2,167,040,204	2,139,953,067	2,134,073,842
Total equity and liabilities		5,349,134,307	4,957,809,341	4,511,878,831	4,321,806,951

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

I certify that these financial statements comply with the requirements of the Companies Act No. 07 of 2007.



Mr. Mohamed Rizny

Accountant

The Board of Directors is responsible for the preparation and presentation of these financial statements.



Mr. N.G.R Karunaratne

Chairman



Mr. A P Weerasekera

Managing Director

31 May 2019

STATEMENT OF CHANGES IN EQUITY

(All amounts in Sri Lankan Rupees)

	Note	Stated capital	Revaluation reserve	Retained earnings	Total equity
Balance as at 1st April 2017		1,204,093,678	91,930,485	719,513,871	2,015,538,034
Profit for the year		-	-	99,224,897	99,224,897
Other comprehensive income		-	74,497,085	(1,526,907)	72,970,178
Total comprehensive income		-	74,497,085	97,697,990	172,195,075
Transactions with shareholders directly recorded in equity					-
Dividend	14	-	-	-	-
Balance as at 31st March 2018		1,204,093,678	166,427,570	817,211,861	2,187,733,109
Profit for the year		-	-	211,246,161	211,246,161
Other comprehensive income		-	5,796,894	(350,400)	5,446,494
Total comprehensive income		-	5,796,894	210,895,761	216,692,655
Transactions with shareholders directly recorded in equity					-
Dividend - 2017/18	14	-	-	(32,500,000)	(32,500,000)
Balance as at 31st March 2019		1,204,093,678	172,224,464	995,607,622	2,371,925,764

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(All amounts in Sri Lankan Rupees)

	Note	Stated Capital	Revaluation reserve	Retained earnings	Total Non controlling interests	Total equity
Balance as at 31st March 2017		1,204,093,678	396,044,994	802,252,703	2,402,391,375	- 2,402,391,375
Profit for the year		-	-	26,590,897	26,590,897	- 26,590,897
Other comprehensive income		-	363,460,478	(1,673,613)	361,786,865	- 361,786,865
Total comprehensive income		-	363,460,478	24,917,284	388,377,762	- 388,377,762
Transactions with shareholders directly recorded in equity						
Dividend	14	-	-	-	-	-
Balance as at 31st March 2018		1,204,093,678	759,505,472	827,169,987	2,790,769,137	- 2,790,769,137
Profit for the year		-	-	226,368,624	226,368,624	- 226,368,624
Other comprehensive income		-	(98,362,588)	(326,329)	(98,688,917)	- (98,688,917)
Total comprehensive income		-	(98,362,588)	226,042,295	127,679,707	- 127,679,707
Transactions with shareholders directly recorded in equity						
Dividend	14	-	-	(32,500,000)	(32,500,000)	- (32,500,000)
Balance as at 31st March 2019		1,204,093,678	661,142,884	1,020,712,282	2,885,948,844	- 2,885,948,844

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

STATEMENT OF CASH FLOWS

(All amounts in Sri Lankan Rupees)

For the year ended 31st March,	Note	Group 2019	2018	Company 2019	2018
Cash flow from operating activities					
Profit before tax from continuing operations		321,023,747	156,039,458	278,623,544	144,051,534
Loss before tax from discontinued operations		(18,331,934)	(63,716,713)		
Adjustment for:					
Depreciation	15	49,526,754	38,049,431	30,343,271	21,193,432
Amortization on intangible assets	16	400,000	400,000	-	-
Interest income	9	(11,648,663)	(5,556,715)	(6,953,470)	(3,141,875)
Interest expenses	9/12.1	90,316,667	82,166,470	83,352,820	33,004,279
Reversal of impairment of investments in subsidiaries		-	-	(16,600,000)	-
Provision for impairment of amount due from subsidiaries	21	-	-	10,043,000	39,300,000
Impairment of property, plant and equipments	12.2	13,953,000	-	-	-
Trade debtors write off		26,790,096	-	26,614,591	-
Gain on disposal of property plant and equipment	7/12.1	(4,873,249)	(224,864)	(1,260,000)	(140,316)
Gain on disposal of investment property	7	-	(12,730,500)	-	-
Amortisation of deferred income	25	(1,494,432)	(1,694,432)	(1,494,432)	(1,694,432)
Dividend income	7	-	-	(40,420,000)	(36,900,000)
Impairment /(reversal) of other receivables	20	(33,093,308)	38,490,527	(33,093,308)	38,490,527
Impairment /(reversal) of trade receivables	20.3/12.1	21,072,268	9,893,754	10,482,463	6,039,412
Impairment loss/(reversal) on inventory	19	871,637	(217,699)	-	-
Provision for retirement gratuity	24	5,732,340	5,167,832	5,705,904	5,129,084
Operating profit before working capital changes		460,244,923	246,066,549	345,344,383	245,331,645
Changes in:					
Decrease/ (increase) in inventories		1,202,336,505	(717,382,863)	1,339,909,004	(813,339,170)
Decrease/ (increase) in trade and other receivables		458,659,088	(97,147,329)	448,987,369	(141,053,801)
(Increase)/decrease in subsidy receivable		(1,977,238,533)	527,409,533	(1,977,238,533)	527,409,531
Decrease in amounts due from related companies		-	-	2,260,965	75,716,004
(Decrease)/ increase in trade and other payables		(848,426,981)	1,002,175,522	(901,971,439)	1,006,193,569
Increase/(decrease) in amounts due to related companies		-	-	3,158,817	(1,149,259)
Cash (used in)/ generated from operating activities		(704,424,998)	961,121,412	(739,549,434)	899,108,519
Interest expense paid		(90,316,667)	(82,144,734)	(83,352,820)	(33,004,279)
Income tax paid		(104,509,278)	(98,015,715)	(97,859,156)	(93,303,718)
Employee benefit paid		(1,501,350)	(2,523,128)	(1,501,350)	(2,226,128)
Net cash flow (used in)/generated from operating activities		(900,752,293)	778,437,835	(922,262,760)	770,574,394
Cash flows from investing activities					
Interest income received		6,984,428	5,556,715	6,311,006	3,141,875
Dividend income received		-	-	40,420,000	36,900,000
Proceeds from disposal of property, plant and equipment		5,460,000	429,416	1,260,000	160,676
Proceeds from disposal of investment property		-	167,730,500	-	-
Acquisition of property, plant and equipment	15	(57,768,513)	(27,780,580)	(56,326,213)	(21,118,287)
Addition to work in progress	15	(20,922,359)	(3,672,904)	(2,649,826)	(1,896,083)
Fund transferred to related companies		-	-	-	(511,571,745)
Net cash used in investing activities		(66,246,444)	142,263,147	(10,985,033)	(494,383,564)
Cash flows from financing activities					
Proceeds from short term borrowings	27.2	3,591,416,787	2,225,182,810	3,374,636,638	1,513,509,536
Repayment of short term borrowings	27.2	(2,624,749,800)	(2,998,157,356)	(2,430,702,097)	(1,654,664,158)
Dividend paid		(32,500,000)	-	(32,500,000)	-
Net cash from / (used in) financing activities		934,166,987	(772,974,546)	911,434,541	(141,154,622)
Net cash increase/(decrease) in cash and cash equivalents		(32,831,750)	147,726,436	(21,813,252)	135,036,208
Cash and cash equivalents at the beginning of the year		265,294,066	117,567,630	130,410,846	(4,625,362)
Cash and cash equivalents at 31st March (Note 22)		232,462,316	265,294,066	108,597,594	130,410,846

The notes form an integral part of these financial statements.

Figures in brackets indicate deductions.

NOTES TO THE FINANCIAL STATEMENT

1. CORPORATE INFORMATION

1.1. Reporting entity

AgStar PLC, ("the Company") is a public limited liability Company incorporated and domiciled in Sri Lanka. The ordinary shares of the Company are listed on the Colombo Stock Exchange. The Company's registered office and the principal place of business is located at No. 09, Bawa Place, Colombo 8.

The consolidated financial statements of the Company as at, and for the year ended 31st March 2019 comprise the financial statements of Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities").

The principal activities of the Company and the other entities consolidated with it are as follows:

- AgStar PLC – Business of importing, blending and marketing of fertilizer products.
- AgStar Cropcare (Pvt) Ltd – Business of importing formulating and marketing of chemicals, fertilizers and specialty products.
- AgStar Seeds (Pvt) Ltd – Business of producing, trading and marketing of seeds and planting materials.
- AgStar Grains (Pvt) Ltd – Business of procurement, processing and marketing of rice and other grains. (Discontinued operation)
- Mahaweli Agro Trading (Pvt) Ltd (previously named as Mahaweli Rice Processing Industries (Pvt) Ltd) – Company was carrying out business of procurement, processing and marketing of rice (Discontinued operation). Currently carrying on the business of trading fertilizer.
- AgStar Properties (Pvt) Ltd – Set up for property development and construction of warehousing and storage facilities.

- AgStar Exports (Pvt) Ltd – Business of exporting agricultural based products.
- Prith Seeds (Pvt) Ltd - Business of importing, producing, trading and marketing of seeds and planting materials.

In the opinion of the Board of Directors the parent company undertaking and controlling party is Sierra Holdings (Private) Limited

2. BASIS OF PREPARATION

2.1. Statement of compliance

The consolidated financial statements of the Group and the separate financial statements of the Company have been prepared in accordance with the Sri Lanka Accounting Standards (herein referred to as SLFRSs/LKASs), laid down by The Institute of Chartered Accountants of Sri Lanka (ICASL) and in compliance with the requirements of the Companies Act No. 07 of 2007 and the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995.

2.2. Responsibility for financial statements

The Board of Directors of the Company acknowledges their responsibility for the Financial Statements, as set out in the "Annual Report of the Board of Directors", "Statement of Directors' Responsibilities for Financial Statements" and the "certification on the Statement of Financial Position".

2.3. Approval of financial statements by Directors

The financial statements of the Group and the Company for the year ended 31st March 2019 were approved and authorised for issue by the Board of Directors on the 31st May 2019. These financial statements include the following components:

- a Statement of Profit or Loss and Other Comprehensive Income providing the information on the financial performance of the Group and the Company for the year under review. Refer page 68;

NOTES TO THE FINANCIAL STATEMENT

- a Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end. Refer page 69;
- a Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and the Company. Refer pages 70 to 71;
- a Statement of Cash Flows providing the information to the users, on the ability of the Group and the Company to generate cash and cash equivalents and utilization of those cash flows. Refer page 72;
- Notes to the financial statements comprising significant accounting policies and other explanatory information. Refer pages 73 to 130.

2.4. Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis, except that land & buildings and investment property measured at fair value and the retirement benefit obligations are measured at the present value of the defined benefit obligation as explained in the respective Notes to the financial statements.

2.5. Functional currency

The financial statements are presented in Sri Lankan Rupees, which is the Group's functional currency. There was no change in the Group's presentation and functional currency during the year under review.

2.6. Current versus non-current classification

The Group presents assets and liabilities in the statement of financial position based on current/non-current classification.

An asset is current when it is expected to be realised or intended to be sold or consumed in the normal operating cycle and held primarily for the purpose of trading.

Or

Is cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when it is expected to be settled in the normal operating cycle and is held primarily for the purpose of trading and is due to be settled within twelve months after the reporting period

Or

There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Group classifies all other liabilities as non-current.

2.7. Use of materiality and offsetting

2.7.1 Materiality and aggregation

Each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard – LKAS 1 on 'Presentation of Financial Statements' and amendments to the LKAS 1 on 'Disclosure Initiative' which was effective from January 01, 2016.

Notes to the financial statements are presented in a systematic manner which ensures the understandability and comparability of financial statements of the Group and the Company. Understandability of the financial statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

2.7.2 Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or to realise the assets and settle the liabilities

simultaneously. Income and expenses are not offset in the income statement, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the significant accounting policies of the Company

2.8. Use of estimates and judgments

The preparation of financial statements of the Group and the Company in conformity with Sri Lanka Accounting Standards requires the management to make judgments, estimates and assumptions that affect the application of policies and reported values of assets, liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making a judgment about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements, is provided below:

2.8.1 Fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair Values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows,

Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs)

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability
- Or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by

NOTES TO THE FINANCIAL STATEMENT

selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

2.8.2 Impairment of non-financial assets

At each reporting date the management assesses, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the management estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

2.8.3 Useful lives of depreciable assets

Management reviews its estimation of the useful lives of depreciable assets at each reporting date based on the expected utility of the assets. Uncertainties in these estimates relate to technical obsolescence that may change the useful life of certain property, plant and equipment.

2.8.4 Business combinations

Management uses valuation techniques in determining the fair values of the various elements of a business combination. The fair value of contingent consideration is dependent on the outcome of many variables that affect future profitability.

2.8.5 Defined benefit obligation

Management's estimate of the defined benefit obligation is based on a number of critical underlying assumptions such as standard rates of inflation, mortality, discount rate and

anticipation of future salary increases. Variation in these assumptions may significantly impact the defined benefit obligation amount and the annual defined benefit expense.

2.8.6 Fair value of financial instruments

Management applies valuation techniques to determine the fair value of financial instruments where active market quotes are not available. This requires management to develop estimates and assumptions based on market inputs, using observable data that market participants would use in pricing the instrument. Where such data is not observable, management uses its best estimate. Estimated fair values of financial instruments may vary from the actual prices that would be achieved in an arm's length transaction at the reporting date.

2.8.7 Recognition of deferred tax assets

Management applies significant judgment on the extent to which deferred tax assets can be recognised based on an assessment of the probability of the Group's future taxable income against which the deferred tax assets can be utilised. In addition, significant judgment is required in assessing the impact of any legal or economic limits or uncertainties in various future tax jurisdictions.

2.9. Going concern

The Directors have made an assessment of the Group's ability to continue as a going concern, and being satisfied that it has the resources to continue in business for the foreseeable future confirm that they do not intend either to liquidate or to cease operations of any business unit of the Group other than those disclosed in the notes to the financial statements.

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently for all periods presented in the financial statements by the Group and the Company except for the SLFRS 9 and SLFRS 15 related policies.

3.1 Changes in Significant accounting policies

The Company has applied SLFRS 15 and SLFRS 9 from 1 April 2018. Due to the transition methods chosen by

the Company in applying these standards, comparative information throughout these financial statements has not been restated to reflect the requirements of the new standards.

SLFRS 15 Revenue from Contracts with Customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognized. It replaced LKAS 18 Revenue, LKAS 11 Construction contracts and related interpretations. Under SLFRS 15, revenue is recognized when a customer obtains control of the goods or services. Determining the timing of the transfer control-at a point in time or over time- requires judgement.

The Company has adapted SLFRS 15 using the cumulative effect method (without practical expedients), with the effect of initially applying this standard recognized at the date of initial application (i.e. 1 April 2018). Accordingly, the information presented for 2017/2018 has not been restated – i.e. it is presented, as previously reported, under LKAS 18, and related interpretations, additionally, the disclosures requirements in SLFRS 15 have not generally been applied to comparative information.

There was no impact on the comparative figures presented in the statement of financial position, statement of changes in equity and statement of cash flows. Further, the change in accounting policy has no impact on the reported amount in accumulated profits as at 01 April 2018.

SLFRS 9 Financial Instruments

SLFRS 9 set out requirements for recognizing and measuring financial liabilities and some contracts to buy or sell non financial items. This standard replaces LKAS 39 Financial Instruments: Recognition and Measurement.

Classification and measurement of financial assets and financial liabilities

SLFRS 9 contains three principal classification categories for financial assets: measured at amortized cost, FVOCI and FVTPL. The classification of financial assets under SLFRS 9 is generally based on the business model in

which a financial asset is managed and its contractual cash flow characteristics. SLFRS 9 largely retains the existing requirements in LKAS 39 for the classification and measurement of financial liabilities. The adaptation of SLFRS 9 has not had a significant effect on the company's accounting policies.

3.2. Basis of consolidation

3.2.1. Business combinations and goodwill

Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

The Group measures goodwill at the acquisition date, as excess of aggregate fair value of the consideration transferred; the recognised amount of any non-controlling interests in the acquiree. If the business combination is achieved in stages, the fair value of the pre-existing interest in the acquiree; and the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed measured at the acquisition date.

Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not re-measured and settlement is accounted within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in the income statement.

The goodwill arising on acquisition of subsidiaries is presented as an intangible asset.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. Goodwill is tested for impairment annually as at 31 March and when circumstances indicate that the carrying value may be impaired. For the purpose of impairment testing, goodwill

NOTES TO THE FINANCIAL STATEMENT

acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity acquired exceed the cost of the acquisition of the entity, the surplus, which is a gain on bargain purchase is recognised immediately in the consolidated income statement.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash generating unit retained.

3.2.2. Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; The contractual arrangement with the other

vote holders of the investee, Rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the Company are also treated as subsidiaries of the Company.

The financial statements of subsidiaries are included in the consolidated financial statements from the date of acquisition, being the date on which the Group obtains control, and continues to be consolidated until the date when such control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

3.2.3. Non-controlling interest

The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included under the heading "Non – controlling interests" in the Consolidated Statement of Profit or Loss and Other Comprehensive Income. Losses applicable to the non-controlling interests in a subsidiary is allocated to the non-controlling interest even if doing so causes the non-controlling interests to have a deficit balance.

The interest of the minority shareholders in the net assets employed of these companies are reflected under the heading "Non-controlling interests" in the Consolidated Statement of Financial Position.

Acquisitions of non-controlling interests are accounted for as transactions with the equity holders in their capacity as owners and therefore no goodwill is recognised as a result of such transactions. Changes to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.2.3. Loss of control

On the loss of control, the Group immediately derecognises the assets including goodwill and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit and loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently, it is accounted for as an equity-accounted investee or as an available-for-sale financial asset depending on the level of influence retained.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

3.2.4. Reporting date

All the Group's subsidiaries, has same reporting period as the parent Company, which is 31st March.

3.2.5. Intra-group transactions

Pricing policies of all intra-group sales are identical to those adopted for normal trading transactions, which are at market prices. Transfer prices between Group entities are set on an arms-length basis in a manner similar to transactions with third parties

3.2.6. Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised gains and losses or income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated to the extent of the Group's interest in the

investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.3. Foreign currencies

3.3.1. Foreign currency transactions

Transactions in foreign currencies are initially recorded by the Group's entities at their respective functional currency spot rates at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date.

Non-monetary assets and liabilities denominated in foreign currencies that are measured based on historical cost in a foreign currency are translated using the exchange rate at the date of transaction. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the reporting currency at the exchange rate that prevailed at the date the fair value was determined.

Foreign currency differences arising on retranslation are recognised in the income statement, except for differences arising on the retranslation of available for sale equity investments, a financial liability designated as a hedge of the net investment in a foreign operation, or qualifying cash flow hedges, which are recognised in other comprehensive income.

Foreign currency gains and losses are reported on a net basis in the income statement.

3.4 Financial instruments

3.4.1 Financial instruments- Policy applicable from 01st April 2018

3.4.1.1 Recognition and initial measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

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Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

3.4.1.2 Classification and subsequent measurement

3.4.1.2.1 Financial Assets

(a) Classification

On initial recognition, a financial asset is classified as measured at amortised cost, fair value through other comprehensive income (OCI) and fair value through profit or loss.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- It is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

This assessment is referred to as the SPPI test and it is performed at an instrument level. The Company's financial assets classified under amortised cost includes trade and other receivable and cash and cash equivalents

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as FVTPL.

- It is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

(b) Business model assessment

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio levels because this best reflects the way the business is managed and information is provided to management. The information considered includes:

The stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets

to the duration of any related liabilities or expected cash outflows or realizing cash flows through the sale of the assets;

- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets. Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

(c) Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- Terms that limit the Company's claim to cash flows from specified assets (e.g. non-recourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual paramount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

NOTES TO THE FINANCIAL STATEMENT

(d) Subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition, Gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

(e) Impairment

Trade receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

In certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

ECL are discounted at the effective interest rate of the financial asset.

(f) Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the trade receivables.

(g) Write-offs

The gross carrying amount of a financial asset is written off (either partially or in full) to the extent that there is no realistic prospect of recovery. However financial assets that written off could still be subject to enforcement activities in order to comply with the Group's procedures to recovery of amounts due.

3.4.2 Financial instruments- Policy applicable prior to 01st April 2018

3.4.2.1 Non-derivative financial assets

Financial assets are recognized in the Statement of Financial Position when, and only when, the Company becomes a party to the contractual provisions of the financial instrument.

3.4.2.1.1 Initial recognition and measurement

Financial assets are classified as financial assets at fair value through profit or loss, loans and receivables, held-to-maturity financial assets and available-for-sale financial assets.

The Group initially recognises loans and receivables and deposits on the date that they are originated. All other financial assets including assets designated at fair value through profit or loss are recognised initially on the trade

date at which the Group becomes a party to the contractual provisions of the instrument. The Group determines the classification of its financial assets at initial recognition.

3.4.2.1.2 Classification and subsequent measurement

a) Financial assets at fair value through profit or loss

A financial asset is recognised at fair value through profit or loss, if it is classified as held for trading or is designated as such upon initial recognition. Financial assets are classified as held for trading if they are acquired for the purpose of trading in the near term. Financial assets at fair value through profit or loss are measured at fair value, and any changes therein, are recognised in the income statement.

Attributable transaction costs of fair value through profit or loss financial assets are recognised in the income statement when incurred.

b) Loans and receivables

Loans and receivables are financial assets with fixed or determinable payments that are not quoted in an active market. Such assets are recognised initially at fair value plus any directly attributable transaction costs, if the transaction costs are significant. Subsequent to initial recognition loans and receivables are measured at amortised cost using the effective interest rate method (EIR) less any impairment losses.

Loans and receivables comprise trade and other receivables and amount due from related parties.

c) Held-to-maturity financial assets

If the Group has the positive intent and ability to hold debt securities until maturity, then such financial assets are classified as held-to-maturity. Held-to-maturity financial assets are recognised initially at fair value plus any directly attributable transaction costs if the transaction costs are significant. Subsequent to initial recognition held-to-maturity financial assets are measured at amortised cost using the effective interest method, less any impairment losses.

d) Available-for-sale financial assets

Available-for-sale financial assets are non-derivative financial assets that are designated as available for sale or are not classified in any of the previous categories of financial assets. Available-for-sale financial assets are recognised initially at fair value plus any directly attributable transaction costs.

Subsequent to initial recognition, they are measured at fair value and any changes therein, other than impairment losses and foreign currency differences on available for sale debt instruments, are recognised in other comprehensive income and presented in the fair value reserve in equity. When an investment is derecognised the gain or loss accumulated in equity is reclassified to the income statement.

The Group designates listed and unlisted equity investments that are not held for trading purposes as available-for-sale financial instruments. Debt securities in this category are those which are intended to be held for an indefinite period of time and which may be sold or redeemed in response to needs for liquidity or in response to changes in market conditions.

Dividend income on available for sale quoted and unquoted equity investments are recognised in the income statement.

3.4.2.1.3 Impairment of financial assets

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that is impaired. A financial asset is impaired if, there is objective evidence as a result of one or more events that has occurred after the initial recognition of the financial asset (an incurred 'loss event') and the estimated future cash flows of the investment have been affected.

a) Loans & Receivables

The objective evidence of impairment could include significant financial difficulty of the issuer or counter party,

NOTES TO THE FINANCIAL STATEMENT

breach of contract such as default in interest or principal payments, or it becomes probable that the borrower will enter bankruptcy or financial reorganisation.

The Group considers impairment of trade receivables at both a specific significant individual debtor level and collectively. Any Group Company which has any individually significant debtors assesses them for specific impairment. All individually insignificant debtors that are not specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified by grouping together based on similar risk characteristics. In assessing collective impairment the Group uses historical trends of the probability of default, the timing of recoveries and the amount of loss incurred and adjusted for the management's judgment. The carrying amount of the trade receivables is reduced through the use of the bad debt provision account and the amount of the loss is recognised in the income statement. If there is no realistic prospect of future recovery of a debt, the amount is written off.

An impairment loss in respect of other financial assets measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the current market rate of return for a similar financial asset. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through the income statement to the extent that the carrying amount of the financial asset at the date the impairment is reversed, does not exceed what the amortised cost would have been had the impairment not been recognised.

b) Available for sale

For equity instruments classified as available for sale financial assets a significant or prolonged decline in the fair value of the investment below its cost is considered to be objective evidence of impairment.

Impairment losses of an available-for-sale security investment are recognised by transferring the cumulative

loss that has been recognised in other comprehensive income to the income statement as a reclassification adjustment. The cumulative loss that is reclassified from other comprehensive income to the income statement is the difference between the acquisition costs, net of any principal repayment and amortisation, and the current fair value, less any impairment loss previously recognised in the income statement. Changes in impairment provisions attributable to time value are reflected as a component of interest income.

If, in a subsequent period, the fair value of an impaired available-for-sale debt security increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed, with the amount of the reversal recognised in the income statement. However, any subsequent recovery in the fair value of an impaired available-for-sale equity security is recognised in other comprehensive income.

3.4.2.1.4 De-recognition of financial assets

The Group derecognises a financial asset when;

- The right to receive cash flows from the asset have expired or the entity has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a pass-through arrangement; and either
- The entity has transferred substantially all the risks and rewards of the asset, or
- The entity has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

On de-recognition of a financial asset, the difference between the carrying amount of the asset or the carrying amount allocated to the portion of the asset transferred and the sum of the consideration received together with

receivable and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in the income statement.

3.4.2.2 Non-derivative financial liabilities

3.4.2.2.1 Initial recognition and measurement

The Group initially recognises debt securities issued and subordinated liabilities on the date that they are originated. All other financial liabilities (including liabilities designated at fair value through profit or loss) are recognised initially on the trade date at which the Group becomes a party to the contractual provisions of the instrument.

a) Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition at fair value through profit loss.

Gains or losses on liabilities held for trading are recognised in the income statement.

The Group has not designated any financial liabilities upon initial recognition at fair value through profit or loss.

b) Other financial Liabilities

All financial liabilities other than those at fair value through profit and loss are classified as other financial liabilities.

All other financial liabilities are recognised initially at fair value plus directly attributable transaction costs. Subsequent to initial recognition these financial liabilities are measured at amortised cost using the effective interest rate method. The financial liabilities include trade and other payables, bank overdrafts, loans and borrowings.

3.4.2.2.2 De-recognition of financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged, cancelled or expired.

3.4.3 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

3.4.4 Stated capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity.

3.5 Assets held for sale and discontinued operations

(i) Assets held for sale

Non-current assets and disposal groups classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets and disposal groups are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Impairment losses on initial classification as held for sale and subsequent gains and losses on remeasurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss. Property, plant and equipment and intangible assets once classified as held for sale are not depreciated or amortised.

(ii) Discontinued operations

A discontinued operation is a component of the Group's business, the operations and cash flows of which can be clearly distinguished from the rest of the Group and which:

- represents a separate major line of business or geographical area of operations;

NOTES TO THE FINANCIAL STATEMENT

- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or
- is a subsidiary acquired exclusively with a view to re-sale.

Classification as a discontinued operation occurs on disposal or when the operation meets the criteria to be classified as held for sale, if earlier.

When an operation is classified as a discontinued operation, the comparative statement of comprehensive income is represented as if the operation had been discontinued from the start of the comparative year.

3.6. Property, plant & equipment

3.6.1 Recognition and measurement

Items of property, plant and equipment other than land and buildings, are measured at cost less accumulated depreciation and accumulated impairment losses.

The cost of an item of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use. The cost of self-constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to the working condition for its intended use, and borrowing costs if the recognition criteria are met. This also includes cost of dismantling and removing the items and restoring them in the site on which they are located.

All items of property, plant and equipment are recognised initially at cost.

The Group subsequently recognises land and building owned by it in the statement of financial position at their revalued amount. Revaluations are performed with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair values at the end of each reporting period. If the fair values

of land and building does not change other than by an insignificant amount at each reporting period the Group will revalue such land every 3 years.

Any revaluation increase arising on the revaluation of such land is recognised in other comprehensive income and accumulated in equity, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in the income statement, in which case the increase is credited to the income statement to the extent of the decrease previously expensed. A decrease in the carrying amount arising on a revaluation of land is recognised in the income statement to the extent that it exceeds the balance, if any, held in the property's revaluation reserve relating to a previous revaluation of the same land.

Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to retained earnings and is not taken into account in arriving at the gain or loss on disposal.

3.6.2 Significant components of property, plant & equipment

When parts of an item of property, plant and equipment have different useful lives than the underlying asset, they are identified and accounted separately as major components of property, plant and equipment and depreciated separately based on their useful life.

3.6.3 Subsequent cost

The Group recognises in the carrying amount of property, plant and equipment the cost of replacing a part of an item, when it is probable that the future economic benefits embodied in the item will flow to the Group and the cost of the item can be measured reliably. The carrying amounts of the parts that are replaced are derecognised from the cost of the asset. The cost of day-to-day servicing of property, plant and equipment are recognised in the income statement as and when incurred.

3.6.4 Depreciation

Depreciation is based on the cost of an asset less its residual value.

Depreciation is recognised in the income statement on a straight line basis over the estimated useful lives of each component of an item of property, plant and equipment. Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale or on the date that the asset is disposed. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives are as follows:

Buildings	10-20 years
Plant and machinery	10-15 years
Motor vehicles	5 years
Furniture and fittings	10 years
Computer hardware / software	3 years
Office equipment	5-10 years
Leasehold motor vehicles	4 years
Pallets	5 years
Building fittings	4 years

3.7 Investment properties

3.7.1 Recognition and measurement

Properties held to earn rental income and properties held for capital appreciation has been classified as investment property.

Investment properties are measured initially at cost, including transaction costs. The carrying value of an investment property includes the cost of replacing part of an existing investment property, at the time that cost is incurred if the recognition criteria are met, and excludes the costs of day-to-day servicing of the investment property. Subsequent to initial recognition, the investment properties are stated at fair value, which reflect market conditions at the reporting date.

Gains or losses arising from changes in fair value are included in the statement of profit or loss in the year in which they arise. Fair values are evaluated at frequent intervals by an accredited external, independent valuer.

Investment properties are de-recognised when disposed, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on de-recognition or disposal are recognised in the Income Statement in the year of de-recognition or disposal. Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property or inventory, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property or inventory, the group accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use. Where group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant and equipment in the consolidated financial statements, and accounted using Group accounting policy for property, plant and equipment.

3.8 Leases

3.8.1 Finance leases

Leases in terms of which the Group assumes substantially all the risks and rewards of ownership are classified as finance leases. On initial recognition, the leased assets under property, plant and equipment, is measured at an amount equal to the lower of its fair value and the present value of minimum lease payments. Subsequent to initial recognition, the asset is accounted for in accordance with the accounting policy applicable to that asset.

Minimum lease payments under finance leases are apportioned between the finance expense and the reduction of the outstanding liability. The finance expense is allocated to each period during the lease term so as to produce a constant periodic rate interest on the remaining balance of the liability.

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3.8.2 Operating leases

Leases where the lessor effectively retains substantially all the risks and rewards of ownership over the assets are classified as operating leases. Payments under operating leases are recognised as an expense in the income statement on a straight-line basis over the term of the lease or any other basis more representative of the time pattern of the benefits derived from the lease.

The initial cost of acquiring a leasehold property treated as an operating lease is recognised as a non-current asset and is amortised over the period of the lease in accordance with the pattern of benefits expected to be derived from the lease. The carrying amount of leasehold property is tested for impairment annually.

3.8.3 Determining whether an arrangement contains a lease

At the inception of an arrangement, the Group determines whether such an arrangement is a lease or contains a lease. This will be apparent if the following two criteria are met:

- the fulfilment of the arrangement is dependent on the use of a specific asset or assets; and
- the arrangement contains a right to use the asset(s).

At the inception or on reassessment of the arrangement, the Group separates payments and other consideration required by such an arrangement into those in respect of the lease and those for other elements, on the basis of their relative fair values. In respect of a finance lease, if the Group concludes that it is impractical to separate the payments reliably, then an asset and a liability are recognised at an amount equal to the fair value of the underlying asset. Subsequently as payments are made the liability is reduced and imputed finance cost on the liability is recognised using the Group's incremental borrowing rate.

3.9 Intangible assets

3.9.1 Initial Recognition and measurement

The Group recognises intangible assets if it is probable that the expected future economic benefits that are attributable

to the asset will flow to the entity and the cost of the asset can be measured reliably.

Separately acquired intangible assets are measured on initial recognition at cost. The cost of such separately acquired intangible assets include the purchase price, import duties, non-refundable purchase taxes and any directly attributable cost of preparing the asset for its intended use.

The cost of intangible assets acquired in a business combination is the fair value of the asset at the date of acquisition.

The cost of an internally generated intangible asset arising from the development phase of an internal project which is capitalised includes all directly attributable costs necessary to create, produce, and prepare the asset to be capable of operating in the manner intended by the Management. Other development expenditure and expenditure on research activities, undertaken with the prospect of gaining new technical knowledge and understanding is expensed in the income statement as and when incurred.

3.9.2 Subsequent costs

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

3.9.3 Subsequent measurement

After initial recognition an intangible asset is stated at its costs less any accumulated amortisation and any accumulated impairment losses.

The useful economic life of an intangible asset is assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life of the asset. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic

benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement.

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.9.4 Intangible assets recognised by the Group

3.9.4.1 Brand distribution agency

During the year ended 31st March 2015, AgStar Seeds (Pvt) Ltd acquired GSN SEMENCES , a French breeder, producer, maintainer and seller of vegetable seeds, an entity belonging to the French cooperative group VIVADOIR, based in the region of Gascony, South - West of France and the Company was granted the right inter alia of the exclusivity of the brand GSN on the whole of Sri Lanka market, the exclusivity for promoting and marketing the products of GSN in Sri Lanka through its distributor network and for the right if co-branding (GSN) to be able to be able to write Seram Agro name on label and to include its logo.

3.9.7.2 Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets. (Note 17.2)

Goodwill is subsequently measured at cost less accumulated impairment losses.

3.9.4.3 Computer software

All computer software costs incurred and licensed for use by the Group, which do not form an integral part of related hardware, and can be clearly identified and reliably measured with the probability of leading to future economic benefits, are capitalised under intangible assets

In accordance with 3.7.3 above, the Group companies assess the useful life of each computer software that has a finite useful life. Based on this assessment the Group companies amortise computer software over approximately 3 to 5 years.

3.9.5 Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses.

3.9.6 De-recognition

Intangible assets are de-recognized on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of intangible assets are measured as difference between the net disposal proceeds and the carrying amount of the asset.

3.9.7 Amortisation

Amortization is recognized in the income statement on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use.

The estimated useful life of each intangible asset is as follows;

Brand distribution agency	10 years
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Amortization methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

3.10 Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is based on a weighted average cost. The cost includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition. In the case of manufactured inventories, cost includes an appropriate share of factory overheads.

NOTES TO THE FINANCIAL STATEMENT

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses based on normal operating capacity.

3.11 Impairment – Non-financial assets

The carrying amounts of the Group's non-financial assets, other than inventories and deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the recoverable amounts of such assets are estimated.

The recoverable amount of goodwill is estimated at each reporting date, or as and when an indication of impairment is identified.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount.

Impairment losses recognised in respect of cash-generating units on acquisition of subsidiaries are allocated first to reduce the carrying amount of any goodwill allocated to the unit, and then to reduce the carrying amount of the other assets in the unit (or group of units) on a pro rata basis.

3.11.1 Calculation of recoverable amount

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

3.11.2 Reversal of impairment

An impairment loss in respect of goodwill is not reversed. In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are recognised in the income statement.

3.12 Liabilities and provisions

Liabilities classified as current liabilities in the statement of financial position are those which fall due for payment on demand of the creditor or within one year of the reporting date. Non-current liabilities are those balances that become repayable after one year from the reporting date.

All known liabilities have been accounted for in preparing the financial statements.

3.13 Employee benefits

3.13.1 Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the Group has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee, and the obligation can be measured reliably.

3.13.2 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays a fixed employee benefit contribution into a separate entity and will have no further legal or constructive obligations to pay any additional amounts. Obligations for contributions to a defined contribution plan are recognised as an employee benefit expense in the income statement in the periods during which services are rendered by employees.

3.13.2.1 Employee provident fund and Employee trust fund

The Group contributes a sum not less than 12% of the gross emoluments of employees employed in Sri Lanka as provident fund benefits and 3% as trust fund benefits.

3.13.3 Defined benefit plan - retiring gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date.

The defined benefit obligation is calculated annually using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms of maturity approximating to the terms of the liability.

Provision has been made in the financial statements for retiring gratuities from the first year of service for all employees.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service.

The liability is not externally funded.

The Group recognises all actuarial gains and losses arising from defined benefit plans immediately in the other comprehensive income as they occur.

3.14 Provisions

A provision is recognised if, as a result of past events, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

3.15 Revenue

3.15.1 Revenue recognition- Policy applicable from 01st April 2018

a) Sale of goods

The group is engaged in the business of importing, blending and marketing of fertilizer products, formulating and marketing of chemicals, producing, trading and marketing of seeds, planting materials and other grains and in exporting agricultural based products.

The Group shall recognise revenue when (or as) the entity satisfies a performance obligation by transferring a promised good to a customer. An asset is transferred when (or as) the customer obtains control of that asset.

b) Interest Income

Interest income is recognized on a time-proportion basis using the effective interest method.

c) Dividend income

Dividend income is recognised in the income statement on the date that the Group's right to receive payment is established, which is generally when the dividend is declared.

d) Rental income

Rental income is recognised on a straight-line basis over the period of rental contracts. When the customer initially enters into a rental contract, the Group usually receives an advance or a deposit or both which is recognised as a liability. The advance is recognised as revenue with the passage of time while deposit is refunded to the customer in accordance with the rental contract on termination.

e) Others

Other income is recognized on an accrual basis.

Gains and losses arising from incidental activities to main revenue generating activities and those arising from a Company of similar transactions which are not material, are aggregated, reported and presented on a net basis.

NOTES TO THE FINANCIAL STATEMENT

3.15.2 Revenue recognition - Policy applicable prior to 01st April 2018

(a) Sale of goods

Revenue from the sale of goods is recognised when the significant risks and rewards of ownership of the goods have been passed to buyers, the recovery of the consideration is probable, the associated costs and return of goods can be estimated reliably, there is non continuing management involvement with the goods and the amount of revenue can be measured reliably. Revenue excludes value added taxes or other sales taxes.

(b) Interest income

Interest income is recognised as it accrues in the income statement.

(c) Dividend income

Dividend income is recognised in the income statement on the date that the Group's right to receive payment is established, which is generally when the dividend is declared.

(d) Rental income

Rental income arising from renting of property, plant and equipment and investment properties is recognised as revenue on a straight-line basis over the term of the lease.

3.16 Expenditure

All expenditure incurred in the running of the business and in maintaining the capital assets in a state of efficiency are recognised in the statement of profit or loss on an accrual basis.

3.17 Finance income /(expenses)

Finance income comprises interest income on funds invested, net changes in fair value of financial assets classified as fair value through profit or loss, and gains on the disposal of interest generating investments whether classified under fair value through profit or loss or available-for-sale financial assets.

Finance expenses comprise interest expense on borrowings and leases, and impairment losses recognised on financial assets. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in the income statement using the effective interest method.

3.18 Government grants and subsidies

Government grants are recognised where there is reasonable assurance that the grant will be received and all attached conditions will be complied with.

When the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the costs, which it is intended to compensate, are expensed.

Grants and subsidies which intend to compensate an expense or loss already incurred or received for the purpose of immediate financial support with no future related costs, are recognised in the income statement in the period in which the grant becomes receivable.

Grants and subsidies related to assets are immediately recognised in the statement of financial position as deferred income, and recognised in the income statement on a systematic and rational basis over the useful life of the asset.

When the Group receives non-monetary grants, the asset and the grant are recorded gross at nominal amounts and recognised in the income statement over the expected useful life in a pattern of consumption of the benefit of the underlying asset.

When loans or similar assistance are provided by governments or related institutions with an interest rate below the applicable market rate, the effect of this favourable interest is regarded as a government grant.

3.19 Income tax expense

Income tax expense comprises of current and deferred tax. The income tax expense is recognised in the income statement except to the extent that it relates to the items recognised directly in the statement of other comprehensive income or statement of changes in equity, in which case it is recognised directly in the respective statements.

3.19.1 Current Tax

The current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Taxation for the current and previous periods to the extent unpaid is recognised as a liability in the financial statements. When the amount of taxation already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset in the financial statements.

3.19.2 Deferred taxation

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for temporary differences arising on initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit, and the differences relating to investments in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

3.19.3 Economic service charge

As per the provisions of the Economic Service Charge Act No. 13 of 2006, economic service charge is payable on the liable turnover at specified rates. Economic service charge is deductible from the income tax liability. Any unclaimed liability can be carried forward and set off against the income tax payable as per the relevant provisions in the Act.

3.20 Movement of reserves

Movements of reserves are disclosed in the statement of changes in equity.

3.21 Statement of Cash flows

The statement of cash flows is reported based on the "indirect method".

3.22 Earnings per share

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

NOTES TO THE FINANCIAL STATEMENT

3.23 Commitments and contingencies

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non-occurrence of uncertain future events, which are beyond the Group's control.

Commitments and Contingent liabilities are disclosed in note 30 and 31 to the financial statements.

3.24 Events occurring after the reporting date

All material events after the reporting date have been considered, disclosed and adjusted where applicable.

4. NEW AND AMENDED STANDARDS ISSUED BUT NOT EFFECTIVE AS AT THE REPORTING DATE

The institute of Chartered Accountants of Sri Lanka has issued a number of New Accounting Standards (SLFRSs/ LKASs) and amendments to standards which are effective for the annual periods beginning after 1 January 2018 and earlier applications is permitted.

The Group has not early adopted the following new or amendments standards in preparing these financial statements. The new standards and amendments listed below are those that could potentially have an impact on the Group's performance, financial position or disclosures.

4.1 SLFRS 16 - Leases - effective for annual periods beginning on or after 1st of January 2019.

SLFRS 16 replaces LKAS 17 Leases and related interpretations. SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under

a single on-balance sheet model similar to the accounting for finance leases under LKAS 17. At the commencement date of a lease, a lessee will recognise a liability to make lease payments (i.e., the lease liability) and an asset representing the right to use the underlying asset during the lease term (i.e., the right-of-use asset). Lessees will be required to separately recognise the interest expense on the lease liability and the depreciation expense on the right-of-use asset.

SLFRS 16 is effective for annual periods beginning on or after 1st January 2019. Early application is permitted, but not before an entity applies SLFRS 15. A lessee can choose to apply the standard using either a full retrospective or a modified retrospective approach. The standard's transition provisions permit certain reliefs.

During the year, the Company performed an impact assessment of SLFRS 16 and determined that its impact on the financial statements would be insignificant. The assessment is based on currently available information and may be subject to changes arising from future analysis.

4.2 Amendments to Accounting Standards

A number of standards have been modified for various specific issues. These include Plan Amendments, Curtailment or Settlement (Amendments to LKAS 19), Annual improvements to SLFRSs 2015 -2017 Cycle (Amendments to SLFRS 3, SLFRS 11, LKAS 12, LKAS 23 and LKAS 28)

None of these amendments are expected to have a material effect on the Company's Financial Statements.

(All amounts in Sri Lankan Rupees)

5 SEGMENT INFORMATION

Management has determined the operating segments based on the reports reviewed by the Executive Board that are used to make strategic decisions.

Trading - Items which are directly imported and sold without further processing are categorized under this.

Processing - This segment includes the items which are further processed at the Company before sold.

For the year ended 31st March,	2019			2018		
	Trading	Processing	Total	Trading	Processing	Total
Total external segment revenue	1,086,687,353	1,391,477,165	2,478,164,518	1,585,365,695	1,731,654,381	3,317,020,076
Cost of sales	(872,695,669)	(913,392,768)	(1,786,088,437)	(1,468,700,425)	(1,316,228,513)	(2,784,928,938)
Gross profit			692,076,081	116,665,270	415,425,868	532,091,138
Unallocated income and expenses						
Other income			57,846,002			22,425,372
Selling and distribution expenses			(147,923,166)			(94,580,516)
Administrative expenses			(287,282,354)			(230,615,705)
Other expenses			-			(38,490,527)
Operating profit			314,716,563			190,829,762
Net finance costs			6,307,184			(34,790,304)
Profit before tax			321,023,747			156,039,458
Income tax expense			(75,805,475)			(65,731,848)
Profit for the year from continuing operations			245,218,272			90,307,610

Since the information on expenses, profit before tax, total assets and liabilities for each reportable segment are not provided to the Executive Board on regular basis, the segmented assets and liabilities are not provided.

6 REVENUE

For the year ended 31st March,	Group		Company	
	2019	2018	2019	2018
Sale of goods	2,478,164,518	3,317,020,076	2,097,048,737	3,099,884,219
	2,478,164,518	3,317,020,076	2,097,048,737	3,099,884,219

Revenue of the Company consists of local sales of fertilizers, which have been disclosed net of taxes and the revenue of the Group includes sale of seeds, cropcare products and other local sales.

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

7 OTHER INCOME

For the year ended 31st March,	Note	Group		Company	
		2019	2018	2019	2018
Dividend income	7.1	-	-	40,420,000	36,900,000
Change in fair value of investment property		-	-	-	-
Gain on disposal of property plant and equipment		4,873,249	140,316	1,260,000	140,316
Gain on disposal of investment property		-	12,730,500	-	-
Amortization of deferred income	25	1,494,432	1,694,432	1,494,432	1,694,432
Used bag sales		8,803,400	5,129,769	8,803,400	5,129,769
Reversal of impairment on other receivable	20.4	33,093,308	-	33,093,308	-
Reversal of impairment on AgStar Exports (Pvt) Ltd	18	-	-	16,600,000	-
Sundry income		9,581,613	2,730,355	221,784	1,987,553
Total of other income		57,846,002	22,425,372	101,892,924	45,852,070

7.1 Dividend income

- Unquoted	-	-	40,420,000	36,900,000
Net dividend income	-	-	40,420,000	36,900,000

8 OTHER EXPENSES

For the year ended 31st March,	Note	Group		Company	
		2019	2018	2019	2018
Provision for impairment of due from AgStar Grains (Pvt) Limited	21.1	-	-	10,043,000	39,300,000
Impairment of other receivables		-	38,490,527	-	38,490,527
Total		-	38,490,527	10,043,000	77,790,527

(All amounts in Sri Lankan Rupees)

9 NET FINANCE COSTS

For the year ended 31st March,	Note	Group 2019	2018	Company 2019	2018
Finance income					
Interest income on FCBU		4,597,092	2,374,430	-	-
Interest income on deposits		3,471,269	3,182,285	3,373,168	2,302,994
Interest income on Repo investment		3,580,302	-	3,580,302	838,881
Gain on translation of foreign currency		89,854,783	2,711,451	74,483,105	-
Total finance income		101,503,446	8,268,166	81,436,575	3,141,875
Finance costs					
Interest expense on short term loans		89,190,171	39,029,509	82,712,567	32,101,972
Interest expense on bank overdraft		1,126,481	1,313,506	640,253	902,307
Loss on translation of foreign currency		4,879,610	2,715,455	-	2,714,095
Total finance costs		95,196,262	43,058,470	83,352,820	35,718,374
Net finance costs recognized in profit or loss		6,307,184	(34,790,304)	(1,916,245)	(32,576,499)

10 PROFIT BEFORE TAX FROM CONTINUING OPERATIONS

Stated after charging all expenses including the following :

For the year ended 31st March,	Note	Group 2019	2018	Company 2019	2018
Directors' emoluments		28,479,483	25,406,523	28,479,483	25,406,523
Auditors' remuneration - Statutory audit		985,000	965,000	480,000	450,000
Employee benefits	10.1	180,618,135	142,756,775	136,347,458	89,902,451
Depreciation and amortisation		49,926,754	38,449,431	30,343,271	21,193,432
Impairment loss/(reversal) on inventory		871,637	(217,699)	-	-
Donation		17,000	440,000	17,000	440,000
Trade debtors write off		26,790,096	-	26,614,591	-
Impairment loss/(reversal) on trade receivables	20.3	19,250,452	5,337,744	10,482,463	6,039,412
Legal expenses		12,337,416	8,217,320	9,790,279	4,795,986

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

10.1 Employee benefit expenses

For the year ended 31st March,	Note	Group 2019	2018	Company 2019	2018
Salaries, wages and other related cost		160,171,762	129,406,245	116,121,639	77,382,781
Contributions to defined contribution plans		14,714,033	8,182,698	14,519,915	7,390,586
Provision for retirement benefit obligations		5,732,340	5,167,832	5,705,904	5,129,084
Total of employee benefit expenses		180,618,135	142,756,775	136,347,458	89,902,451
Number of employees		165	155	163	152

11 INCOME TAX EXPENSE

Current tax expense - continuing operation

Taxation on profit for the year	11.1	465,422	124,026,072	-	123,976,136
Economic service charge not recoverable written off		-	182,952	-	-
(Over)/under provision in respect of previous year		(1,192,783)	(60,213)	(1,188,003)	-
Withholding tax on dividend paid by subsidiaries		6,580,000	4,100,000	-	-
Deemed dividend tax paid		-	2,828,968	-	2,828,968
Sub-total		5,852,639	131,077,779	(1,188,003)	126,805,104

Deferred tax expense - continuing operation

Origination of temporary differences		69,952,836	(65,345,931)	68,565,386	(81,978,467)
Income tax expense		75,805,475	65,731,848	67,377,383	44,826,637

Current tax expense - discontinued operation

Taxation on profit for the year	11.1	-	-	-	-
Economic service charge not recoverable written off		455,171	-	-	-
(Over)/under provision in respect of previous year		62,543	-	-	-
Income tax expense		517,714	-	-	-

(All amounts in Sri Lankan Rupees)

11.1 Reconciliation between current tax expense and the accounting profit

For the year ended 31st March,	Note	Group 2019	2018	Company 2019	2018
Profit/(loss) before taxation - continuing operations		321,023,747	156,039,458	278,623,544	144,051,534
Loss before taxation - discontinuing operations	12	(18,331,934)	(63,716,712)	-	-
Consolidation adjustments		114,699,644	179,896,138	-	-
Adjusted profit before tax		417,391,457	272,218,884	278,623,544	144,051,534
Non business income		(75,286,778)	(221,670,418)	(66,727,902)	(40,182,191)
Aggregate allowable expense		(42,578,906)	(126,448,973)	(27,067,721)	(20,891,498)
Aggregate disallowable expense		83,624,258	73,120,052	58,418,612	67,497,606
Subsidy adjustment		(1,977,238,533)	527,409,533	(1,977,238,533)	527,409,533
Tax exempt profit		(82,617,805)	(31,287,563)	-	-
Tax loss of parent and subsidiaries for the year		1,737,138,831	184,543,468	-	-
Statutory income / (loss) from business		60,432,524	677,884,983	(1,733,992,000)	677,884,984
Non-business income liable to tax		11,899,097	3,731,818	6,953,470	3,302,575
Tax loss claimed during the year		(70,669,401)	(238,431,360)	(6,953,470)	(238,415,645)
Taxable income / (loss)		1,662,220	443,185,441	(1,733,992,000)	442,771,914
Income Tax @ 10%		-	36,584	-	-
Income Tax @ 28%		465,422	123,989,488	-	123,976,136
Tax on profit for the year		465,422	124,026,072	-	123,976,136
Current tax expense on discontinued operations		-	-	-	-
Current tax expense on continuing operations		465,422	124,026,072	-	123,976,136
		465,422	124,026,072	-	123,976,136
Tax loss reconciliation: Continuing operations					
Tax loss brought forward		456,854,276	663,254,218	329,387,752	569,250,846
Adjustment to tax loss brought forward		(796,468)	(837,061)	546,632	(1,447,449)
Loss incurred during the year		1,733,992,000	32,868,479	1,733,992,000	-
Loss utilised during the year		(58,094,575)	(238,431,360)	(6,953,470)	(238,415,645)
Tax loss carried forward		2,131,955,233	456,854,276	2,056,972,914	329,387,752
Tax loss reconciliation: Discontinued operations					
Tax loss brought forward		238,542,050	216,102,011	-	-
Adjustment to tax loss brought forward		512,954	(237,176)	-	-
Loss incurred during the year		-	22,677,215	-	-
Loss utilised during the year - continuing operation		(12,574,826)	-	-	-
Tax loss carried forward		226,480,178	238,542,050	-	-

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

11.2 The income tax provision of AgStar PLC and its subsidiaries which are resident in Sri Lanka has been calculated on adjusted profits at 28% in terms of the Inland Revenue Act No. 24 of 2017 and amendments thereto (other than in respect of companies setout in notes 11.3 below.)

Tax status of companies in the Group which are enjoying income tax exemptions are given in note 11.3

11.3 Companies exempt from income tax

Company	Statute	Period
AgStar Properties (Pvt) Ltd	Section 17(A) of the Inland Revenue Act No.10 of 2006	7 years ending 2019/2020
AgStar Grains (Pvt) Ltd	Section 17 of BOI Law No. 4 of 1978	6 years ending 2023/2024

(All amounts in Sri Lankan Rupees)

12 DISCONTINUED OPERATIONS

In March 2017, The Directors resolved to discontinue the rice processing operations carried out by Mahaweli Agro Trading (Pvt) Limited (previously named as Mahaweli Rice Processing Industries (Pvt) Limited) and AgStar Grains (Pvt) Limited. The management is committed to the plan to sell and is engaged in active marketing to sell the disposal group at a reasonable price in relation to the fair value of assets and liabilities.

The results of aforesaid operations for the year are presented below:

12.1 Loss after tax from discontinued operations

For the year ended 31st March,	Note	Group		Company	
		2019	2018	2019	2018
Revenue		-	101,121,067	-	-
Cost of sales		-	(102,559,593)	-	-
Gross loss		-	(1,438,526)	-	-
Other income		10,000	151,548	-	-
Selling and distribution expenses		(39,181)	(1,936,339)	-	-
Administrative expenses		(2,527,922)	(14,113,931)	-	-
Provision for impairment of receivables		(1,821,816)	(4,556,010)	-	-
Impairment of property, plant and equipment	12.2	(13,953,000)	-	-	-
Operating loss		(18,331,919)	(21,893,258)	-	-
Finance income		-	-	-	-
Finance costs		(15)	(41,823,455)	-	-
Net finance costs		(15)	(41,823,455)	-	-
Loss before tax from discontinued operations		(18,331,934)	(63,716,713)	-	-
Tax expense:					
Current tax	11	(517,714)	-	-	-
Deferred tax		-	-	-	-
Loss for the year from discontinued operations		(18,849,648)	(63,716,713)	-	-
Other comprehensive income					
Revaluation of property, plant and equipment		-	-	-	-
Actuarial gain/(loss) on defined benefit obligations		-	-	-	-
Total comprehensive income		(18,849,648)	(63,716,713)	-	-

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

12.2 Major Classes of Assets and Liabilities

Classified as Held for Sale

As at 31st March,	Note	Group 2019	2018	Company 2019	2018
Assets					
Property, plant and equipment net of impairment		504,446,483	518,986,235	260,832,550	118,710,000
Inventories		6,837,914	6,837,914	-	-
Trade and other receivables		2,766,337	15,592,144	-	-
Cash in hand and cash at bank		372,686	864,234	-	-
Assets classified as held for sale		514,423,420	542,280,527	260,832,550	118,710,000
Liabilities					
Loans and borrowings		-	-	-	-
Trade and other payables		284,911	383,676	-	-
Amount due to related companies		-	-	-	-
Bank overdrafts		105,500	-	-	-
Liabilities classified as held for sale		390,411	383,676	-	-
Net assets directly associated with disposal group		514,033,009	541,896,851	260,832,550	118,710,000

Movement in property, plant and equipment held for sale

Net carrying amount as at 31st March 2018		518,986,235	519,105,735	118,710,000	118,710,000
Assets transferred in	12.2.1	-	-	142,122,550	-
Additions		-	64,694	-	-
Disposals		(586,752)	(184,194)	-	-
Impairment		(13,953,000)	-	-	-
Net carrying amount as at 31st March 2019		504,446,483	518,986,235	260,832,550	118,710,000

12.2.1 The building has been transferred at net carrying value, which is not significantly different from the fair value as at the transfer date.

12.3 Cash flows generated from/(used in) discontinued operations

Net cash flow (used in)/ from operating activities	(607,048)	598,548	-	-
Net cash used in investing activities	10,000	204,046	-	-
Net cash from / (used in) financing activities	-	-	-	-
Net cash (outflow) /inflow	(597,048)	802,594	-	-

12.4 Deficit per share

Basic/ diluted deficit per share for the year from discontinued operations	(0.06)	(0.20)	-	-
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(All amounts in Sri Lankan Rupees)

13 EARNINGS/(DEFICIT) PER SHARE (BASIC/DILUTED)

Basic earnings per share is calculated, based on the net profit attributable to owners of the parent and weighted average number of ordinary shares in issue during the year. Basic earnings for an ordinary share is as follows.

For the year ended 31st March,	Note	Group		Company	
		2019	2018	2019	2018
Profit attributable to ordinary shareholders (Rs.)		226,368,624	26,590,897	211,246,161	99,224,897
Number of ordinary shares at 31st March		325,000,000	325,000,000	325,000,000	325,000,000
Earnings per share (Rs.)		0.70	0.08	0.65	0.31

There were no potentially dilutive ordinary shares at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

14 DIVIDEND PER SHARE

For the year ended 31st March,	Number of Shares	2019	2018
Final dividend paid			
Voting shares	307,526,310	30,752,631	-
Non-voting (Class X) shares	17,473,690	1,747,369	-
	325,000,000	32,500,000	-
Dividend per share (Rs.)		0.10	-

The dividend of Rs. 0.10 per share for 2017/2018 distributed to shareholders are paid out of dividends received from companies within the Group on which 10% withholding tax has been paid.

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

15 PROPERTY, PLANT AND EQUIPMENT- COMPANY

	Land	Building on lease hold land	Building	Plant and machinery
Cost / valuation				
Freehold				
Balance as at 1st April 2017	90,700,000	21,200,000	71,974,777	81,011,995
Additions during the year	-	-	435,465	6,135,208
Surplus on revaluation	64,000,000	1,855,000	12,724,285	-
Transfers from revaluation adjustments	-	(1,855,000)	(6,331,515)	-
Disposals	-	-	-	-
Balance as at 31st March 2018	154,700,000	21,200,000	78,803,012	87,147,203
Additions during the year	-	-	-	9,873,958
Surplus on revaluation	42,300,000	-	-	-
Disposals	-	-	-	-
Balance as at 31st March 2019	197,000,000	21,200,000	78,803,012	97,021,161
Gross carrying amount	197,000,000	21,200,000	78,803,012	97,021,161
Accumulated Depreciation				
Freehold				
Balance as at 1st April 2017	-	1,060,000	3,553,426	49,084,094
Charge for the year	-	1,060,000	3,759,518	7,457,924
Transfers from revaluation adjustments	-	(1,855,000)	(6,331,515)	-
Disposals	-	-	-	-
Balance as at 31st March 2018	-	265,000	981,429	56,542,018
Charge for the year	-	1,255,465	4,649,081	8,343,704
Disposals	-	-	-	-
Balance as at 31st March 2019	-	1,520,465	5,630,510	64,885,722
Gross accumulated depreciation	-	1,520,465	5,630,510	64,885,722
Net carrying amount as at 31st March 2019	197,000,000	19,679,535	73,172,502	32,135,439
Net carrying amount as at 31st March 2018	154,700,000	20,935,000	77,821,583	30,605,185

(All amounts in Sri Lankan Rupees)

Motor vehicles	Furniture and fittings	Factory equipments	Pallets	Office and computer equipments	Capital work in progress	Total
23,151,354	16,207,485	4,480,970	2,733,902	31,882,706	-	343,343,189
11,670,000	214,504	-	-	2,663,110	1,896,083	23,014,370
-	-	-	-	-	-	78,579,285
-	-	-	-	-	-	(8,186,515)
-	(55,102)	-	-	(413,000)	-	(468,102)
34,821,354	16,366,887	4,480,970	2,733,902	34,132,816	1,896,083	436,282,227
39,311,522	139,709	31,602	665,210	6,304,212	2,649,826	58,976,039
-	-	-	-	-	-	42,300,000
(3,534,740)	-	-	-	(2,465,625)	-	(6,000,365)
70,598,136	16,506,596	4,512,572	3,399,112	37,971,403	4,545,909	531,557,901
70,598,136	16,506,596	4,512,572	3,399,112	37,971,403	4,545,909	531,557,901
8,995,059	12,576,608	3,123,566	2,658,201	22,721,673	-	103,772,627
4,536,131	905,213	284,075	71,428	3,119,143	-	21,193,432
-	-	-	-	-	-	(8,186,515)
-	(34,742)	-	-	(413,000)	-	(447,742)
13,531,190	13,447,079	3,407,641	2,729,629	25,427,816	-	116,331,802
10,349,975	897,732	286,972	172,625	4,387,717	-	30,343,271
(3,534,740)	-	-	-	(2,465,625)	-	(6,000,365)
20,346,425	14,344,811	3,694,613	2,902,254	27,349,908	-	140,674,708
20,346,425	14,344,811	3,694,613	2,902,254	27,349,908	-	140,674,708
50,251,711	2,161,785	817,959	496,858	10,621,495	4,545,909	390,883,193
21,290,164	2,919,808	1,073,329	4,273	8,705,000	1,896,083	319,950,427

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

15 PROPERTY, PLANT AND EQUIPMENT- GROUP

	Land	Building on lease hold land	Building	Plant and machinery
Cost / valuation				
Freehold				
Balance as at 1st April 2017	641,863,000	21,200,000	345,057,250	103,967,889
Additions during the year	-	-	5,996,942	6,143,708
Surplus on revaluation	282,637,000	1,855,000	110,399,831	-
Adjustments on revaluation	-	(1,855,000)	(53,365,923)	-
Disposals	-	-	-	-
Balance as at 31st March 2018	924,500,000	21,200,000	408,088,100	110,111,597
Additions during the year	-	-	-	11,240,508
Surplus on revaluation	80,500,000	-	-	-
Disposals	-	-	-	-
Balance as at 31st March 2019	1,005,000,000	21,200,000	408,088,100	121,352,105
Gross carrying amount	1,005,000,000	21,200,000	408,088,100	121,352,105
Accumulated depreciation				
Freehold				
Balance as at 1st April 2017	-	1,060,000	47,672,880	64,042,510
Charge for the year	-	1,060,000	17,846,163	9,707,821
Adjustments on revaluation	-	(1,855,000)	(53,365,923)	-
Disposals	-	-	-	-
Balance as at 31st March 2018	-	265,000	12,153,120	73,750,331
Charge for the year	-	1,255,465	20,789,369	10,857,580
Disposals	-	-	-	-
Balance as at 31st March 2019	-	1,520,465	32,942,489	84,607,911
Gross accumulated depreciation	-	1,520,465	32,942,489	84,607,911
Net carrying amount as at 31st March 2019	1,005,000,000	19,679,535	375,145,611	36,744,194
Net carrying amount as at 31st March 2018	924,500,000	20,935,000	395,934,979	36,361,266

(All amounts in Sri Lankan Rupees)

Motor vehicles	Furniture and fittings	Factory equipments	Pallets	Office and computer equipments	Capital work in progress	Total
23,151,354	17,823,099	4,823,164	2,905,802	33,630,489	-	1,194,422,048
11,670,000	240,716	-	-	3,664,520	3,672,904	31,388,790
-	-	-	-	-	-	394,891,831
-	-	-	-	-	-	(55,220,923)
-	(55,102)	-	-	(413,000)	-	(468,102)
34,821,354	18,008,713	4,823,164	2,905,802	36,882,009	3,672,904	1,565,013,644
39,311,522	211,659	31,602	665,210	6,308,012	20,922,359	78,690,872
-	-	-	-	-	-	80,500,000
(3,534,740)	-	-	-	(2,465,625)	-	(6,000,365)
70,598,136	18,220,372	4,854,766	3,571,012	40,724,396	24,595,263	1,718,204,151
70,598,136	18,220,372	4,854,766	3,571,012	40,724,396	24,595,263	1,718,204,151
8,995,057	13,091,191	3,465,761	2,777,437	23,825,320	-	164,930,156
4,536,131	1,088,890	284,075	124,094	3,402,257	-	38,049,431
-	-	-	-	-	-	(55,220,923)
-	(34,742)	-	-	(413,000)	-	(447,742)
13,531,188	14,145,339	3,749,836	2,901,531	26,814,577	-	147,310,922
10,349,975	1,072,296	286,972	172,625	4,742,472	-	49,526,754
(3,534,740)	-	-	-	(2,465,625)	-	(6,000,365)
20,346,423	15,217,635	4,036,808	3,074,156	29,091,424	-	190,837,311
20,346,423	15,217,635	4,036,808	3,074,156	29,091,424	-	190,837,311
50,251,713	3,002,737	817,958	496,856	11,632,972	24,595,263	1,527,366,840
21,290,166	3,863,374	1,073,328	4,271	10,067,433	3,672,904	1,417,702,722

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

15.1 Information on the land and buildings of the Group

Location	Revalued Date	Extent (Perches)	Building (Squarefeet)	Cost or revaluation of land	Cost or revaluation of buildings	Total value depreciation	Net book value of the buildings	Total net book value
Continuing operations								
Borella	30th September 2018 (Land)	16.32	6,460	179,500,000	49,803,012	229,303,012	(3,457,426)	46,345,586
Bawa Place, Colombo 08	31st December 2017 (Building)							225,845,586
Dambulla	30th September 2018 (Land)	63.75	9,812	17,500,000	29,000,000	46,500,000	(2,173,084)	26,826,916
Ihalakatupe Watta, Pannampitiya Village, Lenadora	31st December 2017 (Building)							44,326,916
Ekala	30th September 2018 (Land)	1,419.55	143,040	808,000,000	329,285,088	1,137,285,088	(27,311,979)	301,973,109
No.93, Minuwangoda Road, Ekala	31st December 2017 (Building)							1,109,973,109
Building on lease hold land								
Polonnaruwa	31st December 2017	-	7,970	-	21,200,000	21,200,000	(1,520,465)	19,679,535
Ambalamkele								
Discontinued operations								
Anuradhapura	31st March 2017	579.22	60,134	63,800,000	199,922,550	263,722,550	(2,890,000)	197,032,550
Puliyankulama								260,832,550
Building on lease hold land								
Sandunpura, Dehiattakandiya	-	-	41,600	-	68,912,677	68,912,677	(12,289,541)	56,623,136

The lands and buildings at Borella, Anuradapura and Dambulla belong to AgStar PLC. The land and building at Ekala belong to AgStar Properties (Private) Limited which is a fully own subsidiary of AgStar PLC, having a land extent of 08A.3R.19.5P bearing Assessment No.93, Minuwangoda road, Ekala, which has been valued by an Independent valuer Mr. Sarath G. Fernando, a member of the Institute of Valuers of Sri Lanka in determining the fair value of the land as at 30th September 2018 and building as at 31st December 2017.

The Valuer considered the market evidences and trends in determining the fair value of the property. The building constructed on the land has been measured initially at its cost. After initial recognition, the Company adopts fair value model for Property, Plant and Equipment as per the Sri Lanka Accounting Standard LKAS 16. There is no significant change in the fair value of the land and building as at 31st March 2019.

The land and buildings classified under held for sale category (discontinued operation) have been valued by Mr. Sarath G. Fernando, a member of the Institute of Valuers of Sri Lanka in determining the fair value as at 31st March 2019. No impairment has been identified for the period.

(All amounts in Sri Lankan Rupees)

15.2 The carrying amount of revalued land and buildings if they were carried at cost less depreciation, would be as follows;

As at 31st March,	Note	Group 2019	2018	Company 2019	2018
Cost	863,829,469	884,305,549	361,651,955	219,529,405	
Accumulated depreciation	(71,111,860)	(73,212,172)	(18,317,691)	(18,475,239)	
Carrying value	792,717,609	811,093,377	343,334,264	201,054,167	

15.3 Fully depreciated but still in use

The cost of fully depreciated property, plant and equipment of the Group and the Company which are still in use amounted to,

As at 31st March,	Note	Group 2019	2018	Company 2019	2018
Fully depreciated property, plant and equipment	53,807,269	50,052,960	50,143,746	47,748,539	

15.4 Fair value measurement

The Group and the Company uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques:

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly

Level 3: techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table provides the fair value measurement hierarchy of the Group's land and buildings, that are measured at fair value.

Fair value measurement hierarchy - Group

As at 31st March 2019	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	1,399,825,146	1,399,825,146
	-	-	1,399,825,146	1,399,825,146

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

As at 31st March 2018	Level 1	Level 2	Level 3	Total
Recurring fair value measurements				
Assets measured at fair value:				
Land and buildings	-	-	1,341,369,980	1,341,369,980
	-	-	1,341,369,980	1,341,369,980

Land and buildings measured at fair value - Recurring

Property	Method of valuation	Significant unobservable inputs		
		Estimated price per perch	Estimated price per square foot	Correlation to fair value
Freehold land and building				
Borella	- Market comparable method	Rs. 11,000,000	Rs. 8,500	Positive
Dambulla	- Market comparable method	Rs. 275,000	Rs. 3,500 - Rs. 4,750	Positive
Ekala	- Market comparable method	Rs. 525,000	Rs. 2,750 - Rs. 5,750	Positive
Building on lease hold land				
Polonnaruwa	- Market comparable method	-	Rs. 3,250 - Rs. 3,750	Positive

16 INTANGIBLE ASSETS

16.1 Trade mark

As at 31st March,	Group		Company	
	2019	2018	2019	2018
Balance at the beginning of the year	600,000	1,000,000	-	-
Amortisation	(400,000)	(400,000)	-	-
Balance as at end of the year	200,000	600,000	-	-

16.2 Goodwill on acquisition

Balance at the beginning of the year	56,425,992	56,425,992	-	-
Impairment during the year	-	-	-	-
Balance as at end of the year	56,425,992	56,425,992	-	-
Net carrying amount as at 31st March	56,625,992	57,025,992	-	-

(All amounts in Sri Lankan Rupees)

Trade mark

During the year ended 31st March 2015, AgStar Seeds (Pvt) Ltd acquired GSN SEMENCES , a French breeder, producer, maintainer and seller of vegetable seeds, an entity belonging to the French cooperative group VIVADOIR, based in the region of Gascony, South - West of France and the Company was granted the right inter alia of the exclusivity of the brand GSN on the whole of Sri Lankan market, the exclusivity for promoting and marketing the products of GSN in Sri Lanka through its distributor network and for the right if co- branding (GSN) to be able to be able to write Seram Agro name on label and to include its logo.

Goodwill on acquisition (Unimpaired)

Goodwill has arisen from the acquisition of Prith Seeds (Private) Limited

The recoverable amount of goodwill is determined based on value-in-use calculations. These calculations use cash flow projections based on financial budgets approved by management covering five year periods. The key assumptions used are given below;

Business growth – Based on the long term average growth rate for each business unit.

The weighted average growth rate used is consistent with the forecast included in industry reports.

Inflation – Based on current inflation rate and

Discount rate – Risk free rate adjusted by adding appropriate risk premium

Gross margin – Based on past performance and budgeted expectations.

17 INVESTMENT PROPERTY

As at 31st March,	Group		Company	
	2019	2018	2019	2018
Balance at the beginning of the year	-	155,000,000	-	-
Additions during the year	-	-	-	-
Disposals during the year	-	(155,000,000)	-	-
Change in fair value	-	-	-	-
Balance as at 31st March	-	-	-	-

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

18 INVESTMENTS IN SUBSIDIARIES

As at 31st March,	Company/Group holding		No of shares		Cost as at 31st March	
	2019	2018	2019	2018	2019	2018
AgStar Cropcare (Pvt) Ltd.	100%	100%	5,000,000	5,000,000	37,999,990	37,999,990
AgStar Seeds (Pvt) Ltd.	100%	100%	5,000,000	5,000,000	500,000	500,000
AgStar Properties (Pvt) Ltd.	100%	100%	35,000,000	35,000,000	350,000,000	350,000,000
AgStar Grains (Pvt) Ltd.	100%	100%	34,000,000	34,000,000	340,000,000	340,000,000
Mahaweli Agro Trading (Pvt) Ltd.	100%	100%	19,550,000	19,550,000	172,700,000	172,700,000
AgStar Exports (Pvt) Ltd.	100%	100%	4,500,000	4,500,000	45,000,000	45,000,000
Prith Seeds (Pvt) Ltd.	100%	100%	10,000	10,000	80,229,098	80,229,098
			103,060,000	103,060,000	1,026,429,088	1,026,429,088
Provision for fall in value of investments (Note 18.1)					(533,600,000)	(550,200,000)
Net carrying amount as at 31st March					492,829,088	476,229,088

- 18.1 The Company has made provisions against the investments in Mahaweli Agro Trading (Pvt) Limited, AgStar Grains (Pvt) Limited and AgStar Exports (Pvt) Limited of Rs.172.7 million (2018-Rs.172.7 million), Rs.340 million (2018-Rs.340 million) and Rs. 20.9 million (2018-Rs.37.5 million) respectively.

19 INVENTORIES

As at 31st March,	Group		Company	
	2019	2018	2019	2018
Reconciliation of inventories				
Raw materials and consumables	207,641,653	1,664,238,489	93,921,070	1,641,246,354
Finished goods	119,043,389	71,766,613	7,750,340	7,317,615
Goods in transit	206,983,555	-	206,983,555	-
	533,668,597	1,736,005,102	308,654,965	1,648,563,969
Provision for impairment of inventories	(1,526,861)	(655,224)	-	-
	532,141,736	1,735,349,878	308,654,965	1,648,563,969

(All amounts in Sri Lankan Rupees)

20 TRADE AND OTHER RECEIVABLES

As at 31st March,	Note	Group 2019	2018	Company 2019	2018
Trade receivables		439,601,456	971,658,573	319,798,593	856,085,603
Tax recoverable	20.1	32,183,288	20,889,951	9,823,327	15,922,866
Other receivables		42,774,590	48,748,323	33,093,308	38,490,527
Deposits and prepayments		26,981,542	26,344,377	18,888,520	21,007,080
Rent paid in advance		-	-	64,000,000	16,000,000
Subsidy receivable	20.2	1,986,362,163	9,123,630	1,986,362,163	9,123,630
Advances		21,477,982	64,962,700	14,919,900	64,962,700
Interest receivable		4,664,235	-	642,464	-
Staff loan		12,132,591	16,492,169	12,132,591	16,492,169
Sub Total		2,566,177,847	1,158,219,723	2,459,660,866	1,038,084,575
Provision for impairment of trade receivables	20.3	(97,841,760)	(172,175,828)	(53,028,186)	(117,851,252)
Provision for impairment of other receivables	20.4	(9,681,282)	(48,171,809)	-	(38,490,527)
Total of trade and other receivables		2,458,654,805	937,872,086	2,406,632,680	881,742,796

20.1 Tax recoverable

Withholding tax recoverable	215,605	401,834	168,657	401,834
Economic service charge recoverable	14,014,569	17,930,157	9,654,670	15,521,032
Value added tax recoverable	16,573,816	2,330,368	-	-
Nation building tax recoverable	1,379,298	227,592	-	-
Total tax receivables	32,183,288	20,889,951	9,823,327	15,922,866

20.2 Subsidy receivable

Balance at the beginning of the year	9,123,630	536,533,163	9,123,630	536,533,163
Additions during the year	3,052,927,325	-	3,052,927,325	-
Receipt during the year	(1,075,688,792)	(527,409,533)	(1,075,688,792)	(527,409,533)
Balance at end of the year	1,986,362,163	9,123,630	1,986,362,163	9,123,630

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

	As at 31st March,	Note	Group		Company	
			2019	2018	2019	2018
20.3	Provision for impairment of trade receivables					
	Balance at the beginning of the year		172,175,828	166,838,084	117,851,252	111,811,840
	Provision/ (reversal) during the year		19,250,452	5,337,744	10,482,463	6,039,412
	Write - offs		(93,584,520)	-	(75,305,529)	-
	Balance at end of the year		97,841,760	172,175,828	53,028,186	117,851,252
20.4	Provision for impairment of other receivables					
	Balance at the beginning of the year		48,171,809	9,681,282	38,490,527	-
	Provision/ (reversal) during the year		(33,093,308)	38,490,527	(33,093,308)	38,490,527
	Write - offs		(5,397,219)	-	(5,397,219)	-
	Balance at end of the year		9,681,282	48,171,809	-	38,490,527
21	RELATED PARTY RECEIVABLES AND PAYABLES					
21.1	Amounts due from related companies					
	AgStar Cropcare (Pvt) Ltd.		-	-	99,288,287	51,428,732
	AgStar Seeds (Pvt) Ltd.		-	-	266,074	4,289,999
	AgStar Properties (Pvt) Ltd.		-	-	-	30,873,368
	AgStar Grains (Pvt) Ltd.		-	-	237,893,688	388,443,678
	Mahaweli Agro Trading (Pvt) Ltd		-	-	158,066,057	169,668,279
	AgStar Exports (Pvt) Ltd.		-	-	122,737,277	116,797,504
	Prith Seeds (Pvt) Ltd.		-	-	-	1,133,338
			-	-	618,251,383	762,634,898
	Provision for receivable from AgStar Grains (Pvt) Ltd.		-	-	(88,273,000)	(78,230,000)
			-	-	529,978,383	684,404,898
The Company has made provisions against related party receivable from AgStar Grains (Pvt) Limited Rs. 10.04 million in 2018/19. (2017/18 - Rs.39.3 million).						
21.2	Amounts due to related companies					
	AgStar Properties (Pvt) Ltd.		-	-	2,649,765	-
	Prith Seeds (Pvt) Ltd.		-	-	509,052	-
	Balance at end of the year		-	-	3,158,817	-

(All amounts in Sri Lankan Rupees)

As at 31st March,		Note	Group		Company	
			2019	2018	2019	2018
22	Cash and cash equivalents					
	Short term deposits	22.1	163,107,000	20,051,782	36,836,941	20,051,782
	Cash in hand		861,910	757,365	480,410	400,865
	Cash at Bank		86,005,043	244,012,747	77,168,782	109,958,199
	Cash and cash equivalents in the statements of financial position		249,973,953	264,821,894	114,486,133	130,410,846
	Bank overdraft for cash management purposes		(17,778,823)	(392,062)	(5,888,539)	-
	Cash and cash equivalents classified as held for sale	12.2	267,186	864,234	-	-
	Cash and cash equivalents for the purpose of cash flow statements		232,462,316	265,294,066	108,597,594	130,410,846
22.1	Short term deposits					
	Fixed deposits - HNB		23,936,941	20,051,782	23,936,941	20,051,782
	Fixed deposits - Peoples's Bank		12,900,000	-	12,900,000	-
	Foreign currency fixed deposits - Sampath Bank		126,270,059	-	-	-
			163,107,000	20,051,782	36,836,941	20,051,782

Security details on bank overdraft facilities

Bank	Currency	Facility Value	Facility Period	Nature of assets pledge
Commercial Bank of Ceylon PLC	LKR	25m	1 Year	General terms & conditions
Hatton National Bank PLC	LKR	25m	1 Year	Rs.20 Mn Fixed deposit
MCB Bank	LKR	25m	1 Year	Paripasu mortgage bond

As at 31st March,		Company	
		2019	2018

23 STATED CAPITAL

Stated Capital	1,204,093,678	1,204,093,678
Issue and fully paid		
Ordinary shares	325,000,000	325,000,000

The holders of ordinary shares are entitled to receive dividend as declared from time to time and are entitled to one vote per individual present at meetings of the shareholders or one vote for share in the case of a poll.

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

		Group		Company	
As at 31st March,	Note	2019	2018	2019	2018
24	EMPLOYEE BENEFITS				
24.1	Movement in net defined benefit obligation				
Balance at the beginning of the year		25,814,416	20,845,248	25,726,881	20,703,221
Include in profit or loss					
Current service cost		3,024,716	2,679,289	3,004,581	2,644,697
Interest cost		2,707,624	2,488,543	2,701,323	2,484,387
		5,732,340	5,167,832	5,705,904	5,129,084
Include in other comprehensive income					
Actuarial loss/(gain)		453,234	2,324,464	486,666	2,120,704
		31,999,990	28,337,544	31,919,451	27,953,009
Benefit paid		(1,501,350)	(2,523,128)	(1,501,350)	(2,226,128)
Balance at end of the year		30,498,640	25,814,416	30,418,101	25,726,881

The provision for retirement benefit obligations for the year is based on the actuarial valuation carried out by professionally qualified actuaries, Messrs. Actuarial & Management Consultant (Pvt) Ltd, as at 31st March 2019. The actuarial present value of the promised retirement benefit as at 31st March 2019 amounted to Rs.30,418,101/-(2018- Rs.25,726,881/-) for the Company and Rs.30,498,640 (2018- Rs.25,814,416) for the Group. The liability is not externally funded.

		Group		Company	
As at 31st March,	Note	2019	2018	2019	2018
24.2	Defined benefit obligation				
Actuarial assumptions					
Discount rate		11%	10.5%	11%	10.5%
Future salary growth		8%	9%	8%	9%

It is also assumed that the Company will continue in business as a going concern

Retirement age	55 years	55 years	55 years	55 years
Mortality	A 66/70 mortality table issued by the Institute of Actuaries, London			

(All amounts in Sri Lankan Rupees)

24.3 Sensitivity analysis

The following table demonstrates the sensitivity to a reasonably possible changes at the reporting date in the key assumptions employed with all other variables held constant in the employment benefit liability measurement. The sensitivity of the statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the employment benefit obligation for the year.

As at 31st March,	Group		Company	
	2019	2018	2019	2018
Discount rate				
1 % increase	(954,138)	(851,833)	(941,438)	(834,391)
1 % decrease	1,026,960	924,258	1,011,405	901,927
Future salary growth rate				
1 % increase	1,165,479	825,486	1,149,608	803,040
1 % decrease	(1,100,862)	(772,613)	(1,087,734)	(754,815)

Maturity analysis of the payments

The following payments are expected on employee benefit liabilities in future years

As at 31st March,	Group		Company	
	2019	2018	2019	2018
Less than one year	11,828,920	9,627,414	11,773,228	9,594,934
Between 1-2 years	4,289,430	4,523,617	4,289,430	4,523,617
Between 3-5 years	9,525,128	4,164,482	9,525,128	4,164,482
Beyond 5 years	4,855,162	7,498,903	4,830,315	7,443,848
Total expected payments	30,498,640	25,814,416	30,418,101	25,726,881
Weighted average duration (years) of define benefit obligation	3.51	3.68	3.51	3.68

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

25 DEFERRED INCOME

As at 31st March,	Group		Company	
	2019	2018	2019	2018
Balance at the beginning of the year	5,139,398	6,833,830	5,139,398	6,833,830
Additions during the year		-	-	-
Recognised during the year	(1,494,432)	(1,694,432)	(1,494,432)	(1,694,432)
Balance as at end of the year	3,644,966	5,139,398	3,644,966	5,139,398

Deferred income represents the gain on disposal of motor vehicles to staff for loan consideration. The deferred income is amortised to profit or loss over the period when the corresponding loan due from staff is charged to profit or loss as an employee benefit.

As at 31st March,	Group		Company	
	2019	2018	2019	2018

26 DEFERRED TAX (ASSETS)/LIABILITIES

26.1 Movement in deferred tax (assets)/ liabilities

Balance at the beginning of the year	4,165,882	38,731,309	(61,794,927)	16,695,137
Origination/(reversal) of temporary differences recognised in statement of profit or loss				
Continuing operations	69,952,836	(65,345,931)	68,565,386	(81,978,467)
Discontinued operations	-	-	-	-
Origination/(reversal) of temporary differences Recognised in other comprehensive income				
Deferred tax impact on revaluation of property, plant and equipment	178,862,588	31,431,353	36,503,106	4,082,200
Deferred tax on actuarial gain/(loss)	(126,905)	(650,850)	(136,266)	(593,797)
Balance at the end of the year	252,854,401	4,165,881	43,137,299	(61,794,927)

26.2 Composition of deferred tax

Property, plant and equipment	(107,220,834)	(102,811,247)	(38,078,955)	(36,518,493)
Subsidy receivable	(556,181,406)	(2,554,616)	(556,181,406)	(2,554,616)
Deferred tax impact on revaluation gain of land	(178,862,588)	-	(36,503,106)	-
	(842,264,828)	(105,365,863)	(630,763,467)	(39,073,109)
Retirement benefit obligation	8,539,619	7,228,037	8,517,068	7,203,527
Tax losses carried forward	575,952,416	92,228,571	575,952,416	92,228,571
Provision for bad debts	4,918,392	1,743,374	3,156,684	1,435,938
	589,410,427	101,199,982	587,626,168	100,868,036
	(252,854,401)	(4,165,881)	(43,137,299)	61,794,927

(All amounts in Sri Lankan Rupees)

- 26.3** Based on the provisions in the new Inland Revenue Act No.24 of 2017, the Company and the Group have recognized deferred tax on revaluation gain on land.

26.4 Unrecognized deferred tax assets

Deferred tax assets have not been recognised in respect of the tax losses of the following subsidiaries as it is not probable that sufficient future taxable profit will be available against which the Group can use the benefits there from.

As at 31st March,	Group		Company	
	2019	2018	2019	2018
Tax losses carried forward				
AgStar Cropcare (Pvt) Ltd	10,949,699	26,129,650	-	-
AgStar Exports (Pvt) Ltd	31,818,831	49,179,818	-	-
AgStar Seeds (Pvt) Ltd	56,888,661	73,594,256	-	-
Prith Seeds (Pvt) Ltd	-	3,201,672	-	-
Mahaweli Agro Trading (Pvt) Ltd	226,480,178	238,542,050	-	-
	326,137,369	390,683,446	-	-

As at 31st March,	Note	Group		Company	
		2019	2018	2019	2018

27 LOANS AND BORROWINGS

Current liabilities	27.1	983,304,092	16,637,105	953,044,879	9,110,338
Term loans		983,304,092	16,637,105	953,044,879	9,110,338

27.1 Terms and repayment schedule

The terms and conditions of outstanding loans as follows.

Bank	Currency	Nominal interest rate	Year of maturity	Face value	Carrying amount	Face value	Carrying amount
Secured bank loan	LKR	AWPLR+1%	-	983,304,092	983,304,092	16,637,105	16,637,105
				983,304,092	983,304,092	16,637,105	16,637,105

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

	Group		Company	
As at 31st March,	2019	2018	2019	2018
27.2 Loan movement during the year				
Balance at the beginning of the year	16,637,105	356,787,151	9,110,338	150,264,960
Obtained during the year	3,591,416,787	2,225,182,810	3,374,636,638	1,513,509,536
Repayment during the year	(2,624,749,800)	(2,565,332,856)	(2,430,702,097)	(1,654,664,158)
Balance at the end of the year	983,304,092	16,637,105	953,044,879	9,110,338

	Group		Company	
As at 31st March,	2019	2018	2019	2018
28 TRADE AND OTHER PAYABLES				
Trade payables	970,798,128	1,835,894,637	909,401,404	1,824,862,857
Other payables	203,756,002	186,987,709	191,099,062	177,609,048
Advance received	160,000	160,000	160,000	160,000
Total of trade and other payables	1,174,714,130	2,023,042,346	1,100,660,466	2,002,631,905

29 RELATED PARTY DISCLOSURES

(a) Identification of related parties

The Company has a related party relationship with its subsidiaries and other Group Companies and with its Directors.

(b) Transactions with key management personnel

Key management personnel comprise all the members of the Board of Directors of the Company having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly.

(c) Loans to directors

No loans have been granted to the Directors of the Company.

(d) Key management personnel compensation

No compensation was paid to directors during the period under review, other than what is mentioned in Note 10

(e) Related party transactions

The following transactions were carried out with related parties during the year ended 31st March 2019.

(All amounts in Sri Lankan Rupees)

29.1 Recurrent related party transactions

The Group entered into the recurrent related party transactions for the year 2018/19 as follows:

Transactions with subsidiaries

Company	Relationship	Nature of transaction	Transactions during the year	Balance due (to)/ from as at 31/3/2019	Balance due (to)/ from as at 31/3/2018
AgStar Cropcare (Pvt) Ltd	Subsidiaries	Funds transferred	20,000,000		
		Funds received	(28,600,000)		
		Cropcare purchases	(11,732,486)		
		Fertilizer Sales	50,486,602		
		Expenses incurred by parent	4,335,275		
		Salaries and allowance	15,713,814		
		Set off against customer deposits	(2,343,650)	99,288,287	51,428,732
AgStar Exports (Pvt) Ltd	Subsidiaries	Funds transferred	9,250,000		
		Funds received	(6,650,000)		
		Expenses incurred by parent	537,464		
		Salaries and allowance	2,802,309	122,737,277	116,797,504
AgStar Grains (Pvt) Ltd	Subsidiaries	Reimbursement of expenses	(8,615,250)		
		Transfer of building (Note 29.2)	(142,122,550)		
		Expenses incurred by parent	187,810	237,893,688	388,443,678
		Provision made	(10,043,000)	(88,273,000)	(78,230,000)
AgStar Properties (Pvt) Ltd	Subsidiaries	Funds transferred	51,275,000		
		Rent advance paid	(96,000,000)		
		Expenses incurred by parent company	1,228,194		
		Capital expense transfer	18,133,673		
		VAT and NBT - Ekala building	(8,160,000)	(2,649,765)	30,873,368
		Rent advance paid	96,000,000		
		Rent advance amortised	(48,000,000)	64,000,000	16,000,000
AgStar Seeds (Pvt) Ltd	Subsidiaries	Settlement of expenses received	(16,386,883)		
		Expenses incurred by parent company	1,743,407		
		Salaries and allowance	10,619,551	266,074	4,289,999
Mahaweli Agro Trading (Pvt) Ltd	Subsidiaries	Expenses incurred by parent	1,686,821		
		Salaries and allowance	7,510,957		
		Settlement of expenses	(20,800,000)	158,066,057	169,668,279
		Fertilizer sales	58,924,780		
		Receipts	(70,878,027)	17,852,735	29,805,982
Prith Seeds (Pvt) Limited	Subsidiaries	Settlements of expenses	(7,145,000)		
		Salaries and allowance	4,818,504		
		Expenses incurred by parent	684,106	(509,052)	1,133,338

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

- (f) The receivables from related companies and payables to related companies on sale, purchase of goods and services are unsecured, interest free and have no fixed repayment terms.
- (g) The subsidiary companies utilise certain facilities of the Company free of charge and part of the accounting and administrative functions of the subsidiary companies are also performed by the Company for which no charges are made.
- (h) **Terms and Conditions for recurrent transactions with related parties**
All related party transactions are carried out in the ordinary course of business and transacted at normal business terms. The sales to and purchases from related parties are made in terms of equivalent to those that prevail in arm's length transactions and comparable with those that would have been charged from unrelated companies. All related party outstanding balances at the year-end are unsecured and are to be settled in cash. The Group does not have any material commitments to related parties.

29.2 Non-recurrent related party transactions

The Group entered into the non-recurrent related party transactions for the year 2018/19 as follows:

- (a) **Non-recurrent related party transactions**
- | | |
|---------------------------|--|
| Related party | : AgStar Grains (Pvt) Ltd |
| Nature of the transaction | : Building transferred to AgStar PLC as a settlement of related party balance. |
| Terms of transaction | : Not Applicable |
| Total value | : Rs. 142,122,550 |
| As a % of equity | : 6% |
| As a % of total assets | : 3% |
- (b) There were no any non-recurrent Related Party Transactions entered during the year, other than the transactions specified above as per the CSE Listing Rule 9.3.2.

30 COMMITMENTS

There are no material capital or financial commitments outstanding as at the date of the statement of financial position, which require adjustment to or disclosure in the financial statements other than those mentioned below.

Capital Commitments

AgStar Properties (Pvt) Ltd.

During the year under review, it was resolved by the Board to construct an additional 75,000sq.ft. of warehousing space and 10,000sq.ft. office cum facility in Ekala. The discussions are still at the initial stages and the development costs are yet to be decided and approved by the Board.

Financial Commitments - Group

Documentary credit effected for foreign purchases as at 31st March 2019 Rs. 147,526,165. (2018 - Rs.82,129,560/-)

(All amounts in Sri Lankan Rupees)

31 CONTINGENT LIABILITIES

There are no material contingent liabilities outstanding as at the reporting date that require adjustments or disclosures in the financial statements.

31.1 Corporate guarantee issued by AgStar PLC

Name of the Company	Type of the facility	Name of the bank	Amount (Rs.)
AgStar Seeds (Pvt) Ltd	LC/IDL	Commercial	48,000,000
	Overdraft	Commercial	19,000,000
	Short term loan facility	Commercial	60,000,000
	LC/IDL	HNB	25,000,000
	Term Loan (Series of Loan)	BOC	60,000,000
AgStar Cropcare (Pvt) Ltd	LC/IDL	Commercial	60,000,000
	Overdraft	Commercial	19,000,000
	LC/IDL	HNB	50,000,000
AgStar Grains (Pvt) Ltd	Short Term Loan	Commercial	10,000,000
	Short Term Loan	Commercial	150,000,000
	Short Term Loan	DFCC	200,000,000
	Short Term Loan	BOC	500,000,000
Mahaweli Agro Trading (Pvt) Ltd	Short Term Loan	BOC	150,000,000

31.2 Bank Guarantees

Lanka Phosphate Limited	Local supplies	Commercial	11,000,000
Department of Customs		Commercial	2,428,000
Coconut Cultivation Board		Commercial	100,000

32 EVENTS OCCURRING AFTER THE REPORTING DATE

The Directors have recommended a final dividend payment of Rs. 0.20 per share for the year ended 31st March 2019 to be approved at the Annual General Meeting.

In compliance with Sri Lanka Accounting Standard (LKAS-10) the final dividend recommended is not recognised as a liability in the financial statements as at 31st March 2019.

There are no any other material events that occurred after the reporting date that require adjustment to or disclosure in the financial statements

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

33 COMPARATIVE INFORMATION

The comparative information has been rectified according to the current year classification wherever necessary to ensure comparability and better presentation.

Deferred tax assets

Group deferred tax assets have been netted off with group tax liabilities during the year and the comparative information has been changed accordingly.

33.1 Changes in Significant Accounting Policies

The Group has initially applied SLFRS 15 and SLFRS 9 from 01 January 2018. A number of other standards are also effective from 01st April 2018 but they do not have a material effect on the Group's financial statements.

Due to the transition methods chosen by the Group in applying these standards, comparative information throughout these financial statements has not been restated to reflect the requirements of the new standards.

a) SLFRS 15 - Revenue from Contracts with Customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognized. It replaced LKAS 18 Revenue, LKAS 11 Construction contracts and related interpretations. Under SLFRS 15, revenue is recognized when a customer obtains control of the goods or services. Determining the timing of the transfer control-at a point in time or over time- requires judgement.

The Company has adopted SLFRS 15 using the cumulative effect method (without practical expedients), with the effect of initially applying this standard recognized at the date of initial application (i.e. 1 April 2018). Accordingly, the information presented for 2017/18 has not been restated – i.e. it is presented, as previously reported, under LKAS 18, and related interpretations, additionally the disclosures requirements in SLFRS 15 have not generally been applied to comparative information.

There was no material impact on the comparative figures presented in the statement of financial position, statement of changes in equity and statement of cash flows. Further, the change in accounting policy has no impact on the reported amount in retained earnings as at 01 April 2018.

b) SLFRS 9 - Financial Instruments

SLFRS 9 sets out requirements for recognising and measuring financial assets, financial liabilities and some contracts to buy or sell non-financial items. This standard replaces LKAS 39 Financial Instruments: Recognition and Measurement.

SLFRS 9 contains three principal classification categories for financial assets: measured at amortised cost, FVOCI and FVTPL. The classification of financial assets under SLFRS 9 is generally based on the business model in which a financial asset is managed and its contractual cash flow characteristics. SLFRS 9 eliminates the previous LKAS 39 categories of held to maturity loans and receivables and available for sale. SLFRS 9 largely retains the existing requirements in LKAS 39 for the classification and measurement of financial liabilities.

There was no material impact on comparative financial assets and liabilities, hence the Group has not restated comparative information for prior periods with respect to classification and measurement (including impairment) requirements.

(All amounts in Sri Lankan Rupees)

34 FINANCIAL INSTRUMENTS

(a) The following tables shows the carrying amounts of financial assets and financial liabilities,

34.1 Accounting classification of financial instruments

Company	Note	Financial assets	Other financial liabilities	Total carrying amount
As at 31st March 2019				
Financial assets not measured at fair value				
Trade and other receivables *	20	2,299,000,933		2,299,000,933
Amounts due from related companies	21	529,978,383		529,978,383
Cash and cash equivalents	22	-	-	114,486,133
		2,828,979,316	-	2,943,465,449
Financial liabilities not measured at fair value				
Trade and other payables **	28		1,100,500,466	1,100,500,466
Loans and borrowings	27		953,044,879	953,044,879
Amounts due to related companies	21.2		3,158,817	3,158,817
		-	2,056,704,162	2,056,704,162
As at 31st March 2018				
Financial assets not measured at fair value				
Trade and other receivables *	20	763,850,750	-	763,850,750
Amounts due from related companies	21	684,404,898	-	684,404,898
Cash and cash equivalents	22	-	-	130,410,846
		1,448,255,648	-	1,578,666,494
Financial liabilities not measured at fair value				
Trade and other payables **	28	-	2,002,471,905	2,002,471,905
Loans and borrowings	27	-	9,110,338	150,264,960
		-	2,011,582,243	2,152,736,865

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances amounting to Rs. 107,631,747 (2017 - Rs. 117,892,645) have been excluded as they are not financial instruments

** Advances amounting to Rs. 160,000 (2018 - Rs. 160,000) has been excluded as it is not a financial instruments

The fair value of the loan and receivables and other financial liabilities is not significantly different from the carrying amount stated above.

For loans and receivable and other financial liabilities the value based on amortised cost is not significantly different from the carrying value stated above.

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

34 FINANCIAL INSTRUMENTS

(a) The following tables shows the carrying amounts of financial assets and financial liabilities,

34.2 Accounting classification of financial instruments

Group	Note	Financial assets	Other financial liabilities	Total carrying amount
As at 31st March 2019				
Financial assets not measured at fair value				
Trade and other receivables*	20/12.2	2,380,778,330	-	2,380,778,330
Cash and cash equivalents	22	-	-	250,241,139
		2,380,778,330	-	2,631,019,469
Financial liabilities not measured at fair value				
Trade and other payables**	28/12.2	-	1,174,839,041	1,174,839,041
Loans and borrowings	27	-	983,304,092	983,304,092
Bank overdraft	22	-	17,778,823	17,778,823
		-	2,175,921,956	2,175,921,956
As at 31st March 2018				
Financial assets not measured at fair value				
Trade and other receivables*	20/12.2	841,267,202	-	841,267,202
Cash and cash equivalents	22	-	-	265,686,128
		841,267,202	-	1,106,953,330
Financial liabilities not measured at fair value				
Trade and other payables**	28/12.2	-	2,023,266,022	2,023,266,022
Loans and borrowings	27	-	16,637,105	16,637,105
Bank overdraft	22	-	392,062	392,062
			2,040,295,189	2,040,295,189

* Tax recoverable, non refundable deposits, prepayments, rent in advance and advances amounting to Rs. 80,642,812 (2018 - Rs. 112,197,028) have been excluded as they are not financial instruments

** Advances amounting to Rs. 160,000 (2018 - Rs. 160,000) has been excluded as it is not a financial instruments

The fair value of the loan and receivables and other financial liabilities is not significantly different from the carrying amount stated above.

For loans and receivable and other financial liabilities the value based on amortised cost is not significantly different from the carrying value stated above.

(All amounts in Sri Lankan Rupees)

35 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The use of financial instruments has an inherent risk due to changes in a myriad variables that reflect market conditions. Unmanaged risks can lead to undesirable outcomes where the Group is unable to achieve its financial objectives and falls short of budgeted targets. The financial risk management strategy of the Group endeavours to minimise the risks associated with the use of financial instruments by establishing a number of policies and guidelines that are followed throughout the Group. The Group periodically reviews and updates these policies to ensure that they are kept relevant in today's fast changing market conditions.

In this part of the report we would be covering the financial impact that would arise from market risk, credit risk and liquidity risk, the most important elements of the financial risk that the Group is subject to.

35.1 Market risk

The market risk occurs due to the actual cashflow originating from a financial instrument being different to the expected cashflow. This anomaly could occur due to the impact of external factors such as fluctuations in market interest rates and exchange rates. Market risk could possibly result in the revenues and expenses of the Group being adversely affected thereby impacting the profit attributable to the shareholders. In order to identify, manage and minimise the market risk the Group has put into practice a number of policies and procedures.

Market risk comprise of the following types of risk:

- Currency risk
- Interest rate risk
- Equity price risk

(a) Currency risk

The currency risk arises when a financial transaction is denominated in a currency other than that of the reporting currency of an entity. Transaction exposure arises where there are contracted cashflows (receivables and payables) whose values are subject to unanticipated changes in exchange rates due to the contract being denominated in a foreign currency.

The Group transacts mainly in United States Dollar (USD) other than the functional reporting currency. Therefore the Group is exposed to currency risk on revenue generation, expenses and borrowings. The finance division monitors foreign exchange markets on a continuous basis and advises on appropriate risk mitigating strategies.

Significant movement in exchange rates during the year ended 31st March 2019

Company	Highest Level		Lowest Level		Year end rate	
	Buying	Selling	Buying	Selling	Buying	Selling
USD/LKR	180.72	184.70	153.28	157.05	174.17	178.02
SGD/LKR	132.54	137.06	113.57	117.27	127.84	132.26

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

Sensitivity analysis

Strengthening / weakening of the USD against the LKR (Lankan Rupee) would affect the measurement of the financial instruments denominated in foreign currencies, and the increase / decrease of profit or loss by the amount shown below.

Company	As at 31st March 2019		As at 31st March 2018	
	Strengthening profit/loss	weakening profit loss	Strengthening profit/loss	weakening profit loss
USD (1 % movement)	6,141,329	(6,141,329)	11,814,582	(11,814,582)
SGD (1 % movement)	4,800	(4,800)	4,800	(4,800)

(b) Interest rate risk

Changes in market interest rates result in the fluctuation of present values of future cash flows derived from financial instruments thereby giving rise to interest rate risk.

These financial instruments are subject to interest rate risk depending on the volatility of market interest rates. Liabilities with variable interest rates such as AWPLR linked borrowings would expose the Group to cashflow risk as the amount of interest paid would change depending on market interest rates. Investments with fixed interest rates would expose the Group to variations in fair values in the process of marking to market of portfolios. It is important for the Group to maintain these variations within acceptable limits to ensure the predictability and consistency of reported results.

Appropriate interest rate risk management strategies are used by the finance division to manage the interest rate risk. Close monitoring of market trends is carried out to improve the accuracy of such decisions.

The finance division continuously monitors the interest rate environment to advise Strategic Business Units (SBUs) on the most suitable strategy with regard to borrowings. The Group's borrowings are usually negotiated during troughs in the interest rate cycle in order to extend the favourable impact to future reporting periods.

Significant movement in interest rates during the year ended 31st March 2019

Company	Highest Level		Lowest Level		Spread	Year end rate
	Rate	Date	Rate	Date	Buying	Selling
LKR Interest rate *	11.25%	Nov-2018	8.97%	Sep-2018	2.28%	10.40%

*One year Government Treasury bill rate

(All amounts in Sri Lankan Rupees)

(c) **Equity price risk**

The Group has adopted that its investment in subsidiaries companies are recorded at cost as per LKAS 27 standards and therefore scoped out from SLFRS 09 - Financial Instruments.

35.2 Liquidity risk

Liquidity risk arises when the Group encounters difficulties to meet commitments associated with financial liabilities and other payment obligations that are settled by delivering cash or another financial asset. In the management of liquidity risk the Group closely monitors its net operating cash flow, maintains a level of cash and cash equivalent and secured committed funding facilities from financial institution.

Company	As at 31st March 2019			As at 31st March 2018		
	Less than 3 months	3 - 6 months	6 -12 months	Less than 3 months	3 - 6 months	6 -12 months
Non-derivative financial liabilities						
Trade and other payables	1,100,660,466	-	-	1,856,430,096	-	146,201,809
Amounts due to related companies	3,158,817	-	-	-	-	-
Loans and borrowings	953,044,879	-	-	9,110,338	-	-
	2,056,864,162	-	-	1,865,540,434	-	146,201,809

Group	As at 31st March 2019			As at 31st March 2018		
	Less than 3 months	3 - 6 months	6 -12 months	Less than 3 months	3 - 6 months	6 -12 months
Non-derivative financial liabilities						
Trade and other payables	1,174,714,130	-	-	1,876,840,537	-	146,201,809
Amounts due to related companies	-	-	-	-	-	-
Loans and borrowings	983,304,092	-	-	16,637,105	-	-
	2,158,018,222	-	-	1,893,477,642	-	146,201,809

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amount.

NOTES TO THE FINANCIAL STATEMENT

(All amounts in Sri Lankan Rupees)

35.3 Credit risk

Credit risk refers to the risk borne by the Group owing to the risk of a counter party defaulting on its contractual obligations in relation to a financial instrument or customer contract. The Group is exposed to credit risk from its operating activities and from its financing activities, including deposits with banks, foreign exchange transactions and other financial instruments. The maximum credit risk of the Group and the Company is limited to the carrying value of these financial assets as at the reporting date.

The finance division manages the risk arising from investments made in financial institutions in accordance with the policy direction provided by the Board. The transactions are carried out only with a limited number of institutions all of which have stable credit ratings from internationally recognised rating providers.

(a) Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows.

As at 31st March,	Group		Company	
	2019	2018	2019	2018
Trade and other receivables	20 2,458,654,805	937,872,086	2,406,632,680	881,742,796
Amounts due from related companies	21 -	-	529,978,383	684,404,898
Cash and cash equivalents	22 249,973,953	264,821,894	114,486,133	130,410,846
	2,708,628,758	1,202,693,980	3,051,097,196	1,696,558,540

The ageing of trade receivables as at the reporting date were as:

Not past due	109,054,116	234,804,824	80,103,503	212,235,443
Past due 1-60 days	43,771,845	300,072,770	35,140,696	300,249,226
Past due 61-120 days	33,336,616	128,778,512	18,398,095	112,605,811
Past due 121-240 days	17,439,661	36,581,407	15,826,491	31,073,199
Past due 241-360 days	23,309,528	76,383,084	16,622,365	72,471,132
Past due more than 360 days	212,689,690	195,037,976	153,707,443	127,450,792
Gross receivable	439,601,456	971,658,573	319,798,593	856,085,603
Impairment of trade receivables	20.3 (97,841,760)	(172,175,828)	(53,028,186)	(117,851,252)
	341,759,696	799,482,745	266,770,407	738,234,351

DECADE AT A GLANCE

(All amounts in Sri Lankan Rupees)

31st March

Rs.'000	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010
OPERATING RESULTS										
Group Revenue	2,478,165	3,317,020	2,784,899	1,728,683	2,100,071	1,725,717	1,757,847	1,805,149	2,918,609	2,337,500
Net Finance Expense	(6,307)	(34,790)	(38,460)	2,912	(110,695)	(230,675)	(100,275)	(54,396)	(37,836)	(33,858)
Profit Before Tax	321,024	156,039	244,104	363,440	332,676	58,399	287,031	289,452	287,607	215,625
Tax Expense	(75,805)	(65,731)	(76,717)	(126,023)	(119,701)	(29,001)	(69,482)	(79,211)	(54,636)	(86,431)
Profit After Tax (continuing Operations)	245,219	90,308	167,387	237,417	212,975	29,398	217,549	210,241	232,971	129,194
Profit After Tax (Discontinued Operations)	(18,850)	(63,717)	(189,853)	(290,293)	-	-	-	-	-	-
Attributable To:										
Equity Holders of the parent	226,369	26,591	(22,466)	(52,876)	217,681	42,878	217,552	210,241	232,971	129,194
Non Controlling Interest	-	-	-	-	(5,088)	(13,480)	(3)	-	-	-
	226,369	26,591	(22,466)	(52,876)	212,593	29,398	217,549	210,241	232,971	129,194

FINANCIAL POSITION

Stated Capital	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	1,204,094	204,094	204,094
Reserves	1,681,855	1,586,675	1,198,298	1,283,362	1,316,551	875,680	868,234	619,219	409,364	148,953
	2,885,949	2,790,769	2,402,392	2,487,456	2,520,645	2,079,774	2,072,328	1,823,313	613,458	353,047
Non Controlling Interest	-	-	-	-	-	21,117	34,597	-	-	-
Net Assets	2,885,949	2,790,769	2,402,392	2,487,456	2,520,645	2,100,891	2,106,925	1,823,313	613,458	353,047
Non Current Liabilities	286,998	35,299	66,436	178,314	229,502	288,566	276,105	206,130	142,757	94,321
	3,172,947	2,826,068	2,468,828	2,665,770	2,750,147	2,389,457	2,383,030	2,029,443	756,215	447,368

Represented By:

Property Plant & Equipment (PPE)	1,527,367	1,417,703	1,029,492	1,041,158	929,074	1,212,319	948,891	228,424	131,956	77,078
Non Current Assets (Excluding PPE)	56,626	57,205	212,451	150,056	76,687	5,849	5,696	96	145	703
Current Assets	3,765,141	3,483,081	3,140,494	4,292,951	4,367,607	3,351,805	3,445,393	3,922,160	1,892,915	1,293,160
Current Liabilities	(2,176,187)	(2,131,921)	(1,913,610)	(2,818,394)	(2,623,220)	(2,180,516)	(2,016,950)	(2,121,237)	(1,268,801)	(923,572)
Net Current Assets	1,588,954	1,351,160	1,226,884	1,474,557	1,744,387	1,171,289	1,428,443	1,800,923	624,114	369,588
	3,172,947	2,826,068	2,468,827	2,665,770	2,750,147	2,389,457	2,383,030	2,029,443	756,215	447,369

KEY INDICATORS

Annual Revenue growth (%)	(0.25)	19.11	61.10	-17.68	21.69	-1.83	-2.62	-38.15	24.86	47.68
Basic earning per share (Rs.)	0.70	0.08	-0.07	-0.16	0.67	0.13	0.67	0.74	1.16	6.46
Net Profit to net revenue (%)	9.13	0.80	-0.81	-3.06	10.14	1.70	12.38	11.65	7.98	5.53
Dividend per share - propsoed (Rs.)	0.20	0.10	-	0.20	0.20	0.10	0.10	0.05	0.10	0.57
Return on Equity (%)	7.84	0.95	-0.94	-2.13	8.45	1.40	10.33	11.53	37.98	36.59
Net Assets per share (Rs.)	8.88	8.59	7.39	7.65	7.76	6.46	6.48	5.61	3.07	17.65
Gearing ratio (Times)	-	-	0.15	0.42	0.27	0.64	0.34	0.54	0.50	0.15
Current ratio(Times)	1.73	1.63	1.64	1.52	1.66	1.54	1.71	1.85	1.49	1.40

NOTES

NOTICE OF THE 17TH ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the 17th Annual General Meeting of AGSTAR PLC (the Company) will be held on 28th June 2019 at 10.00 am at Marcopolo Corporate Lounge, Excel World, 338, T.B Jaya Mawatha, Colombo 10

AGENDA

1. To receive and consider the Report of the Directors on the State of Affairs of the Company and the Statement of Audited Accounts for the year ended 31st March 2019 and the Report of the Auditors thereon.
2. To declare a final dividend at Rs.0.20 per share for the year 2018/2019 as recommended by the Directors.
3. To re-elect Mr.W.A.P.Perera who retire by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offer himself for re-election.
4. To consider and if thought fit to pass the following as an ordinary resolution to re-elect Mr. N.G.R. Karunaratne as a Director of the Company:

"IT IS HEREBY RESOLVED that the age limit referred to in Section 210 of the Companies Act No. 07 of 2007 shall not apply to Mr. N.G.R. Karunaratne, who is presently 82 (Eighty Two) years of age and that he be re-appointed as a Director of the Company for a further period of one year or until the conclusion of the next Annual General Meeting whichever occurs first"

Note:

- A Member entitled to attend and vote at the meeting, is entitled to appoint a Proxy to attend and vote instead of him/her.
- A Proxy need not be a Member of the Company.
- A Member wishing to vote by Proxy at the meeting may use the Form of Proxy form enclosed.
- Any member or Proxy holder attending the meeting is kindly requested to bring this report.
- The completed Form of Proxy should also be deposited at the P.R.Secretarial Services (Private) Limited – Company Secretaries at No. 59, Srimath R. G. Senenayaka Mawatha (formerly Gregory's road), Colombo 7 not less than forty eight (48) hours before the time appointed for holding of the meeting.
- For security reasons, Members. Proxy holders are kindly advised to bring along with them their National Identity Card or similar for of acceptance identity when attending the meeting.

5. Mr. A. G. Weerasinghe who is a director of the Company shall retire at the conclusion of this annual general meeting in terms of Section 210 (2)(a) of the Companies Act No. 7 of 2007;
6. Mr. H.P.J. de Silva who is a director of the Company shall retire at the conclusion of this annual general meeting in terms of Section 210 (2)(a) of the Companies Act No. 7 of 2007;
7. To re-appoint Messrs KPMG, Chartered Accountants as Auditors of the Company for the ensuing year and to authorize the Directors to determine their remuneration

BY ORDER OF THE BOARD OF DIRECTORS OF



AGSTAR PLC

P.R. SECRETARIAL SERVICES (PRIVATE) LIMITED

Secretaries

At Colombo, this 31 May 2019

FORM OF PROXY

I/We.....of.....
.....being a Member/Member* of the above named Company, hereby
appoint (1).....of.....failing him/her.

- | | | | |
|------------------------------|----------------|---------------------------|----------------|
| (2) Mr. N. G. R. Karunaratne | or failing him | (6) Mr. H. P. J. de Silva | or failing him |
| (3) Mr. D.N.N.Lokuge | or failing him | (7) Mr. A. G. Weerasinghe | or failing him |
| (4) Mr. A. P. Weerasekera | or failing him | (8) Ms. S. Wickramasinghe | or failing her |
| (5) Mr. D. S. K. Amarasekera | or failing him | (9) Mr. W.A.P.Perera | |

as my/our* Proxy to represent me/us* and vote and speak for me/us* on my/our* behalf at the 17th Annual General Meeting of the Company to be held on 28th June 2019 at 10.00 am at Marcopolo Corporate Lounge, Excel World, 338, T.B Jaya Mawatha, Colombo 10 and at ever poll which may be taken in consequence of the aforesaid meeting and at any adjournment thereof.

I/WE INDICATE MY/OUR VOTE ON THE RESOLUTIONS BELOW AS FOLLOWS;

	For	Against
1. To receive and consider the Report of the Directors on the State of Affairs of the Company and the Statement of Audited Accounts for the year ended 31st March 2019 and the Report of the Auditors thereon.	☐	☐
2. To declare a final dividend at Rs.0.20 per share for the year 2018/2019 as recommended by the Directors.	☐	☐
3. To re-elect Mr. W.A.P.Perera who retire by rotation in accordance with Article 23 (7) of the Articles of Association of the Company and being eligible, offer himself for re-election.	☐	☐
4. To consider and if thought fit to pass the following as an ordinary resolution to re-elect Mr. N.G.R. Karunaratne as a Director of the Company: "IT IS HEREBY RESOLVED that the age limit referred to in Section 210 of the Companies Act No. 07 of 2007 shall not apply to Mr. N.G.R. Karunaratne, who is presently 82 (Eighty Two) years of age and that he be re-appointed as a Director of the Company for a further period of one year or until the conclusion of the next Annual General Meeting whichever occurs first"	☐	☐
7 To re-appoint Messrs KPMG, Chartered Accountants as Auditors of the Company for the ensuing year and to authorize the Directors to determine their remuneration	☐	☐

Signed thisday of.....2019.

.....
Signature of shareholder

INSTRUCTIONS FOR THE COMPLETION OF PROXY

- 1 Please perfect the form of Proxy after filling in legibly your full name and address and by signing in the space provided and fill-in the date of signature.
- 2 Please return the completed form to the Company after deletion of one or other of the alternate words indicated by asterisks in the body of the form.
3. The completed form of Proxy should be deposited at P.R.Secretarial Services (Private) Limited – Company Secretaries at No. 59, Srimath R. G. Senenayaka Mawatha (formerly Gregory's road), Colombo 7 not less than 48 hours before the time appointed for the holding of the meeting.
- 4 If the Proxy has been signed by an Attorney, the relative Power of Attorney should accompany the completed Proxy for registration, if such Power of Attorney had not been registered with the Company.
- 5 In the case of a Company/Corporation, the Proxy must be under its Common Seal which should be affixed and attested in the manner prescribed by its Articles of Association/Act of Incorporation.

CORPORATE INFORMATION

The Company

AgStar PLC

Legal Form

A public Quoted Company
incorporated in Sri Lanka on 25th
June 2002

Company Registration No. PV1618 PB/PQ

Registered Office

AgStar PLC
09, Bawa Place, Colombo 08
Tel: +94 11 4812424,
+94 11 778040-3
Fax: +94 11 4810706
E-mail: info@agstaragri.com
Website: www.agstaragri.com

Board of Directors

Mr N.G.R.Karunaratne
Chairman
Mr D.N.N.Lokuge
Deputy Chairman/ Non Executive Director
Mr A.P.Weerasekera
Managing Director
Mr D.S.K.Amarasekera
Non Executive Director
Mr W.A.P.Perera
Non Executive Director
Mr A.G.Weerasinghe
Independent Non Executive Director
Mr H.P.J.de Silva
Independent Non Executive Director
Ms S.Wickramasinghe
Independent Non Executive Director
Mrs. S Kotakadeniya
Alternate Director to Mr. Amarasekera

Audit Committee

Mr H.P.J.de Silva
Committee Chairman
Mr A.G.Weerasinghe
Ms S.Wickramasinghe

Remuneration Committee Mr H.P.J.de Silva
Committee Chairman
Mr A.G.Weerasinghe
Mr D.N.N.Lokuge

Subsidiaries

AgStar Seeds (Pvt) Limited
AgStar Cropcare (Pvt) Limited
AgStar Grains (Pvt) Limited
AgStar Properties (Pvt) Limited
Mahaweli Agro Trading (Pvt) Limited
AgStar Exports (Pvt) Limited
Prith Seeds (Pvt) Limited
Royal Seeds Pvt) Limited

Secretaries

P R Secretarial Services (Pvt) Ltd
59, Gregory's Road, Colombo 07

Registrars

SSP Corporate Services (Private) Limited
101, Inner Flower Road,
Colombo 03

Auditors

KPMG
P O Box 186
32A, Sir Mohamed Macan Markar
Mawatha, Colobmo 03

Bankers

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
MCB Bank Limited
NDB Bank PLC
Peoples' Bank
Public Bank
Sampath Bank PLC
Seylan Bank PLC
Nation Trust Bank PLC

Legal Consultants

Paul Ratnayake Associates
59, Gregory's Road, Colombo 07

Sudath Perera Associates
5, 9th Lane, Nawala Road, Nawala.

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